



BARCLAYS

100 YEARS IN KENYA

PROUD SPONSORS OF POTENTIAL SINCE 1916



Integrated Report and Financial Statements 2015
Barclays Bank of Kenya

Scope of this report

This report covers the period from 1 January to 31 December 2015. As a company incorporated in Kenya and listed on the Nairobi Securities Exchange, our focus in this report is to meet Kenyan regulatory requirements. These include Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya, the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange.

Furthermore, as this report represents our effort towards meeting the international integrated reporting standards of the International Integrated Reporting Council (IIRC) and Global Reporting Initiative (GRI), we have incorporated as many of these considerations as possible. We estimate that compliance with these additional standards, which are voluntary at this stage in Kenya, will be met over the next three-year period.

"Certain statements bearing words such as 'anticipates', 'estimates', 'expects', 'projects', 'believes', 'intends', 'plans', 'may', 'will', and 'should' and similar expressions in this document are forward-looking. These relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Barclays Bank of Kenya Limited and its subsidiaries (BBK Group). These statements are not guarantees of future operations, financial or other results and involve certain risks, uncertainties and assumptions and so actual results and outcomes may differ materially from those expressed or implied by such statements. We make no express or implied representation or warranty that the results we anticipate by such forward-looking statements will be achieved. These statements represent one of many possible scenarios and should not be viewed as the most likely or standard scenario. We are therefore not obligated to update the historical information or forward-looking statements in this document."

Contents



Barclays Kenya at a glance

7



Chairman's message

12



Our material issues

22



Financial Statements

73

Our Company

About this report	6
Barclays Bank of Kenya at a glance	7
Our structure	8
2015 highlights	10
Five-year group review (2011 – 2015)	11
Chairman's message	12
Managing Director's message	14

Our Business

Our business model	18
Our value creation process	20
Our value added statement 2015	21
Our material issues	22
Our stakeholders	23
Our Board of Directors	26
CMC members	30

Our Strategy

Our six capitals	34
Laying the foundation	35
Balanced scorecard review	36

Our Performance

CFO's Report on Financial Performance	48
CRO's report on risk management	49
Segment reviews	52

Governance

Chairman's Report on Corporate Governance	56
Report from the Chairperson of the Board Credit Committee	62
Report from the Chairperson of the Board Corporate Governance and Nominations Committee	63
Report from the Chairperson of the Board Audit & Risk Committee	64

Annual Report

Directors' Responsibilities and Approval	68
Directors' Report	69
Statement of Directors' Responsibilities	71
Report of the Independent Auditor	72

Financial Statements

Consolidated Statement of Comprehensive Income	73
Consolidated Statement of Financial Position	74
Bank Statement of Financial Position	75
Consolidated and Bank Statement of Changes in Equity	76
Consolidated and Bank Statement of Cash Flows	77
Notes	78

Shareholders Information

Company Information	131
	136



1916

BARCLAYS BANK OPENS IN KENYA

Barclays Bank, trading under the name National Bank of South Africa, opens its first branch in Kenya, at Mombasa, which was the main port and commercial center for the East Africa Protectorate.



1951

SCALING NEW HEIGHTS!

Queensway House becomes the first modern skyscraper in Nairobi. Built by Barclays Bank, it was the first building to showcase modern facilities including automatic elevators, internal telephone communication and fluorescent lighting. It served as the headquarters for the Bank and was the tallest building in East Africa, visible for several miles outside Nairobi.



1955

BARCLAYS INVESTS IN PEOPLE

Barclays was the first Bank in Kenya to set up a local training school. The school served the region, with students from all three East African colonies attending. The school allowed Barclays to speed up its expansion in the region, ensuring a world-class pool of talent to draw on.

100 YEARS IN KENYA



1986

A TRULY KENYAN BANK

Barclays became the first Bank in Kenya to offer shares to the public on the Nairobi Stock Exchange. Barclays had been part of Kenya for 70 years and the share flotation gave every Kenyan the opportunity to be a part of Barclays. At the time, the Company employed 2,575 staff with offices in every region of the country. The share flotation resulted in 40,000 new Barclays shareholders. In 1986 Barclays was the largest bank in Kenya with assets worth Shs 5.4 billion, and was the leading lender to the Kenyan agriculture sector.



1990

TULITOKA ANALOGUE, TUKAENDA DIGITAL!

Barclays Bank brought the Kenyan banking community into the future becoming the first Bank to digitise its operations. This meant that for the first time in Kenya, Barclays customers could use Automated Teller Machines (ATMs) to withdraw cash outside of banking hours. It also meant that the Bank would run more efficiently and ultimately offer customers more and better services. The new ATMs were launched with a campaign featuring a Lingala dance robot which became universally recognised and a popular part of modern culture.



2005

BARCLAYS INTRODUCE ISLAMIC BANKING

Barclays Bank became the first conventional Bank to open a Shariah Compliant banking window, La Riba, to cater for the 8-million strong Muslim community in Kenya. It is a system of banking that adheres to the principles of Islamic Law. Islamic banking has since steadily grown in popularity.



1963

BARCLAYS AND KENYA GROW TOGETHER

A Nation is born as Kenya gains independence. The Nation proudly boasts a solid public infrastructure, strong diverse business structure and a government committed to ensure the Nation moves forward peacefully and grows in prosperity. Barclays was also going places with Peter Nyakiamo becoming the first African promoted to the role of Manager.



1972

EQUAL OPPORTUNITIES FOR ALL

Barclays was the first Bank in Kenya to promote African women to managerial positions. In 1972, Mrs. Agatha Obare was promoted to the post of supervisor.



1977

DIVERSITY AND INCLUSION

Mary Okello entered the annals of history, not only in Kenya but in Africa, when she became the first African woman to rise to the post of branch manager at Barclays Bank.

In 2015, Barclays Bank made history yet again when it became the first listed company in Kenya to attain a 50:50 gender balance on the Board.

Proud sponsors of potential since 1916



2011

A MEETING OF THE BIRDIES

On its 95th birthday, the Barclays eagle found a ready home on the fairways when it sponsored one of Africa's most prestigious golf tournaments; the Kenya Open. With a successful outcome and the opportunity to contribute to Kenyan golf, Barclays launched the tournament's longest running title sponsorship.



2015

KENYA RISING!

2015 was a big year for Kenyan enterprise. We became the first Sub-Saharan country to host the Global Entrepreneurship Summit and also the first African country to host a WTO Inter-ministerial Conference. Barclays rolled out a rigorous campaign to help develop Kenya's Small and Medium size (SMEs) businesses named Business Banking, committing a Shs 30 billion loan kitty for SMEs, and a further Shs 5 billion loan fund for women-led SME businesses.



2016

CELEBRATING 100 YEARS

Barclays Bank of Kenya proudly celebrates 100 years of partnerships in Kenya. Since 1916 Barclays has been an important part of the Nation, supporting potential and innovation and pioneering numerous firsts in the banking sector. In celebration of this milestone, Barclays looks forward to the next 100 years, renewing a commitment to stand strong with Kenya and all Kenyan people.

About this report



Introducing our 2015 report

This is our second annual integrated report. It reflects our commitment to provide information to our stakeholders that is anchored on strategy, responsiveness to material issues and it also depicts our financial and non-financial results. We provide insight on our creation of value in the short, medium and long term. The report offers both retrospective information that evaluates our performance and forward looking data that reflects our strategic orientation.

Our intention is to showcase our deliberate actions in positioning ourselves as the 'Go-To' Bank in Kenya and achieve our vision: *to help people achieve their ambitions - in the right way*. This is underpinned by our values – Respect, Integrity, Service, Excellence and Stewardship – which are at the core of everything that we do.

The material issues identified in this report consider our operating environment, current performance and stakeholder feedback and are interrogated through the five Cs – Customer, Colleagues, Citizenship, Conduct and Company. Our Executive team and Board agree that the issues identified in this report are those that most influence our ability to successfully execute our strategy, manage our risk and create shared value.

An integrated report is an invitation to stakeholders for their feedback. We cover a wide array of subjects with the anticipation of receiving feedback from stakeholders on issues of importance to them. We therefore encourage readers to share their thoughts and insights on the matters covered in this report through our website www.barclays.co.ke.

Francis Okomo-Okello
Chairman

Jeremy Awori
Managing Director

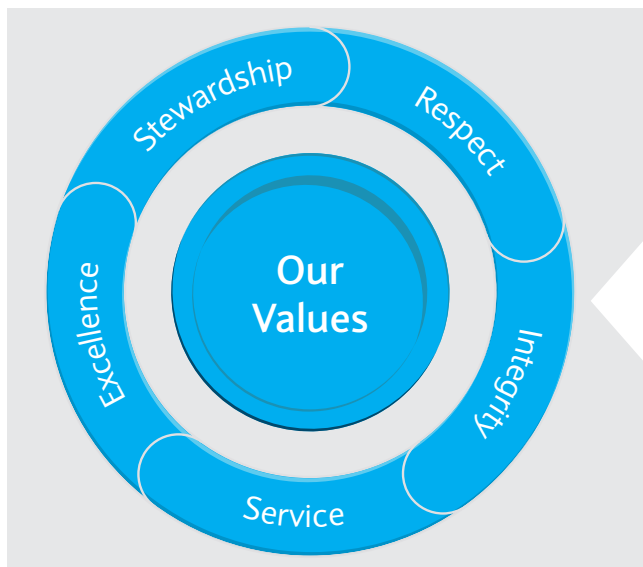


Our purpose

Helping people achieve their ambitions – in the right way

Our goal

To be the 'Go-To' Bank in Kenya



Respect signifies valuing those we work with – our colleagues and other stakeholders.

Integrity demands that we act honestly, ethically and fairly.

Service means ensuring our customers are always uppermost in our minds.

Excellence calls on us to use all our energy, skills and resources to deliver great service and outstanding sustainable results.

Stewardship is about being determined to leave things better than we found them.



Our outcome statements help us focus on what becoming 'Go-To' means for each of our stakeholders.

Customers

We are the Bank of choice for our customers.

Colleagues

Our colleagues are fully engaged. We create a diverse and inclusive environment where they can fulfil their potential.

Citizenship

We have a positive impact on the communities in which we operate.

Conduct

Our products and services are designed and distributed to meet our customers' needs. We act with integrity in everything we do.

Company

We create sustainable returns above the cost of equity. We understand and effectively manage risk and continuously improve controls.

Our footprint

824,111
Customers



119
Outlets



229
ATMs



54
iATMs

54
Deposit
Taking ATMs

2,762
Employees

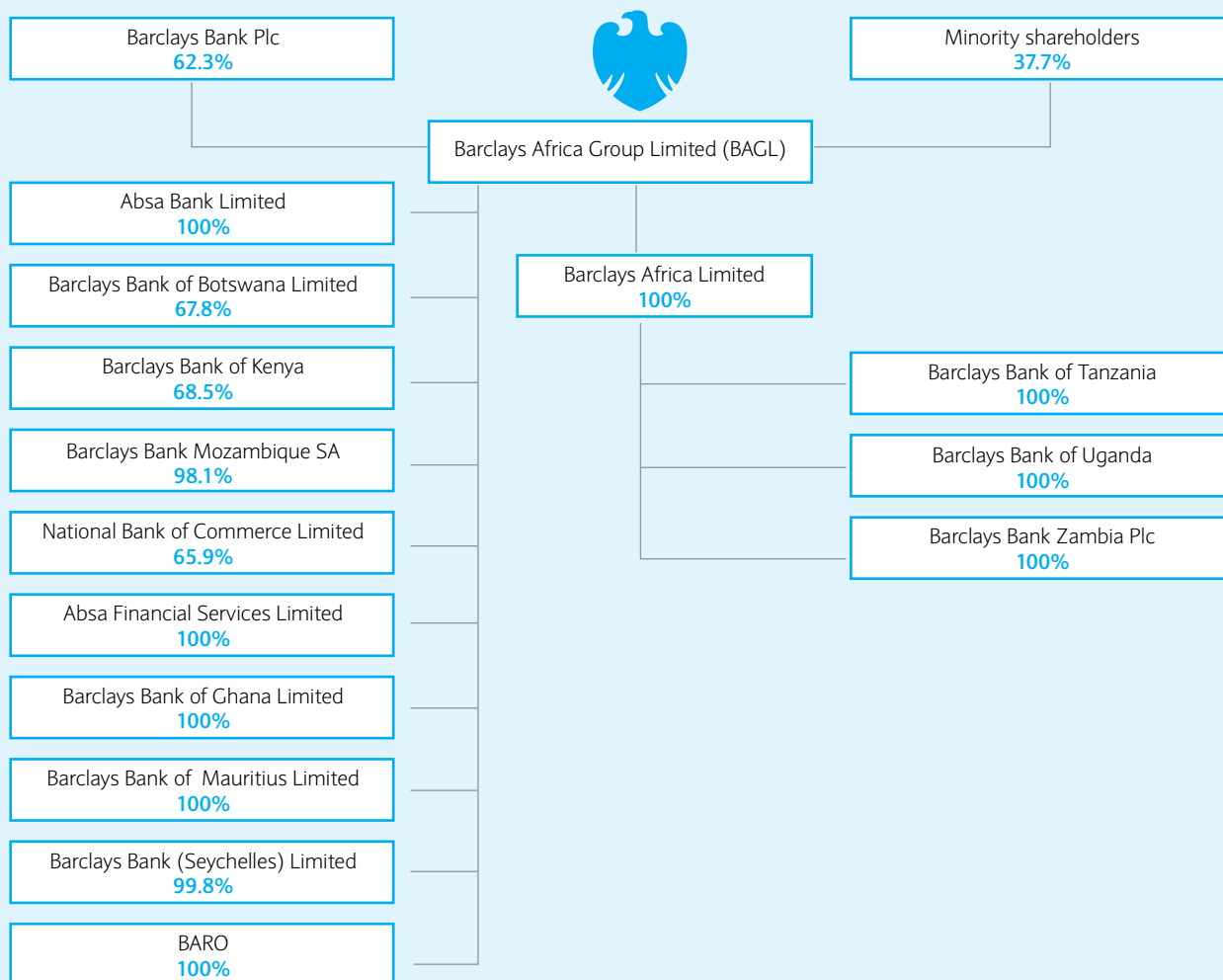


The services we provide

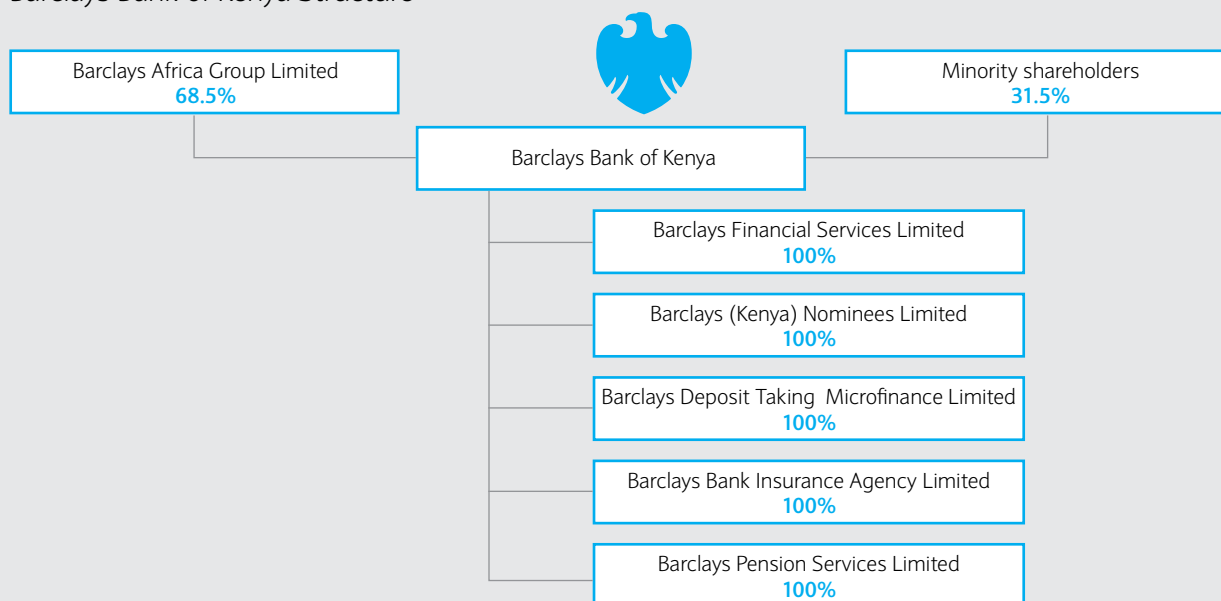
- Retail Banking
- SME Banking
- Corporate and Investment Banking
- Bancassurance

Our structure

Barclays Plc / Barclays Africa Group Limited (BAGL) Overall Structure

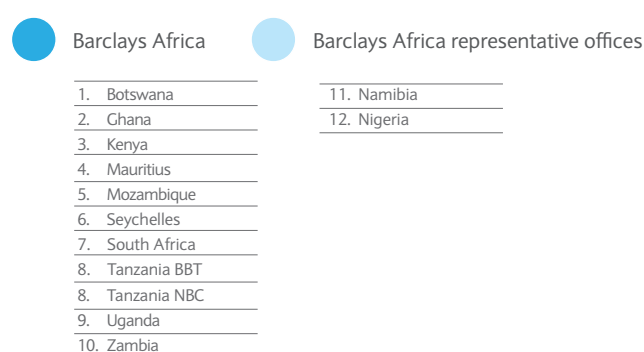


Barclays Bank of Kenya Structure



To our valued stakeholders

Barclays Africa
is committed to
Africa and we
are here to stay



On 1 March 2016, Barclays PLC announced its intention, to sell down its 62.3% stake in Barclays Africa Group Limited (Barclays Africa) to a level which will permit it to deconsolidate Barclays Africa from an accounting and regulatory perspective. It is clear from the announcement that this is due to recently introduced regulatory requirements in the United Kingdom. This will be effected over the next two to three years, subject to shareholder and regulatory approvals.

In 2013, Barclays Africa created a leading African financial services franchise by consolidating its 12 African Subsidiaries together. Barclays Africa holds a controlling stake of 68.5% in Barclays Bank Kenya Limited. The announcement does not therefore impact our shareholding and ownership.

The 2015 results demonstrate that as Barclays Africa we are delivering against our strategy and ambition. We made a profit of around Shs 100 billion and a return on equity of 17%, the highest since 2008. Barclays Africa remains well capitalised in excess of regulatory requirements.

We know that our investor shareholding proportions may change over time, but our ambition to be Kenya's leading financial services bank remains unaltered. Our focus will remain on delivering our strategy and on the ground it will be business as usual. We remain deeply committed to the success of our operations across the country and providing our customers and clients with world class products and services.

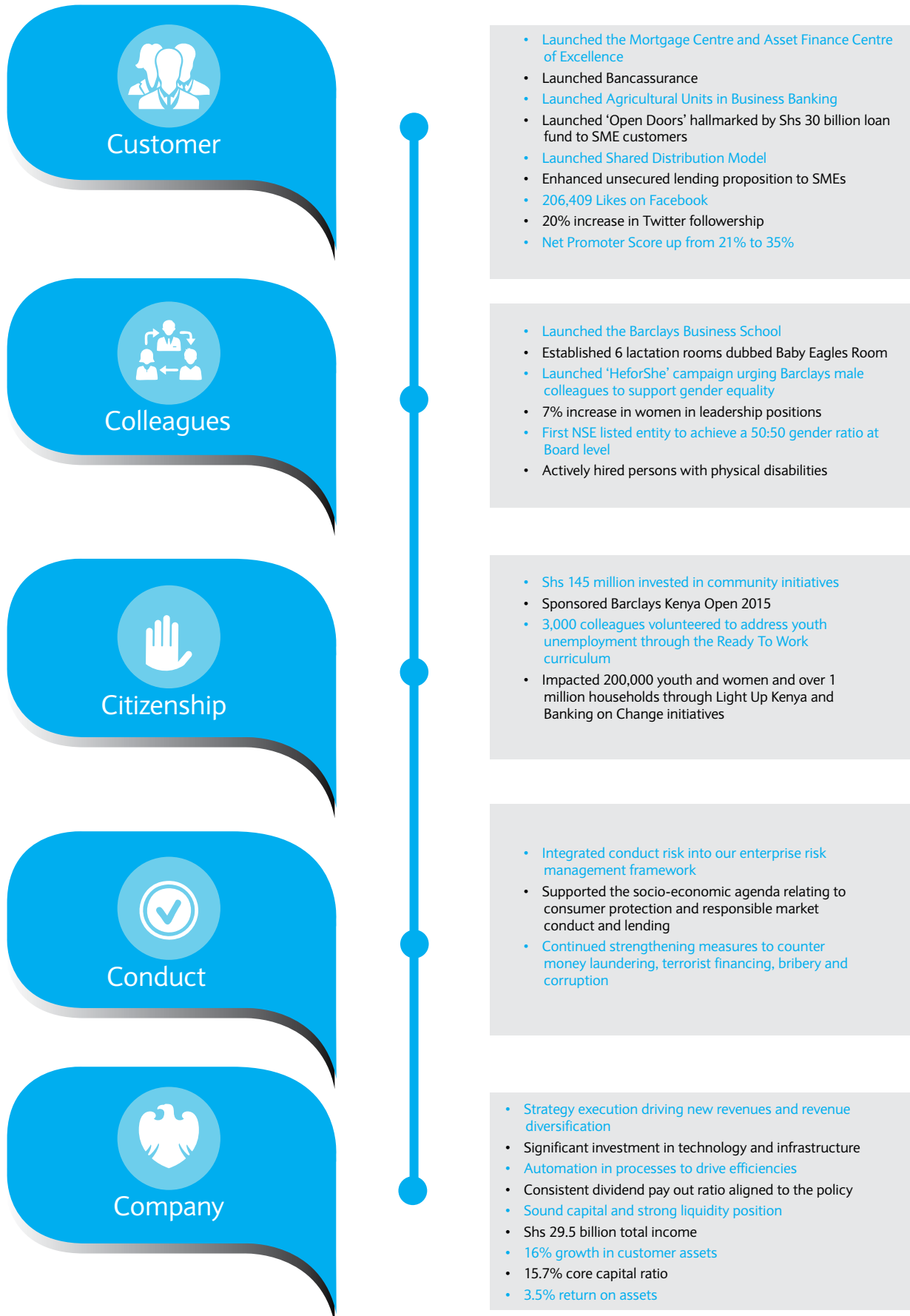
Kind regards,

Francis Okomo-Okello
Chairman

Jeremy Awori
Managing Director

2015 Highlights

Our 2015 highlights reflect our progress in delivering on our strategy using our Balance Scorecard model



Five-year group review (2011 – 2015)

	2011 Shs'millions	2012 Shs'millions	2013 Shs'millions	2014 Shs'millions	2015 Shs'millions
CONSOLIDATED STATEMENT OF PROFIT OR LOSS					
Interest income	17 632	21 041	21 297	22 941	25 286
Interest expense	(1 296)	(2 896)	(2 437)	(3 337)	(4 875)
Net interest income	16 336	18 145	18 860	19 604	20 411
Non interest income	10 003	9 279	9 062	8 684	9 051
Operating income	26 339	27 424	27 922	28 288	29 462
Operating expenses	(13 539)	(14 260)	(15 565)	(14 590)	(15 622)
Impairment on loans and advances	(729)	(144)	(1 223)	(1 405)	(1 766)
Profit before tax	12 071	13 020	11 134	12 293	12 074
Taxation	(3 958)	(4 279)	(3 511)	(3 906)	(3 673)
Profit after taxation	8 113	8 741	7 623	8 387	8 401
Earnings per share	1.49	1.61	1.40	1.54	1.55
Dividends per share	1.50	1.00	0.70	1.00	1.00
Dividend payout ratio	101%	62%	50%	65%	65%
CONSOLIDATED STATEMENT OF FINANCIAL POSITION					
Assets					
Loans and advances to customers (gross)	102 448	106 973	121 504	128 991	149 834
Impairment losses on loans and advances	(3 376)	(2 769)	(3 142)	(3 568)	(4 455)
Net loans and advances	99 072	104 204	118 362	125 423	145 379
Cash and short term funds	12 212	16 486	16 908	24 568	18 180
Government securities	37 599	47 536	47 559	57 118	47 967
Property and equipment	3 056	2 667	2 786	2 847	3 258
Other assets	15 090	13 933	21 124	15 885	26 093
Total assets	167 029	184 826	206 739	225 841	240 877
Liabilities					
Customer deposits	124 207	137 915	151 125	164 504	165 083
Other liabilities	13 599	17 324	23 242	22 982	36 078
Total liabilities	137 806	155 239	174 367	187 486	201 161
Net assets	29 223	29 585	32 372	38 355	39 716
Shareholders funds	29 223	29 585	32 372	38 355	39 716
Performance Ratios:					
Return on equity	30.1%	29.5%	23.5%	22.0%	21.2%
Cost income ratio	51%	52%	56%	52%	53%
Loan loss rate	74	14	103	112	121
Balance Sheet Ratios:					
Net advances to deposits (%)	80%	76%	78%	75%	88%
Impairment allowances/Classified debt	72.6%	77.5%	92.2%	81.7%	83.9%
Classified debt/Gross advances	4.5%	3.3%	2.8%	3.4%	3.5%
Others					
Number of employees	3 176	3 072	2 815	2 802	2 762
Number of lead generators (Direct sales representatives)	1 029	997	996	1 095	1 037
Number of outlets	119	119	119	119	119

Chairman's message

We have leaned on our rich legacy and a deep sense of corporate citizenship to catalyse growth through the provision of cutting edge financial solutions and advisory services.



Performance overview

2015 started off with optimism on the macroeconomic arena with an expected good growth rate in the Gross Domestic Product (GDP). However, there were several occurrences within the macroeconomic space that affected our operating environment. During the year the country experienced a weakening shilling, continued security concerns and the expected negative impact of the El Nino rains on agricultural production and infrastructure.

Consequently, headline inflation edged up to close at 8%, thereby limiting consumer spending. Of great impact to our sector was the regulator's adjustment of the Central Bank Rate twice from 8.5% to 11.5% so as to address a weakening currency. In addition to this, the 91-day Treasury Bill rates rose sharply up to a high of 21.65% leading to a tighter liquidity environment. This and other interventions by the Central Bank of Kenya supported the recovery of the shilling back to an exchange rate of Shs 101 against the US dollar.

Despite all these challenges of market volatility and the shorttermism of the financial markets, the underlying quality of the Barclays brand and performance of the Bank have not been obscured. Once again, we went ahead to post impressive results as our gross interest income grew by 10% to Shs 25bn on the back of growth in interest earning assets.

Net customer assets increased by 16% to Shs 145bn compared to Shs 126bn in 2014 while customer deposits stood at Shs 165bn. Our capital adequacy ratio remained rock solid at 18.4% against a regulatory limit of 14.5%. This was further bolstered by a liquidity ratio of 34.1% against the regulatory minimum of 20%.

Barclays Plc announcement on shareholding in Barclays Africa Group

On 1 March 2016, Barclays PLC announced their intention to sell down their interest in Barclays Africa Group to a level which would permit them to deconsolidate Barclays Africa Group from an accounting and regulatory perspective, subject to shareholder and regulatory approvals if and as required.

Our Board has noted that Barclays Plc will reduce its shareholding due to recently introduced additional regulatory burdens specific and particular to Barclays Plc as a UK headquartered and globally significant financial institution.

Africa remains a continent of opportunity and we have a strong African franchise and robust strategy against which we continue to deliver. Indeed Barclays Bank Kenya is a very strong franchise which is well capitalised to meet its strategy and regulatory requirements.

We have a strong board that monitors business performance and governance throughout the Bank. This announcement is purely a change in shareholding at the Barclays Africa Group level, however, our strategy does not change and we are here to stay.

Changes to the Board

This year we bid a fond farewell to three (3) of our long serving Non-Executive Directors; Rose Ogega, Brown Ondego and Jane Karuku, each of whom greatly contributed to the Board over the years and played a significant role in the Bank's and the Board's continued success. The said directors retired from the Board after serving their respective full terms. I would therefore like to take this opportunity to thank them for their dedicated service to the Bank during their respective tenures of service. Their enduring contribution to the Bank's growth over the years is truly appreciated. In spite of these changes we still remain the most gender-balanced Board amongst companies listed on the Nairobi Securities Exchange.

Regulatory environment

In the wake of two bank closures by the Central Bank of Kenya this year, we continue to be subjected to significant regulatory requirements as well as more scrutiny by our stakeholders, on how we conduct our business. This in turn, requires us to hold adequate capital and to manage risks proactively and responsibly. The Bank has an optimal capital structure and sufficient liquidity that will continue to support our growth ambitions.

A historical amendment to the 67 years old Companies Act of Kenya in the year will change how publicly listed and private companies are governed. We see this as an opportunity that enhances Board responsibility and accountability, to a higher standard of conduct and professionalism. I believe that this will have a positive impact on the business community as a whole as well as corporate performance.

Centennial year

In the last 100 years, Barclays has played a significant role in the development of Kenya's financial and economic landscape. We have influenced policy and made heavy investments in the people of this great nation because they are the bedrock of our business.

We have leaned on our rich legacy and a deep sense of corporate citizenship to catalyse growth through the provision of cutting edge financial solutions and advisory services. We have sponsored potential since 1916 for people to achieve their ambitions in the right way by working hand-in-hand with our partners and turned great ideas into transformative enterprises.

Whereas Barclays is a global brand, we pride ourselves in having a truly Kenyan soul and in being an integral part of Kenya's national fabric. Indeed, our legacy is greatly intertwined with Kenya's rich heritage and by the same virtue, our future is also closely interwoven into Kenya's future. We are of the view that ours is a 'shared growth agenda': when Kenya prospers, we prosper. There is no doubt that Barclays' commitment to Kenya is real. We are driven by our purpose to help people achieve their ambitions in the right way while focussing on our goal to be the 'Go- To' bank in Kenya.

Looking forward

In the coming year, we anticipate that our business will continue to be impacted by the volatile macro-economic environment, significant changes to regulation and competitive pressures from both traditional and non-traditional sources. However, we believe that based on our long standing experience in this market, we will continue to achieve solid and sustainable success.

We are investing in high growth-high return segments and at the same time enhancing our product offering in the SME sector, Bancassurance and Mortgage services. Our focus remains to deliver a solid and sustainable performance as we continuously invest in and leverage off technology in the areas of mobile and internet banking. Further to this, we shall continue to innovate while developing customer centric products and services. Whilst Kenya's Capital Markets are in the early stages of development, Kenya remains among the top 3 African target markets for both local and international banks, traders and investors. To leverage off the opportunities this presents to our shareholders and our customers, 2016 will see us launch our stock brokerage business through our Barclays Financial Services Limited (BFSL) Entity.

Conclusion and appreciation

I would like to salute the Barclays Kenya shareholders, customers and partners for their unwavering support of the Bank over the years. I also thank my fellow directors for their consistent commitment to their roles on the Board and to the affairs of the Bank.

The results speak for themselves and my deep appreciation goes to Jeremy Awori and the Executive Committee for the invaluable role they play in executing our strategy and ensuring that the business is on track. To our staff, thank you for sharing our vision and for your diligent contribution in helping take us closer to our goal of becoming the "Go-To" Bank in Kenya.



Francis Okomo-Okello
Chairman

Managing Director's message



Good service is not accidental. It takes a careful and deliberate approach of improving systems and processes.

In the second year of integrated reporting, we continue to present information on how we have created value for our stakeholders using our 5Cs model that encompasses Customers, Colleagues, Citizenship, Conduct and Company. In the year under review we remained firm on our strategic orientation with a focus on accelerated growth in new revenue streams, enhanced customer experience, advancement of our technology and digitisation, empowerment of communities around us and sustained efforts in building our brand appeal.

This year, we mark a significant milestone. We mark 100 years in Kenya having opened our first branch in Mombasa in 1916. In that period, we have evolved to become one of Kenya's leading financial services provider with a strong brand and solid reputation. We have made history in Kenya through our pioneering spirit that has seen us achieve many firsts among them we were the first bank to set up a banking school in Kenya in 1955. We were also the first bank to promote a Kenyan to the position of Branch Manager in 1963 and a woman to the post of Branch Supervisor in 1972 and again a woman to the position of Branch Manager in 1977. In 1980, we became the first bank to be listed on the Nairobi Stock Exchange (now Nairobi Securities Exchange) giving over 60,000 Kenyans an opportunity to invest in the institution.

Today, we offer employment to 2,762 employees and 1,037 direct sales representatives servicing more than 824,000 customers with a physical presence in 38 counties through our 119 branch outlets.

Here to stay

Our value proposition in this market is proven. We have been a part of the lives of Kenyans for 100 years with an unshakeable commitment to Kenya and its citizens.

Barclays Bank of Kenya has a strong capital base and liquidity position that will ensure we continue providing services to our customers, create value for our stakeholders and deliver on our strategy uninterrupted. We would like to reassure our customers that their deposits are safe and our operations here will be sustained. Despite the anticipated shareholding changes at the Barclays Africa Group level, our day to day operations will go on as usual. Although we are part of a global franchise, we are a truly Kenyan Bank and the business is committed to Kenya and we are here to stay!

Our context

2015 was characterised by high volatility in interest and foreign exchange rates. The shilling opened the year at Shs 90.6 to the US dollar but lost value in the course of the year closing 2015 at Shs 102.4 to the US dollar. The weighted average 91 day Treasury Bill (TB) rate increased from around 8% to 22.5%.

Macro-economic policy took a precautionary approach leading to tighter liquidity and an increase in the cost of financing. In response, we took measures centred on the best interest of our customers by increasing their loan tenure rather than increasing our interest rates on existing loans. Our fixed income trading book however was adversely affected by the increase in interest rates.

The banking industry in Kenya was negatively impacted by the closure of two banks. This brought the issues surrounding sound business practices within financial institutions to the fore. Barclays is keen on enforcing high standards of conduct especially in the control environment, strict adherence to legislation and regulations as well as fraud prevention. We continue to place great emphasis on Know Your Customer (KYC) and Anti-Money Laundering (AML) practices as we seek to have effective balances between compliance and efficient service delivery.

Our strategy

Our strategy has focused on growing our core business in retail, corporate and treasury. We have expended considerable energy on widening our service offering to cover new or improved services. While diversification of revenue streams is important for us, ensuring that the Bank is offering relevant products and services that match the needs of our stakeholders is critical.

We maintained our emphasis on technological innovation, which is becoming a key driver and differentiator of our services. For us innovation is not only about the way we deliver services using diverse technological solutions but also about the way we think. Good service is not accidental. It takes a careful and deliberate approach of continuously improving systems and processes. With the implementation of the Queue Management System (QMS), we have been able to improve our efficiency and address any customer issues immediately. Furthermore, technology has enabled us to be more efficient with routine functions that impact on the majority of our customers. For example, we are now able to send online e-statements which are more convenient for customers, driving cost efficiencies and impacting the environment positively.

Empowering women and youth

A key agenda at Barclays is to work with youth and women. We have developed a targeted proposition for the youth that takes into consideration their needs and preferences. This includes launching the “Ready To Work” initiative that seeks to equip young people with the skills they need to excel in business or employment. We also launched the youth “agriprenuership” program focusing on youth within agricultural value chains. On the gender front, we have set clear targets for ourselves to support women owned business and we have therefore set aside Shs 5 billion for this purpose. We support women as part of our Diversity & Inclusion Agenda because we consider it to be the right thing to do.

The transformation from the changes we have made since 2013 is becoming evident and the pieces are slowly falling into place. The strategic direction is much clearer. The benefits are unfolding gradually.

Achievements in the year

Our performance in 2015 can be characterised as solid and sustainable. Our efforts were focused on building new revenue streams based on creating new products and services or improving those that were performing sub-optimally. We executed our strategy particularly through investments in technology, talent, products and service innovation and the benefits are becoming evident.

We made investments in the newest state of the art ATMs that have several distinctive features including cash send and cash deposit. Cash send is particularly exciting, since it allows users to send or receive money using our ATMs. In 2015, we also upgraded our servers and invested in several technological improvements to enhance our customers’ experience. Consequently, customers are now able to open bank accounts offsite using tablets without the need to physically visit our branches. By simplifying our account opening process, it now takes a customers a much shorter time to open an account with us.

We have witnessed strong growth in our new products such as SME lending, Asset Financing, Mortgages and Bancassurance underpinned by increased transactions and customer uptake. We also revamped our agri-business proposition and reinforced our commitment to the SME sector while at the same time rolling out focused engagements with large local companies.

Our employee agenda

Our employees remain the strongest pillar on which our Bank stands. Employee engagement was a core part of 2015; aimed at ensuring that we have the right people in the right jobs and that employees are well equipped to consistently deliver value to our customers and stakeholders.

We further sought to listen to our employees’ concerns and address them appropriately. Ultimately, we plan to have an engaged and empowered workforce that is passionate about what they do. We seek to entrench simplicity in our operations and remove unnecessary bureaucracy, thereby promoting a high performance culture within Barclays.

With the launch of our own Business School and an online e-learning portal, our employees are now exposed to training that is relevant to their specific tasks and career advancement. This is part of our commitment to enable our employees to develop their knowledge and skills through lifelong learning. We are also committed to training our employees on ethics and values as a key set of attributes that we deeply believe in. We measure and reward our people, not just on commercial results, but on how they live the Barclays Values and bring them to life in their day to day work activities.

In addition to this, we also encourage and support our employees to give back to society both in their professional and personal capacities. During the Make A Difference Day (MADD) for example, employees spent time on community projects and mainly offered mentorship to young people across the country under the newly launched “ReadyToWork” programme. In addition to this, we continued to provide skills based volunteering focusing on youth, entrepreneurship and financial literacy skills.

2016 and beyond

Our investments in technology, people and new products have created a good value proposition. We are therefore confident that we have the foundation to drive sales and create exceptional value for our stakeholders. In the medium-term, our emphasis will be on improving revenues while maintaining cost-effectiveness. We will seek to on-board more customers for the various products and services we have created, improve customer experience and enhance societal value. Our emphasis will be on boosting new products like Bancassurance, Asset Financing, Mortgage and SME Banking.

We also recognise that the improvements in technology will need consistent follow through to ensure stability and availability of our services. In addition to this, our digital channels are key to our strategy and more emphasis will be placed on improving access and usability. We will sustain efforts around our change programme with a focus on people engagement and development to improve our performance and pursue innovation in process and products. All this is geared towards reinforcing our customer centric distribution model and ensure it delivers best in class value for our customers.

Due to our volatile operating environment, we will enhance our resilience so as to manage external shocks and thrive in a highly competitive sector. We will firm up our rigour in terms of internal controls and adherence to the best banking practices through prudent stewardship of the resources entrusted to us. We aim to be among the top three banks in the country and to become the ‘Go To’ Bank for Kenyans. We will continue to help people achieve their ambitions – in the right way.

I would like to thank the Board for the critical strategic and oversight role they play in the exciting journey we have embarked on. I would also like to thank our customers, employees and shareholders for their constant loyalty and support.



Jeremy Awori
Managing Director

This ATM accepts real
time cash deposits.

Barclays Bank of Kenya is regulated by Central Bank of Kenya.



Customer depositing cash in one of our 45 iATMs

Our Business



Our business model

We help to create, grow and protect wealth. Our strategy focuses on our opportunities for growth and takes into account the matters we believe are material to our long-term sustainability.

Our business model draws from the six capitals and our Balanced Scorecard (page 33) provides us with the framework against which we consider how we transform, increase or decrease these capitals to generate our desired outputs.

The diagram below depicts each of our core activities and how they translate into products and services to meet the needs of our customers and clients.

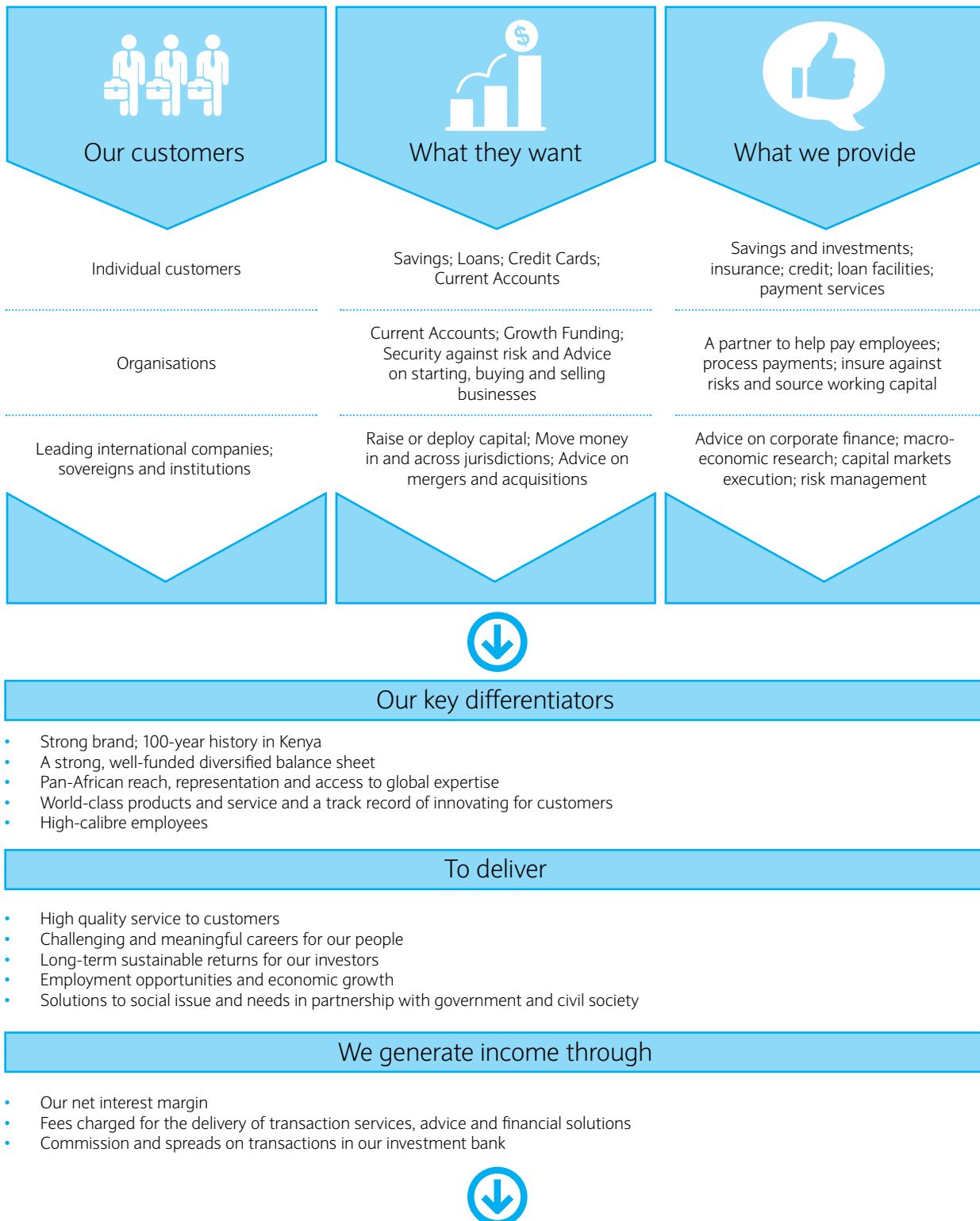
	Activities	What this means	Risk	Balance sheet impact	Flow of money	Income statement impact
Our core business activities and processes	A safe place to save, invest and to manage funds	Managing shareholder funds Accepting customers' and clients' deposits and raising debt Facilitating payments and investments Providing investment management products and advice	Interest rate Liquidity Operational Conduct Market	Deposits Debt securities in issue Shareholders' equity	Interest paid to depositors and other funders Returns generated for shareholders Investments made on behalf of customers and clients Fee income administration services	Interest expense Fee and commission income Dividends paid Gains and losses from investment activities
	Provide funds for purchases and growth	Extending credit, taking into account customers' credit standing and our risk appetite	Credit Interest rate Operational Conduct	Loans and advances Provision for bad debts	Receive interest income from borrowers Fee income relating to lending activities	Net interest income Fee and commission income Other operating income Bad debts expense
	Manage business and financial risks	Providing solutions to manage various risks such as interest rate and foreign exchange	Credit Market Operational Conduct	Hedging and trading portfolio liabilities Hedging and trading portfolio assets	Fee income from advisory services Commission income Trading revenue	Gains and losses from banking and trading activities Fee and commission income Other operating income
	Provide financial and business support	Providing individual and business advice, investment research and advisory services on large corporate deals	Market Operational Conduct		Fee income from advisory services	Fee and commission income

		Individuals	Small and medium enterprises	Corporates	Financial institutions and banks	Sovereigns and institutions
We provide our customers and clients with a range of solutions	A safe place to save, invest and to manage funds	Current accounts and overdrafts				
		Savings, deposits and investment products				
		Mobile and digital payments				
		Stock broking and trading services	Access to international financial markets			
		Cash management, payment systems and international trade services				
	Provide funds for purchases and growth	Residential home loans, vehicle and asset finance, personal loans and credit cards	Commercial property finance and business loans			
			Asset and lease finance, trade and supplier finance and working capital solutions			
			International capital markets			
			Large corporate and inter-bank lending			
			Foreign exchange rate hedging			
	Manage business and financial risks	Fixed-rate loans				
		Inflation and interest rate hedging				
	Provide financial and business support	Wealth advisory and private banking services, including investment advice.	Relationship managers and support			
			Business seminars and start-up support	Advice on large corporate deals		

We provide our customers and clients with a range of solutions

Our Value Creation Process

Our customers are at the centre of our goal and purpose.



Together our activities generate sustainable returns over the long term for our shareholders and help our wider stakeholders realise their ambitions.

Our value added statement 2015

Value created



Revenue (excluding interest expense) ↑9%

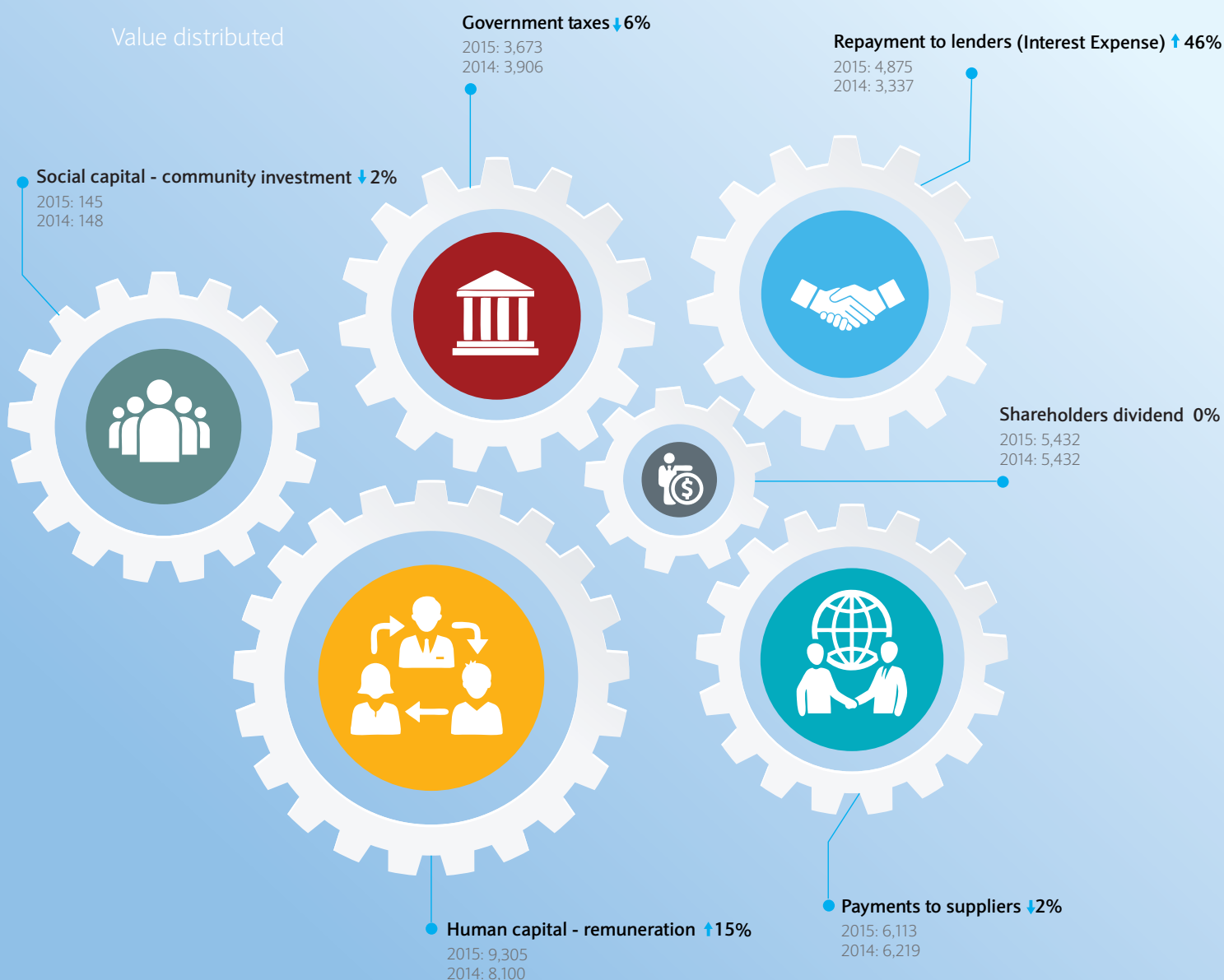
2015: 34,337
2014: 31,625



Impairment ↑26%

2015: 1,766
2014: 1,405

Value distributed



			Change %
Number of employees	2 762	2 802	(1%)
Number of direct sales representatives	1 037	1 095	(5%)
Cash value created per employee (Shs'000)	12 431	10 801	15%
Number of customers	824 111	742 000	11%
Cash value created per customer (Shs'000)	40	41	(2%)

% indicate annual change between 2015 and 2014

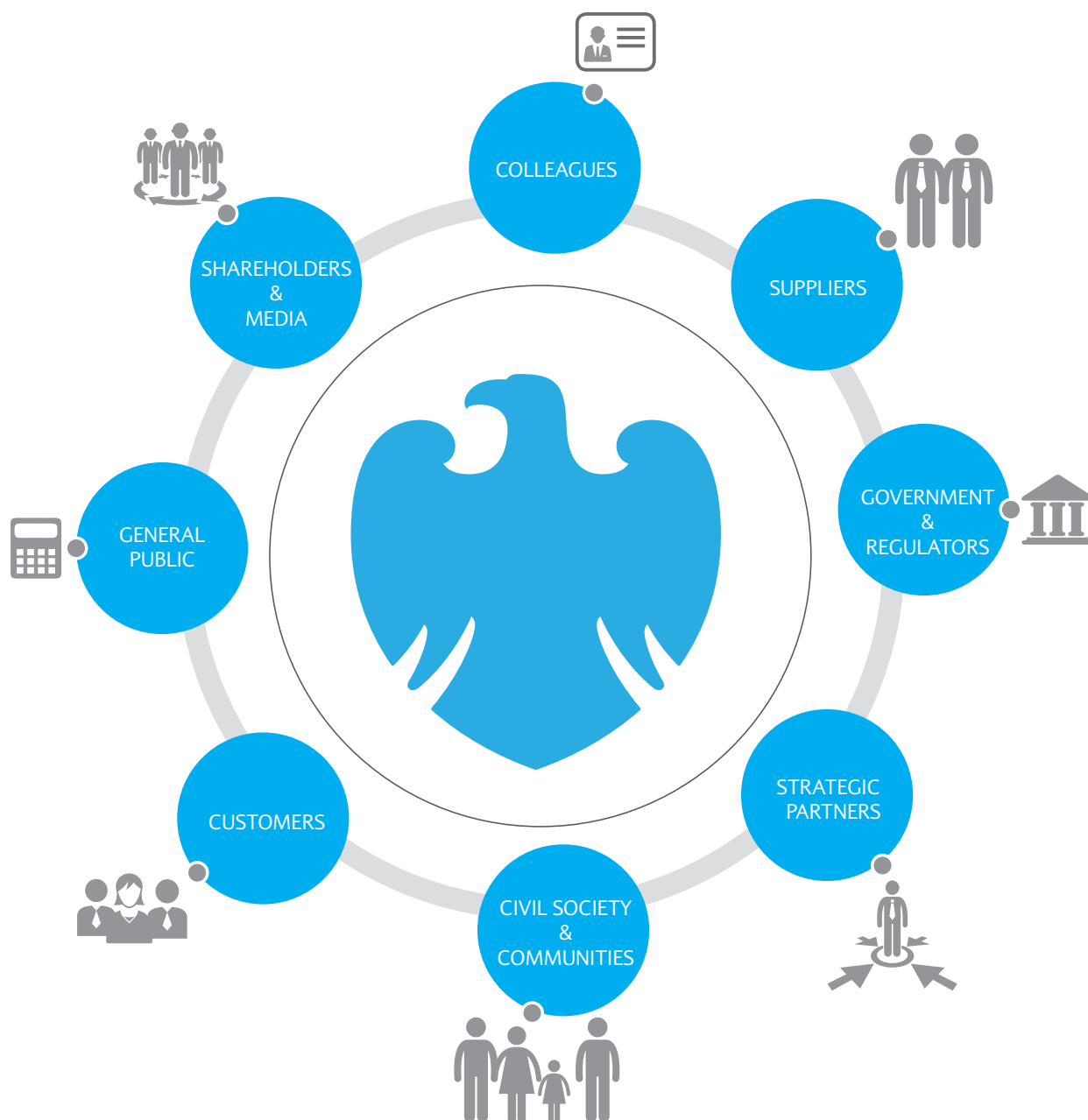
Our material issues

The material issues identified in this report are the result of a close examination of the environment we operate in, our strategy, current performance and stakeholder feedback. The measures we have taken to respond to these issues are highlighted in the strategy section of this report.

Our pillars	Material Issues	Responses
 Customer We aim to be the 'Go-To' Bank.	• Quality of our IT infrastructure • Excellence of service • Trust and Safety • Relevance of our products • Convenience of our services	• Investing in technology to ensure availability, stability and accessibility. • Leveraging technology to improve customer experience through mobile banking, Flexcube, BARX and Barclays. Net. • Simplifying our products, services and service model to match our customers' needs • Efficient and timely complaints resolution and preventing fraud
 Colleagues We create an environment where employees can fulfil their potential	• Attracting and retaining talent • Training and developing our talent • Employee engagement • Diversity and inclusion	• Embedding our purpose and values and integrating them into recruitment, promotion and performance management • Strengthening our leadership team and continuing to develop and train our leaders and talent • Driving a comprehensive diversity and inclusion plan • Listening and responding to the ideas and concerns of our employees
 Citizenship We have a positive impact on the communities in which we operate	• Access to financial services • Helping businesses start-up and grow	• Contributing to growth through financing and supporting businesses and ensuring our products and services support sustainable progress • Youth empowerment agenda that helps young people develop their employability and financial skills, as well as starting their own enterprises • Driving financial inclusion and roll out of programs that promote community prosperity
 Conduct We act with integrity in everything we do	• Maintaining high ethical standards • Treating customers fairly	• Implementing a formal, rigorous and transparent framework to effectively identify, assess, manage and report conduct risk. • Building our capacity to reduce or avoid the impacts of poor conduct on all our stakeholders
 Company We effectively manage risk and create sustainable returns	• Managing risk, capital and liquidity • Revenue growth • Cost control	• Setting clear financial targets • Investing in new businesses and growth initiatives such as Bancassurance, stock broking, mortgage and asset finance centres. • Creating an efficient and highly competitive business by investing in smarter systems and better ways of doing business. • Enhancing our controls for operational efficiency

Our stakeholders

We identify our stakeholders as those whom we impact during our operations or have an impact on our ability to operate. These include civil society, customers, depositors, strategic partners, suppliers, colleagues, government, investors, regulators, the general public and shareholders. We engage our stakeholders regularly and utilize the inputs from these engagements to inform our strategic intents and business practices. Barclays is keen to deliver shared value for all stakeholders.





Members of the Board



Our Board of Directors



MR. FRANCIS OKOMO OKELLO (65)
BOARD CHAIRMAN

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar-es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is Chairman of TPS Eastern Africa Limited (Serena Group of hotels, lodges & resorts) and a Non-Executive Director of the Nation Media Group Limited. He is also a member of the Advisory Board of the Strathmore Business School, Strathmore University and is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group which is an affiliate of the Aga Khan Fund for Economic Development (AKFED). Francis was appointed as an Independent Non-Executive Director at Barclays Africa Group Limited with effect from 1 October, 2014.

JEREMY AWORI (45)
EXECUTIVE DIRECTOR - MANAGING DIRECTOR

Jeremy Awori joined Barclays Bank of Kenya in February 2013. Prior to this, he held various positions in banking in the Middle East, South Asia and Africa. He has lived and worked in the UK, North America and Asia. He holds a Masters in Business Administration from McGill University, Montreal Canada and a Bachelor of Science undergraduate degree in Pharmacy from Manchester University in the United Kingdom. In addition to his responsibilities at Barclays, Jeremy is the former Chairman of the Kenya Bankers Association and currently sits on their governing council, a Board member of Kenya Private Sector Alliance (KEPSA) and sits on several other executive forums in Kenya. He is also a member of Young Presidents Organization (YPO) and an Aspen Global Leadership Institute fellow.

YUSUF OMARI (42)
EXECUTIVE DIRECTOR – CHIEF FINANCIAL OFFICER

Yusuf joined Barclays Bank of Kenya in 2004 from Audit Firm, KPMG (1998-2004). He worked as the Head of Internal Audit East and West Africa cluster (2004-2008) & then as Head of Compliance (2008-2009) before his appointment as the Chief Financial Officer in 2009. He is a qualified Certified Public Accountant (CPA) as well as a Certified Internal Auditor. He holds an MBA from Strathmore Business School and a Bachelor's degree in Economics from University of Nairobi. He is a Member of the Institute of Chartered Public Accountants of Kenya (ICPAK) & Institute of Internal Auditors (IIA). Yusuf is a Board Member for Barclays Bank of Kenya, The University of Nairobi Enterprise Services and ICPAK.

DR. LAILA MACHARIA (45)
NON - EXECUTIVE DIRECTOR

Dr. Laila Macharia joined the Board in August 2014. She is the Chief Executive Officer of Africa Metro (formerly Scion Real), a pan-African investment company focused on urban development, and the current Vice Chairperson of the Kenya Private Sector Alliance (KEPSA). She holds a Doctorate in Law from Stanford Law School, a Masters in Law from Stanford Law School, a Bachelor of Law from Cornell Law School and a Bachelor of Arts (BA) from the University of Oregon. She is a lawyer by training with experience in structuring and corporate finance transactions.

**ASHOK SHAH (67)****NON - EXECUTIVE DIRECTOR**

Ashok Shah joined the Board in July 2011. He holds a Diploma in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession. He is an Associate of the Chartered Insurance Institute, member of the Chartered Institute of Arbitrators and is currently the Group Chief Executive Officer of Apollo Investments Limited.

**NORAH ODWESSO (48)****NON - EXECUTIVE DIRECTOR**

Norah Odwesso was appointed to the Board in August 2014 as a Non-Executive Director. She holds an MA degree in Finance & Investment (UK), a Bachelor of Commerce degree (B.Comm) (Hons), University of Nairobi and is a Certified Investor Relations professional. She is currently the Public Affairs & Communications Director for Coca-Cola Central East & West Africa. She is an Honorary Fellow of the Kenya Institute Management (KIM); Chairperson, Junior Achievement Kenya, a Board member of the Gender Violence Recovery Centre, and a member of the Governing Council of the Management University of Africa.

**WINNIE OUKO (45)****NON - EXECUTIVE DIRECTOR**

Winnie Ouko joined the Board in August 2014. She is a Co-Founder and Director at Lattice Consulting Limited, a Kenyan corporate finance, project finance and strategy advisory firm. She holds a Masters in Business Administration from Cornell University and Bachelor of Commerce, Insurance (Hons) from University of Nairobi, and is a CPA (K). Winnie is a business strategy and corporate finance advisor.

**PHILIP KINISU (61)****NON-EXECUTIVE DIRECTOR**

Philip Kinisu joined the Board as a consultant in August 2014 (following his retirement as the Chairman of PwC Africa Board in June 2014) and was subsequently appointed as a Non-Executive Director in August 2015. He holds a Bachelor of Commerce (First Class Hons) from University of Nairobi, is a Certified Public Accountant and a Chartered Accountant, from England and Wales. Philip has more than 34 years' experience as a professional accountant/consultant and business leader based in the private sector but having extensive exposure to business issues in the public sector.

**PAUL NDUNGI****COMPANY SECRETARY**

Paul Ndungi was appointed as the Senior Legal Counsel & Company Secretary on 1 July 2015. He has over 12 years experience in the banking industry. Prior to this he was the Head of Legal & Company Secretary at Eco Bank Kenya Limited for 4 years and before that Head of Legal at I&M Bank Limited for 7 years. He holds a Bachelor of Law (LLB) from the University of Nairobi, a Diploma in Law from the Kenya School of Law and is an advocate of the High Court of Kenya, Commissioner for Oaths, Notary Public as well as a registered, Certified Public Secretary.

Country Management Committee





Country Management Committee



GENEVA MUSAU
HUMAN RESOURCES DIRECTOR

Geneva joined Barclays Kenya in 2014 from Barclays Bank Ghana where she held a similar role for close to four years. She held various senior management positions with Zain Telecommunication, Oxfam GB, KPMG and BAT, her last assignment being the Human Resource & Administration Director for Zain Telecommunications Ghana. Geneva holds a PHD in Human Resource Management from AIU USA, a Master of Arts Degree in Human Resource Management from Demontfort University Leicester (UK), a Masters in International Business Administration from USIU, a Bachelor of Commerce degree in Business Administration from Nairobi University and a Higher National Diploma in HR Management from the institute of personnel Management.



ABDI MOHAMED
CHIEF OPERATING OFFICER

A career banker with 20 years banking experience in Retail Banking, Corporate and Operations – in Kenya, UK and Zambia. Appointed COO for the Kenya business in February 2012. Prior to this Abdi was the Consumer Banking Director for the Kenya business for 3 years. Abdi also held a similar role as the Retail Banking Director in Zambia for 2 years.



ZAHID MUSTAFA
CONSUMER BANKING DIRECTOR

Zahid was appointed the Retail and Business Banking Director in January 2016. Prior to this, he was running the retail, cards, and Bancassurance business for Kenya. Zahid joined Barclays Bank Plc. in 2006 as consumer banking director for Barclays Egypt. In 2007 he was appointed as the consumer-banking director for Kenya before being promoted to consumer banking director role for East & West Africa in June 2008. Before joining Barclays, Zahid worked for Citigroup Consumer banking for over 11 years in various roles and geographies. He holds an MBA from Lahore University of Management Sciences, Pakistan and Bachelor of Science in Chemical Engineering from the University of Engineering and Technology Lahore, Pakistan.



WILLIAM JUMA AROGO
CHIEF RISK OFFICER

Joined BBK in 1993 and has held various positions in Corporate Credit, the most recent being an Associate Director, Corporate Credit with the Africa Regional Office. Appointed Chief Risk Officer in 2011 after serving as Corporate Credit Risk Director since 2007. Holds a Bachelor of Commerce degree from Kenyatta University and is an Associate of the Chartered Institute of Bankers ACIB (U.K.).



ANTONY MULISA
REGIONAL TREASURER EAST AFRICA

Appointed Regional Treasurer for East Africa in January 2015. With over 18 years of banking experience, he spent 15 years in both large and medium size treasuries in Kenya, Tanzania and Egypt. Anthony is a certified dealer through the ACI-Financial Markets headquartered in Paris, an associate member of the Chartered Institute of Bankers (ACIB). Holds a BSc. Degree in Financial Services from University of Manchester and an MBA from the Manchester Business School in the UK.



LABAN OMANGI
REGIONAL HEAD OF COMPLIANCE

Appointed Regional Compliance Director for Barclays East and West Africa Cluster in September 2009. Laban is a career banker with 30 years' experience in the areas of Wholesale and Retail banking, Bank Operations and Risk Management specializing in Compliance and Operational Risk Management. He holds a 1st Class Honours Bachelors of Commerce degree from the University of Nairobi and is a member of the Kenya Institute of Bankers and also the Institute of Economic Affairs.



HUMPHREY MUTURI
BUSINESS BANKING DIRECTOR

A career banker with 20 years experience commencing in 1994 to 2006 at Barclays Bank of Kenya where he held various positions including Corporate Credit Risk Manager for 5 years and Corporate Relationship Manager for 3 years with a focus on the Manufacturing Sector. Previously worked for NIC Bank in the capacity of a Senior Corporate Relationship Manager. He helped set up the Corporate Banking Unit of NIC Bank following the Bank's acquisition of its banking licence after the merger with AM Bank. Coverage within this role covered all sectors of the economy including Commodities Trade, Commercial Property Financing, Oil and Gas Sector, Manufacturing and Agriculture. His immediate past assignment was that of General Manager SME Banking for East Africa for Standard Chartered Bank, based in Kenya.



JAMES AGIN
CORPORATE BANKING DIRECTOR

James began his banking career in Barclays Kenya in 1993 and undertook various roles in both Corporate and Treasury for 10 years before moving to Barclays Uganda as Corporate Banking Director in 2004. He later joined KCB Uganda as the Managing Director in 2008 and moved back to Kenya in 2010 with KCB, where he was initially the Chief Business Officer for the East Africa region and most recently the Corporate Banking Director for KCB Kenya. James also has 10 years of Board experience and has served in the Boards of Barclays Uganda and the Boards of KCB subsidiaries in South Sudan, Tanzania, Uganda, Rwanda and Burundi. He holds an Advanced Management Program from Harvard Business School, an MBA from the IESE Business School in Spain and a Bachelor of Science from the University of Nairobi.



CAROLINE NDUNGU
MARKETING AND CORPORATE RELATIONS DIRECTOR

Caroline is an energetic and dynamic leader with commendable leadership skills. She brings with her a solid international work experience having worked for over 10 years in the FMCG sector as well as in Financial Management both in Africa and in the US. Caroline joined Barclays in February 2014 where she took on the role of Marketing, Communications and Citizenship Director. Prior to joining Barclays, Caroline held various senior management positions at East Africa Breweries Limited (EABL Diageo) her last assignment being the KBL Marketing Director. Caroline holds a Bachelor of Arts Economics degree from the University of Nairobi, an Advanced Management Program diploma from Strathmore Business School/IESE Business School Barcelona Spain and is a CPA (K) from Strathmore University.



JAMES MUCHIRI
CUSTOMER NETWORK DIRECTOR

James N Muchiri joined Barclays Kenya in November 2013 initially as the Head of Digital Channels and Strategic Initiatives in East Africa. In November 2014, he was appointed as the Customer Network Director to lead a shared distribution structure serving RBB. Prior to this James worked in NIC Bank and Standard Chartered Bank where he held several senior management positions, his immediate last assignment being as the Managing Director of NIC Bank's subsidiary in Tanzania. James brings with him over 21 years of banking industry experience. He has worked in several countries in Africa and Asia on transformational projects involving changes of core banking systems and other key deliverable channels as well as operational processes and procedures. James holds a Bachelor of Education degree in Science from Kenyatta University and a Post Graduate Diploma in Computer Science from the University of Nairobi.



ANTHONY KIRUI

HEAD OF MARKETS

Anthony Kirui holds over 14 years extensive banking experience within the East African region and over 10 years within the Treasury and Markets Business. Amongst roles previously held, include Head of Trading for Barclays Kenya and more recently as Country Treasurer for Barclays Bank of Uganda where Anthony ran both the Treasury and Markets business with oversight over the balance sheet, interest rate, capital and liquidity risk for the business. In addition his responsibilities covered the Sales and Trading business for Barclays Uganda where as a member of the Country Management Committee (CMC) he also shared responsibility for the management of the broader business. He is currently the Head of Markets with responsibility for derivatives, equities, rates, fixed income and FX Sales and Trading for Barclays Kenya. Anthony holds a Bsc (Econ) in Business Studies from the University of Wales, Aberystwyth.



KENNETH KAMURASI

HEAD OF AUDIT - AFRICA SUBSIDIARIES

Kenneth was appointed the Chief Internal Auditor for Barclays Bank Kenya in July 2012. He joined the Barclays Group in 2005 and has previously held Chief Internal Auditor roles in Barclays Uganda and Barclays Tanzania. Kenneth has over 15 years of financial services, audit and consulting experience with Barclays and PricewaterhouseCoopers. He holds a BSc Chemical Engineering from the University of Cape Town South Africa, is a Fellow of the Association of Chartered Certified Accountants (FCCA) UK and is a member of the Institute of Certified Public Accountants of Kenya (ICPAK).



GERALD MAITHYA

DIRECTOR - CHIEF OF STAFF

Gerald Maithya is the Chief of Staff of Barclays Bank Kenya working closely with the CEO, in strategy execution. He joined Barclays Bank Kenya on 1 January 2014. In his immediate former role, Gerald was a Director in the Global Corporates team in Barclays Bank London. Prior to joining Barclays, Gerald worked at Cadbury Schweppes between 2001 and 2007. Gerald holds a BSc Physics and Mathematics from the University of Nairobi as well as a MBA from London Business School, United Kingdom. Gerald also holds a Chartered Institute of Marketing Diploma.

Our Strategy



2015 winner South Africa's Haydn Porteous
participating in the Barclays Kenya Open

Our Balanced Scorecard reflects the six capitals

Our operations benefit from a number of key resources and stakeholder relationships. Through the execution of our business activities we increase, decrease or transform the six capitals as defined in the IIRC's Framework. The impacts of some are easy to identify, quantify, manage and measure, while other impacts are complex and require an active process for considering and managing trade-offs. We actively manage our business activities to optimum effect, always mindful of our impact on the communities in which we operate, and we measure our progress through our Balanced Scorecard. The table below provides a view of the six capitals, how they are applied to our business model and how they are managed through our Balanced Scorecard.

 See our Balanced Scorecard reviews (page 33 – 44) for more information on how, through our businesses activities, we use and affect these capitals.

Financial	Human	Intellectual		Manufactured	Natural	Social and relationship
- Capital and liquidity management capabilities - Disciplined cost management - Opportunities for investment and access to capital markets and financial services - Credit rating strength - Shareholder value - Tax contributions	- Employees, their skills and competencies - Effective leadership - Performance management and reward structures - Investment in employee learning and development - Company culture to help people achieve their ambitions in the right way - Specialised financial skills and expertise - Ethical standards and good conduct practices	- Enterprise risk management framework - IT capabilities – applying current technologies and developing new technologies - Brand reputation - Specialised financial skills and expertise - Lending, investing and procurement practices		- Branches and call centres for customer service - Data centres and support function premises - Equipment and technology resources that enable service delivery, to defend against physical attacks and cyber risk	- Energy requirements (including electricity, gas and diesel) - Paper and water consumption - Environmental and social lending practices	- Dialogue and interaction with all stakeholders - Civil society organisations and government partnerships to support wider employability initiatives - Managing socio-environmental risks and opportunities - Community investments, access to financial services and financial education - Employee volunteerism

The six capitals are measured through our Balanced Scorecard below:

						
			Customer & Client			
						
			Colleague			
						
			Citizenship			
						
			Conduct			
						
			Company			

Laying the foundation

Our strategy informs and is tested against our material issues and implemented through five strategic themes.

Customers at the core

Deliver superior customer service and make their lives easier through innovation and value-for-money products.

Build out the platform

Enable growth, scale and efficiency, while supporting our focus on customer demands and risk management.

Control and compliance

Embed a culture of transparency and proactive support for risk, governance and control.

People centricity

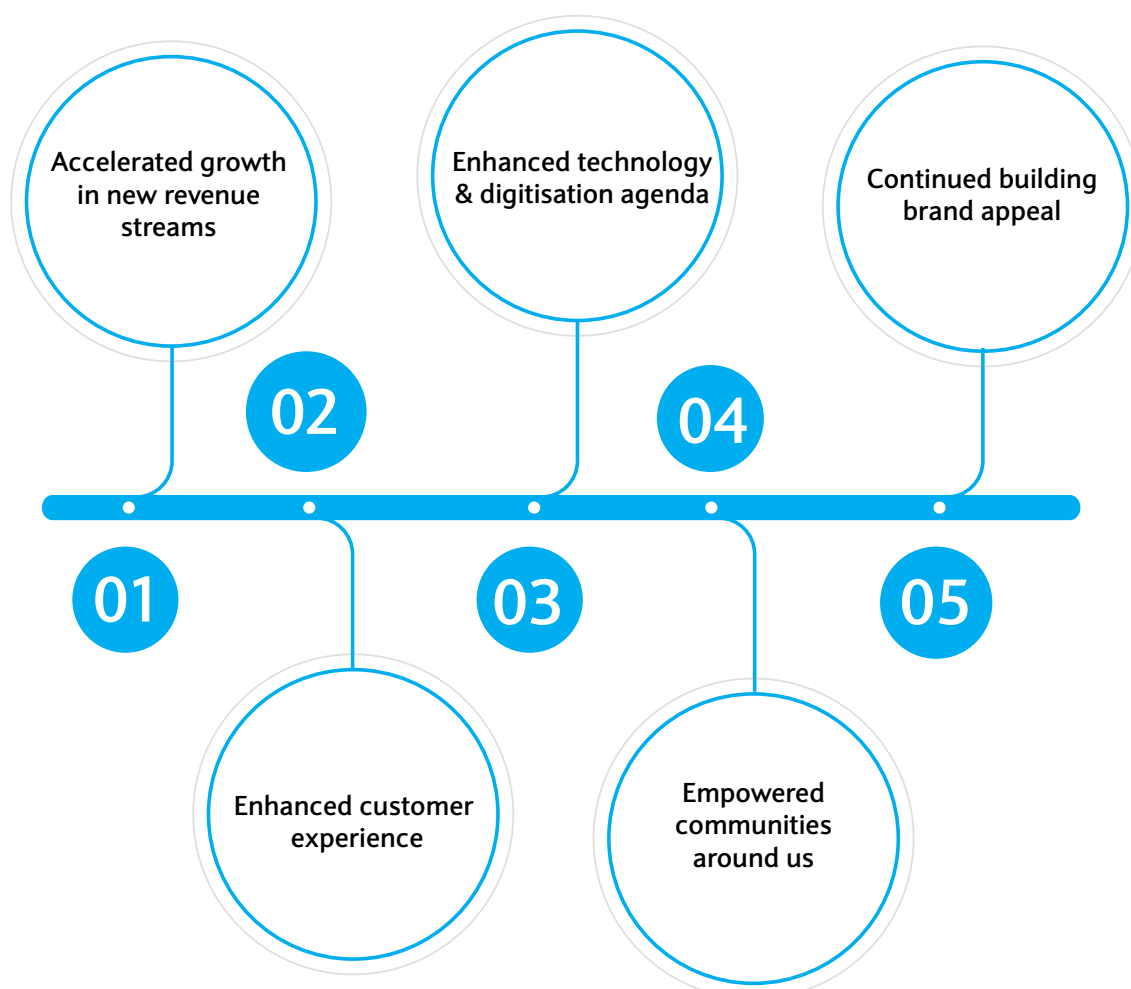
Engage, empower and create a diverse and inclusive environment where our people can develop further and fulfil their potential.

Deliver sustainable growth

Expand our presence in our priority markets by developing our tailored value propositions.

Our strategic drivers for 2015

Our strategy is underpinned by our strategic drivers for 2015 which were:



Balanced scorecard review



Customers

Our customers are at the core of everything we do. We want to become their 'Go-To' Bank by providing them with excellent solutions and through the way we conduct business on a daily basis.

Introduction

Our aim is to be Kenya's 'Go-To' Bank. This ambition drives our engagement with our customers. We understand and appreciate the individual needs of our customers and seek to deliver tailor made products and services to them. We are keen to improve on customer experience by enhancing convenience, ease and availability of our products, services and processes. Cognisant of changing customer behaviour and increased innovation in the financial sector, we seek to deliver services through the channels preferred by our customers. Our strong brand is appealing to customers who recognise us as a safe and stable bank. We are committed to doing things in the right way and treating our customers fairly.

How we measure ourselves

	2015	2014	2013
Total number of banking customers	824,111	768,988	650,000
Number of outlets	119	119	119
Number of ATMs	229	239	230
Net Promoter Score® (%)	35%	21%	7%
Number of complaints per 1,000 accounts	1.44	1.77	2.08

Products and services

SME Sector

The Small and Medium Enterprise (SME) sector is one of the most influential sectors of the economy. It provides more jobs than any other sector of the economy and is estimated to contribute more than 40% of the country's GDP. In 2014, Barclays created the Business Banking department to cater for SMEs which were previously served by the Consumer Banking or Corporate Banking units - depending on their size. This arrangement meant that the unique needs of these businesses were not always adequately addressed hence the creation of the SME Banking department.

In 2015, we began lending to SMEs thus defying the perception that they offer significant exposure to risk. This segment, which had in previous years declined, experienced strong growth in customer numbers and increased business in the banking loan book by 27%. We have now rolled out the SME offer to our 119 outlets with full-fledged and designated employees actively delivering value to our customers.

Our Customer Value Proposition to the SME sector has become much clearer and we are offering several products and services including asset financing, business club, mortgage offering, deposit taking ATMs and SMS to debit cards. In 2015, we established a centre of excellence in asset finance. Financing is offered for the purchase of assets such as heavy commercial vehicles, plant equipment etc. With this centre, the Bank is now able to relay the credit application outcome to customers within 48 hours. We have also strengthened our relationship with key vehicle and machinery dealers, enabling our customers to receive favourable prices and purchase terms.

Our greatest challenge in servicing the SME sector is the need to evolve quickly and capture fast changing market opportunities. Competition in this segment is intense but we have positioned Barclays as a strong financial partner that can resiliently accompany SMEs through their distinctive needs and challenges. We also assist our customers to address areas of risk that would disqualify them from accessing credit from us.

Barclays Business Club

The Business Club offers value add opportunities to its members, including international business trips, organising trade fairs, networking events and quarterly seminars on relevant topics. In 2015, topics covered in trainings included financial reporting, franchising, conveyancing, emerging opportunities in various counties and how to prosper with Barclays. The club currently has 8,311 members.

Campaigns

The "We Salute You" campaign focuses on celebrating our customers' achievements. Our customers come to us to provide relevant solutions to them. With this campaign, we sought to go to our customers instead. The campaign targets business people whom we have supported in their journey to success and seeks to recognise their accomplishments.

The "Prosper" campaign also seeks to refocus attention from the Bank to the customer. It offers a broader glimpse into our strategic intent to support the prosperity of our stakeholders. It is aligned to our purpose of helping people achieve their ambitions in the right way.

Zidisha Bonus Account

The Zidisha Bonus Account is a savings account that encourages individuals to pool together and save. One of its salient features is a varying interest rate that rewards higher savings amounts and longer saving periods. It is a key instrument for encouraging a savings culture in Kenya, where savings remain low at about 12% of GDP. By the end of 2015, the uptake of Zidisha Bonus Account had exceeded our target threefold.

Driving customer satisfaction

We have made several investments in new products and services as well as technology and employees development to enhance our customer experience and create improved customer satisfaction. We have positioned ourselves to listen and respond to customer concerns and expectations. We have increased our use of market and consumer research to guide product development thus creating solutions that are relevant to the needs of our customers.

Our digital channels remain a key pillar in the delivery of customer satisfaction. We achieved this through the launch of the following key initiatives in the digital space:

- **Strategic Hello Money** - This is an upgrade from the existing USSD mobile banking platform. This has improved system performance, stability and availability. It has also made it easier for customers on various mobile platforms to transact through Barclays;
- **E-statements** - We now transmit customer bank account statements electronically. This has eased access for customers to their statements while removing the need for printing of physical statements. It has resulted into a monthly cost saving of about Shs 6 million for the Bank;
- **SMS alerts** - We introduced Current and Savings Accounts (CASA) translational alerts, to ensure that our customer are fully aware of transactions involving their accounts;
- **Remote account opening through iBOC** - To better serve our customers we launched remote account opening. Our frontline sales force are now able to on-board customers offsite using iPADS;
- **Queue Management System (QMS)** - We embarked on a project to install queue management systems in our outlets to improve overall turnaround time and waiting time. Our ambition is to be able to serve our customers in under 20 minutes;
- **Intelligent ATMs (iATMs)** - rollout of iATMs including upgrade of software. This has provided an increased suite of services using ATMs including cash deposit and cash send. It also provides better stability and availability for customers; and
- **Paperless** - In a bid to simplify our retail banking operations and improve the experience of customers transacting at the branch, we launched Paperless. On average paperless solutions can allow customers to complete their teller banking transactions in less than three minutes since there is no manually filled-in slips required for certain transactions. This enables efficient clearing and improved customer service.

Net Promoter Score

We conduct several local and Barclays Africa surveys to determine the level of customer satisfaction with our products and services. The Net Promoter Score (NPS) is a Pan African survey that determines overall customer loyalty to the Bank and is based on asking customers how likely they are to recommend the Bank to their family members and friends – on a zero to 10 point scale. In 2015, our NPS improved from 21% in 2014 to 35%.

We offer a marked advantage for our customers who operate across the globe due to our extensive global network, our excellence and know how on international trade, in-house ability to deal with international taxation and our ability to finance large projects.

Technology

Our customers are now able to transact anywhere and anytime. In 2014, we identified systems stability and unavailability as a major challenge impacting on our customers. Thus in 2015, we invested in improving our technology as part of our effort to meet our customers' aspirations. In November, we launched the CSRR Lite, a technology platform that offers a simple tool for preparing behavioural scorecards for customers. We are now able to more efficiently assess the potential customers' creditworthiness which in turn decreases turnaround time on credit application outcomes.

We completed work on BARX – a foreign exchange platform – and Front Arena in 2015. Front Arena is a powerful, comprehensive platform that delivers true electronic trading and active position management infrastructure across all asset classes and business lines used by our treasury team. Investing in Front Arena aimed at consolidating the treasury functions of the various Barclays Africa countries. BARX offers an e-commerce system for foreign exchange and marked to market trading, allowing customers to trade locally and regionally. The system allows customers to transact foreign exchange with any branch from a single location, reducing the amount of time spent on operational tasks and errors associated with manual interventions.

Several improvements around batch performance, purging and archiving were successfully deployed to Flexcube, improving the system's performance, availability and stability.

We replaced the internet front end, Barclays Integrator with Barclays.Net and facilitated the migration of customers to the new platform. Barclays.Net offers clients richer functionality and single sign-on across multiple geographies which ensures that customers have a consistent experience throughout. The platform can also accommodate much larger volumes of transactions.

We are witnessing the benefits that accrue to customers due to the migration to EMV (Chip and Pin) cards for all credit and debit cardholders. This has taken the card business to the next level due to increased functionalities and improved security as opposed to the magnetic stripe cards. We discontinued the use of magnetic stripe with debit cards in August 2015 and noted a reduction in fraud on debit cards by 61%.

Channels

We provide access to our services and products through 119 outlets and 229 ATMs. Customers are also able to use internet and mobile banking channels. The Barclays Mobile App enables customers to transact in various ways through their mobile phone and tablets. We have made major improvements to our digital channels so as to increase the ease of use, increase functionalities and enhance inter-linkages with other platforms such as those belonging to mobile service providers and merchants. This has led to a higher uptake of these channels in terms of the number of users, number of transactions and overall usage.

In 2015, we also expanded the offer delivered by our branches by introducing a shared distribution model to provide banking services for our SME customers, in addition to our retail customers. The model involves the introduction of a single point of contact for our SME customers in our entire branch network. It leverages on the available physical distribution channels to reach and adequately serve business banking customers and the branch networks to cater for retail, business and CIB customers.

Ultimately, our goal is to convert all our branch employees into universal bankers with the capabilities and skills to take care of all our customers' needs.

Agency banking

We embarked on the journey towards the launch of an Agency Banking model in partnership with the Postal Corporation of Kenya. Customers will be able to access key services such as account opening, balance enquiries, cash deposits and withdrawals, bill payments and mini statements from postal outlets. This will increase our footprint from 119 to 600 outlets by the end of 2016.

Sponsorship

Since 2010, we have been the proud title sponsors of the Barclays Kenya Open. The event is accredited to the European Challenge Tour and is currently East and Central Africa's premier golf tournament. In 2015, the event was held from 09th – 12th April and attracted 9,000 spectators.

Awards

In 2015, we won the following awards:

- 2nd runners up Governance Category in the ICPAK Fire Awards 2015;
- Best Retail Bank in Kenya – Asian Banker Awards; and
- Best Deposit Product (Zidisha) – Asian Banker Awards.

Looking ahead

In 2016, we aim to enhance the shared distribution model to cater for a wider variety of services and products to customers. We will use the Universal Banker Concept to align our branches to deliver on this model.



Colleagues

Ensuring that we have the right people with the right skills in the right job

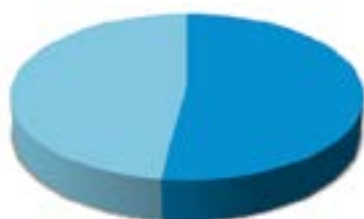
Introduction

We attract and retain the best people who live our values and whose commitment fuels high performance and outstanding behaviour. The quality of our people is the key source of our competitive advantage which drives the delivery of a sustainable performance. Through our colleague engagement model (engage, enable, energise) we continually inspire and develop our employees into leadership positions.

How we measure ourselves

	2015	2014
Full Time Employees (FTE)	2 762	2 802
Direct sales representatives	1 037	1 095
Permanent employee turnover rate (%)	7%	7%
Women in senior management roles	34%	25%

Our People



Male = 52% (1 449)
Female = 48% (1 313)



Entry Level = 1 255; 45%
Supervisory = 1 191; 43%
Middle Level Management = 211; 8%
Senior Management = 105; 4%

Employee Opinion Survey

The Bank conducted an Employee Opinion Survey (EOS) in 2015, as a way of drawing the opinion of employees. 81% of employees participated in this exercise which was a follow up to a similar one done in 2014. The survey is conducted anonymously, but captures grade, gender, age and other metrics, allowing performance to be assessed across employee segments. Individual responses are aggregated into categories, which form the principal basis for assessing employee engagement.

Key metrics from the survey are highlighted in the table below:

	Item	Description	Score (%)	
			2015	2014
	Engage	Colleagues' pride in working for Barclays, their willingness to recommend it as a great place to work and their intent to stay and contribute to the achievement of Barclays goals	91	90
	Enable	The degree to which resources, policies, procedures and practices enable colleagues to do their jobs well	82	69
	Energise	Barclays' effectiveness in ensuring colleague wellbeing through respecting personal and family needs, helping them manage work pressure, and ensuring freedom from bullying and harassment	70	66

The enable metric showed the greatest improvement, increasing by 19%, reflecting the immense internal investment that has been made to enable employees to perform their assignments well.

Employee engagement

In 2015, employees' engagement was a key priority. These engagements sought the opinion of the employees on diverse issues including career development, remuneration, benefits, communication and HR service levels. An employee engagement survey was conducted in September with an engagement rate of 81%. We also held several one-on-one meetings with employees.

We had several goals for these employee engagement forums. Foremost, we wanted to listen to our employees and address their concerns and expectations. We also wanted to ensure that we have the right people with the right skills in the right jobs. To this end, we sought to address any mismatch in order to ensure that employees are involved in the tasks that match their skillsets and career objectives. Overall, we want to enhance their performance, passion and pride. We are committed to our employees and have provided clear guidelines for them on reward, recognition and career development.

To further support this, we embedded our Human Resource Business Partners (HRBP) within business units in order to offer human resource leadership, advisory and support to employees and team leaders and drive a culture of high performance in the Bank. HRBPs provide support to employees in respect of their careers, responsibilities, duties and needs thus enhancing their performance, job satisfaction and career prospects.

Employee wellness

One of the major concerns of our employees during engagement sessions was the employee Medical Scheme. We were able to expand the scope of the scheme to cover a wider array of health related challenges and provide comprehensive support for those with health challenges. We view our Employee Wellness Programme as a tool to provide holistic health solutions to help colleagues deal with a broad range of personal and work related challenges and enable the organisation to understand, protect and improve their resilience. We seek to proactively support employees to manage their health and wellbeing given the proliferation of lifestyle illnesses.

Entrenching a performance culture

Driving performance is a key agenda for Barclays. In 2015, we sought to remove the obstacles that prevent people from performing. We decentralised the HR function to bring services closer to employees making continuous employee engagement easier. We were keen to fill in any employee vacancies that arose and ensured that the right skill sets were available to drive the Bank's strategy. We also enhanced our flexiworking arrangement making it more open, accessible and flexible. This will enhance the employees' work-life balance.

To attain our targets, we hired 100 employees for new products including asset finance, Bancassurance, mortgage and enterprise development. The Bank has a pool of enterprise bankers focusing on providing support to business customers and supporting our strategy on SME development. We intend to support our employees even as we recognise that employees tend to have a shorter employment tenure. We have also strengthened our employee complaints mechanism. Employees are able to raise grievances without the risk of backlash or victimisation.

Diversity and inclusion

We have a robust Diversity and Inclusion agenda anchored on 4 key pillars namely: Gender, Disability, Multi-Generational and Multi Ethnic. In support of the Disability pillar, we held a national Career Fair for Persons Living with Disabilities in December, 2014. During that forum, we made a commitment to increase the number of persons living with disabilities working for the bank. In 2015, we increased this number by 90% to 23 by the close of the year. Our commitment is to continue increasing these numbers, year on year, until we reach and indeed surpass the 5% government threshold. The youth pillar remains a key pillar for the business and they occupy a pivotal position in our future growth plans. As a result, last year offered opportunities to 50 interns on our internship programme.

With respect to the Gender agenda, our achievements on this front have positioned us as thought leaders in this space. We have continued to improve our gender balance consistently over the years. Last year, we maintained the momentum by increasing the number of women in senior leadership position by 9% to stand at 34% in 2015. One of the key drivers behind this development has been the Women Network Forum (WNF) which is an initiative that seeks to drive gender diversity by supporting the leadership and career development of all women in the Bank with a view to increasing the number of women in senior management. WNF is interested in creating a suitable environment that is empowering to all women taking into account their unique needs. In 2015, WNF:

- Established a lactation room dubbed the Baby Eagle Room at Barclays Plaza and refurbished lactation rooms at Queensway and Bishops Gate branches;
- Facilitated a session on leadership hosted by Dr. Laila Macharia dubbed 'Women at the Helm';
- Initiated the "Stepping Up Program" that intends to raise the leadership capabilities of women through mentorship;
- In March 2015, launched the Barclays 'HeforShe' campaign which is a 12 month campaign urging Barclays' male colleagues to make a commitment to support gender equality;
- Provided a charitable contribution to the Kibera Girls Center;
- Celebrated the International day of the Child by organizing a training session on parenting; and
- Raised Shs 1 million which was matched by the Bank, for breast cancer awareness. The funds were donated to the Twakutukuza Trust.

Developing our employees

We made significant strides in our effort to develop the skills of our employees in 2015. We launched a business school that specialises in developing technical and leadership skills. We have several other sessions including Emerging Leaders Program, Soul Food Sessions and employees coaching. Apart from technical skills, we also undertook training sessions on ethics and values because we recognise that the financial sector has faced many challenges due to unethical practices and sought to address these issues. As a result, we have undertaken 46 training session on issues of fraud covering 1,569 employees. Our position is firm on matters of ethics and fraud and in the course of the year we have had to release employees in response to ethical concerns. We will continue to encourage ethical conduct among our employees so that they embed it on a day to day basis.



Kibera Girls Center has been instrumental in taking girls from the streets to being useful women in society. The center runs three departments (Dressmaking and Beading, Catering and Hairdressing) and registers a maximum of 30 girls every year. Following a shilling for shilling initiative, Women Network Forum managed to raise funds and pay a visit to the centre donating sanitary towels, a pressure cooker, toaster, tea urns, grills deep fryers and water dispensers.



Colleagues participating during the Breast Cancer Awareness day



We celebrated International Children's day by kicking off insightful parenting sessions facilitated by Dr & Mrs Mukolwe. The sessions which have received rave reviews so far from staff, focuses first on raising children between ages 0-11 yrs and then covers raising teenagers and young adults.



Leadership session hosted by Dr. Laila Macharia dubbed 'Women at the Helm'. Dr Macharia, a member of the BBK Board articulated the opportunities available for women to thrive and highlighted the challenges facing women in their quest to grow plus ways of addressing them.



In March 2015 the Barclays HeforShe campaign was launched. This is a 12 month campaign urging Barclays' male colleagues to make a commitment to support gender equality for instance, through mentorships. In support of this initiative, CMC members and senior management accepted to volunteer their time to mentor female colleagues in developing their careers. Today, we celebrate this group as well for their time and dedication.



Citizenship

Citizenship is a core aspect of our strategy. Anchored on our “One Africa” strategy we are committed to creating long term sustainable value for our customers, colleagues, communities and other stakeholders.

Introduction

Our Citizenship Agenda aims at contributing to the economic and social progress of the Kenyan Youth, the next generation. We recognise the wide range of challenges that face the youth thus proactively engage in initiatives that address these challenges using our core competencies, expertise and resources. We are committed to enabling prosperity within Kenya and playing our part as a leading financial institution in enhancing financial literacy and economic empowerment.

The 2015 Citizenship plan set commitments around three key pillars based on the areas where the Bank has intrinsic ability to make the most impact. These commitments establish the building blocks of our Citizenship Agenda namely, the way we do business, contributing to growth and supporting our communities. This approach is aimed at achieving inclusive prosperity for current and future generations.

In 2015, we successfully ran five initiatives namely:

- Light up Kenya (LUK) in partnership with Kenya Girl Guides Association & CARE Kenya;
- Barclays Eco-Entrepreneurs (BEES) by Centre for Environmental Action;
- ITS TYME in partnership with Junior Achievement;
- African Agri-preneurship Program (AYAP) in partnership with Techno Serve; and
- Banking on Change (BoC) in partnership with CARE Kenya.

These initiatives seek to provide Kenyan Youth with enterprise skills to enable them effectively establish and sustain their businesses.

How we measure ourselves

	2015	2014
Citizenship Plan (number of initiatives on track or ahead)	5	5
% employees attesting to code of conduct (Barclays Way)	100%	100%
Total community investment spend (approx. Shs'million)	145	148

Our philosophy

At Barclays, through our Community Agenda, we believe that as society prospers we also prosper. We choose to invest in the social and financial ecosystems that influence societal prosperity and this drives our ambitious citizenship investments in Kenya. We are cognisant that we cannot and should not address every social issue and have thus chosen to invest in those areas where we can make the greatest impact. Our work is in line with government priorities and responds to the challenges that are evident in society. Youth and Unemployment are important issues to be addressed for sustained economic growth and for a safe, equitable and sustainable society in Kenya. We seek to provide meaningful solutions to benefit individual's lives, their families, communities and ultimately society as a whole.

The way we do business

Our business interventions are largely informed by the needs in our society. We deliver on the Citizenship Agenda in partnership with reputable Non-Governmental Organizations (NGOs) and relevant government ministries to be able to effectively address the emerging economic needs affecting the Youth.

Contributing to growth

Our initiatives aim at providing the beneficiaries with lasting and sustainable solutions by growing their daily income thus resulting into positive impacts for them and their direct dependants. These initiatives work with a diverse array of Youth from across Kenya, helping them provide commercial solutions to problems affecting their communities. The Light Up Kenya (LUK) initiative engaged Youth from communities living off the national electricity grid, by training them on the use of Solar Lanterns which they were able to source at highly discounted prices and then resell to community members. This initiative resulted to numerous benefits to both the Youth and the Community. The benefits range from income earned, improved safety as reduced cases of fire accidents were reported, improved academic performance by children whose households adopted the use of solar energy, reduced respiratory ailments especially among children from families which previously used kerosene as a source of lighting. LUK initiative impacted on 65,000 Youth who gained business skills training.



“I have been selling the solar lamps since 2014. Income earned from the sales and savings from purchase of kerosene in our home have changed our lives as well as the lives of so many of those I have sold the lamps to! My children have time to complete their homework and I can listen to the radio. We have lively conversations in the evenings about my children’s school day and the news, and we are also now safe to go to the washroom at night!

Josephine Obingo

Supporting our Communities

We recognise that many youth in Kenya face an uncertain future after graduation from college or university (a study by the British Council in 2014 “Can higher education solve Africa’s job crisis” showed that it takes a university graduate an average of five years to secure a job in Kenya). At Barclays, we committed to work with partners to provide a safe transition for them. Ready To Work provides learning material that will help young people develop work skills, people skills, money skills and entrepreneurial skills. Young people can select their own learning pathway depending on individual needs and complete the learning online using computer, tablet or mobile platforms.

Empowering women

In December 2015, Barclays Kenya hosted the ‘Women in Business’ Conference in partnership with the Ministry of Foreign Affairs and International Trade and the International Trade Centre (ITC) to discuss interventions required to increase the participation of women in trade with a particular focus on the SME sector. The conference brought together over 350 government representatives, private sector players and women business owners drawn from all over the world and was a precursor to the World Trade Organization (WTO) conference. During this conference, Barclays committed to train 10,000 women business owners and reiterated the Bank’s commitment to support women owned enterprises through a Kshs 5billion loan fund.

Sharing our expertise

Through our employee volunteering program (Make A Difference Day) our staff offered skills based trainings and mentorship to youth and other groups throughout the year.

The pride and interest colleagues take in this program is attested by the high participation rate. In 2015, 3,700 Barclays Kenya employees volunteered their expertise and over four hours per person, of their time (average value Shs 55,000) in support of our communities. Of this, 90% were skills based interventions in comparison to 75% in 2014. One of the key highlights was the workshop in the University of Nairobi where over 2,000 students were trained on work and employability skills.



Employees take pride in mentoring the Youth

Banking on Change (BoC)

In partnership with Plan International and CARE, Banking on Change (BoC) sought to reach unbanked populations and provide basic financial services and training. Formally registered Youth and Women Groups (Chamas) were guided on how to improve on their savings culture while utilising an exciting savings solution - Uwezo Account, the beneficiary gained Money and Business skills. For the first time, the Groups had access to formal banking services, a service previously perceived to be a preserve of the elite in the society.

Focus Area	Activity	Amount	% Change
Informal financial services for youth	Youth Groups formed 2013	770	29%
	Youth Groups formed 2014 (cumulative)	3,552	134%
	Youth Groups formed 2015 (cumulative)	3,552	-
Enterprise Development	People trained 2013	200	1%
	People trained 2014 (cumulative)	16,145	71%
	People trained 2015 (cumulative)	18,294	81%
Deepening Financial Inclusion	Groups linked 2013	NA	-
	Groups linked 2014 (cumulative)	NA	-
	Groups linked 2015 (cumulative)	1,785	-
Employee Engagement	Employees engaged 2013	170	85%
	Employees engaged 2014 (cumulative)	210	105%
	Employees engaged 2015 (cumulative)	210	-



“15 of us contributed Shs 200 each and started a small shop at the hospital. We spotted a gap to sell fast moving items near the mother and baby clinic. Cakes and nappies are the most popular items. We take stock every evening – we know what the profit, loss is, what we’ve sold. We sell Shs 5,000 of stock every day, giving us around Shs 3,000 in profit. We started small but it’s going to become a shopping mall, we aim high.”

Ruth Munjiuru, 24, Tuosey Youth Savings Group, Kenya



Conduct

We take integrity seriously. We want our values to be reflected in all our undertaking and operations. We are willing to make hard decisions to uphold our high standards of conduct

Introduction

At Barclays, we place a high premium on good conduct. We consistently evaluate our conduct to ensure that we are portraying our values – Respect, Integrity, Service, Excellence and Stewardship. We also place a high premium on Treating Customers Fairly (TCF) which we view as an uncompromising standard for us that is exercised in all our customer engagements. Further, we believe in ethical and responsible business practices.

How we measure ourselves

	2015	2014
Treating Customers Fairly (TCF)	55%	78%
Disciplinary as a percentage of total employee base	5%	6%
Grievances as a percentage of total employee base	5%	2%

Treating Customers Fairly

For us, fairness means putting the best interests of the customer foremost. It is our commitment to avoid decisions and actions that would cause harm to our stakeholders. We provide transparent and complete information, allowing our customers to make informed decisions.

We adhere to several local and international policies, legislation and standards. These include standards on ethical communication that provides for truthful and fair communication. Our integrity standards create a high threshold for the deals we participate in and we are firm in ensuring that the interests of our customers are observed and safeguarded.

We disclose our cost of credit as required by the Kenya Banks Reference Rate (KBRR) regulation and also provide borrowers with the requisite information before they access credit from us. We believe in transparency in all our dealings with customers.

Managing Fraud

Fraud remains a major concern in the financial sector in Kenya. Industry losses in 2015 stood at Shs 759 million. For the Bank, fraud performance in 2015 was as follows:

Fraud Performance		
Fraud Metrics	FY 2015	Cases
Gross Loss (Shs' millions)	59	613
Recoveries (Shs' millions)	5.5	96
Net Loss (Shs' millions)	53.7	-
Fraud Appetite	78.3	-
Performance	31%	Below appetite
Frustrated Fraud	200	579
Reported to BFID*	-	33

*BFID - Bank Fraud Investigations Department

We have invested extensively in the prevention of fraud so as to uphold the trust placed in us by our stakeholders, particularly depositors. To reduce fraud on cards, we aggressively facilitated the migration to EMV cards which are less prone to fraud. We have also invested in Visa Risk Manager (VRM) which provides us with an integrated, proprietary tool to prevent, detect and respond to fraud comprehensively and speedily. This fraud monitoring tool generates alerts based on set parameters and has been useful in deterring fraud worth Shs 4.4 million. In addition, we introduced SMS alerts for debit card transactions.

In 2014, we invested in Intelligent Data Extraction and Analysis (IDEA) to counter operational fraud with great success. Through 2015, IDEA has provided a robust safeguard from internal fraud. The Bank is able to produce reports on a daily basis using this analytical tool for manual fraud monitoring.

With the migration to Chip and Pin, fraudsters are shifting from counterfeit fraud to Card Not Present (CNP) fraud. In 2015, CNP fraud increased by 119% compared to 2014. We are proactive in studying these trends and have devised responses to prevent such fraud.

We continue to invest in our employees on issues of ethics and values through trainings, meetings and discussion forums to ensure full compliance and buy-in of our corporate values.

Our Performance



Former football legend star Robert Pires participating in a community initiative together with Barclays Managing Director, Jeremy Awori

CFO's Report on Financial Performance



Income

Our performance can be characterised as solid and consistent. Our net income grew by 4% in 2015 from Shs 28.3 billion to Shs 29.5 billion. Interest income grew by 10% but was offset by an increase of 46% in interest expenses. This was driven by an increase in cost of funds mainly as a result of volatility in interest rates. This further resulted in a mark to market loss on our fixed income trading book. In addition, tight liquidity occasioned by the regulator's intervention resulted in increased rates on deposits. Despite these headwinds, net interest income grew by 4% to Shs 20.4 billion. Non-interest income performed well growing by 4% from Shs 8.7 billion to Shs 9.1 billion. This attests to the growing success of the Bank's strategy to diversify revenue sources beyond the lending book. The key driver in this area was Bancassurance. Overall, our profit after tax (PAT) was Shs 8.4 billion.

Loans and advances

The lending book grew from Shs 125 billion to Shs 145 billion, a 16% increment. The average growth rate over the last four years is 12%. There was a significant increase in lending to the SME sector through Business Banking with this segment growing robustly by 27%. Corporate lending grew by 25% while consumer loans increased by 9%.

Deposits

Current and savings accounts constituted 79% of our deposits, up from 77% in 2014. Term deposits, which attract higher interest rates and are more expensive, declined by 200 basis points to 21%. Deposit stood at Shs 165 billion in 2015, mirroring 2014 but with a marked difference in composition. In 2015, deposits under the Corporate Banking and Business Banking segments declined by 10% and 13% respectively while Consumer Banking grew by 10%.

Impairment

Credit impairment charges increased by 26% from Shs 1.4 billion to Shs 1.8 billion. Non-Performing Loans (NPL) of 3.5% remained well below the industry average of 5.4%, reflecting our strong risk management practices and adherence to sound lending practices.

The average loss rate stood at 1.2% with the NPL Coverage Ratio increasing marginally to 72% portraying a healthy level of provisions.

Cost

We continue to manage our costs effectively. Apart from employee costs, all other costs remained relatively equal to the previous year. Employee costs increased by 15% year on year. This increase reflects a number of changes effected around our employees including shifting roles, training and development, recruitment of experienced employees to manage new products and employee engagement expenses. Overall, our costs increased by 7% from Shs 14.6 billion in 2014 to Shs 15.6 billion in 2015. Our cost to income ratio remained relatively stable increasing by 100 basis points to 53% indicating that we have continued to invest in new products and technology for future growth whilst driving efficiency.

Capital

Our capital ratios are strong with sufficient headroom above the regulatory requirements. In 2015, our liquidity of 34% was 14% higher than the regulator's requirement. In addition, we were able to improve our capital structure by the infusion of a tier II capital injection through a subordinated loan from the Barclays Africa Group Limited (BAGL). Our core capital ratio stood at 15.7% while our total capital ratio, which takes into account tier II capital, increased from 16% in 2014 to 18.4%.

Dividends

The Board has approved a final dividend of Shs 0.80 per share having paid an interim dividend of Shs 0.20 per share. The total dividend for the year amounts to Shs 1.00 per share.

Outlook

We remain committed to our strategy of diversifying our income sources. By the same token, our commitment to the youth and women is firm and we are making significant investments to support these two groups. We will also enhance our efforts to work with SMEs, enhance the performance of the Asset Finance and Mortgage Centres of Excellence and deliver new products and services.

We continue to de-risk our loan book through diversification and on-boarding of Local Large Corporations (LLC), reducing dependency on the Scheme Book and improving the balance between corporate and retail customers.

Cost efficiency is an area we have excelled in. Cost increases have remained below the inflation rate. We will identify more ways of managing costs particularly through technology and also harness the cost benefits of our current investments.

Our governance remains a key pillar of the Bank. Compliance with internal requirements and external laws and regulations is an important feature of the way we do business. We support strong control mechanisms and prudent financial practices.

Most importantly, we will be keen to enhance revenues. This will be done through a culture that rewards performance, aggressively marketing our new and improved products and services, improving the customer experience and ensuring we deliver world class services.

Yusuf Omari
Chief Financial Officer

CRO's report on risk management



Enterprise Risk Management Framework (ERMF)

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management at Barclays Kenya is to evaluate, respond to, and monitor risks in the execution of our strategy. It is essential that business growth plans are supported by an effective Enterprise Risk Management Framework (ERMF).

The Risk function retains independence in analysis and decision making. The approach to managing risk is outlined in the ERMF, which creates the context for setting policies and standards, and establishing the right practices throughout the Bank. The ERMF defines the risk management process and sets out the activities, tools, techniques and organisational arrangements to ensure that material risks can be optimally identified and managed. It also ensures that appropriate responses are in place to protect the Bank and prevent detriment to its stakeholders.

The ERMF includes those risks taken by the Bank that are foreseeable, and material enough to merit establishing specific bank-wide control frameworks. These are known as Key Risks and are grouped into Five Principal Risks:

- Credit;
- Market;
- Funding;
- Operational; and
- Conduct Risk.

The Three Lines of Defence operating model, which has been defined in the ERMF, enables the appropriate assignment of risk management activities between those parties that:

- a) Own and take risk and implement controls (First Line of Defence);
- b) Oversee and challenge the first line, providing independent risk management activity and support controls (Second Line of Defence); and

- c) Provide independent assurance that risk processes are fit for purpose, and that they are being carried out as intended (Third Line of Defence).

The ERMF enables the Bank's businesses and functions to be organised along the Three Lines of Defence by formalising independence and challenge, whilst promoting collaboration and the flow of information between all areas.

Risk Review of 2015

Overall risk management performance continued to be sound with all risk measures remaining within the Board-approved risk appetite. Key highlights included:

- Macro-economic conditions remained challenging, key concerns being: 13% year-on-year depreciation of the Kenya Shilling against the US Dollar; volatile interest rate regime, leading to high interest rates; and uptick in inflation above the CBK upper range of 7.5%. As a result of these challenging conditions, the Bank extended its framework of macro-economic triggers and management actions;
- Loans and advances to customers increased 16%, driven by growth in all key business lines: Consumer Banking (9% growth); SME Banking (27% growth) and Corporate & Investment Banking (25% growth);
- The impairment Loan Loss Rate (LLR) increased to 1.2% (2014: 1.1%) and impairment charges increased to Shs 1.8 billion (2014: Shs 1.4 billion). Impairment performance in 2015 was adversely impacted by a full impairment charge taken on exposures to a bank in receivership;;
- Overall NPL coverage increased to 72% (2014: 71%);
- Market risk exposures remained within overall risk appetite notwithstanding volatile market conditions. These volatile market conditions led to mark-to-market losses;
- Total operational risk and fraud losses were lower than 2014, with fraud losses accounting for 67% of the total; and
- The Bank implemented a new Group-wide approach to the management of Conduct Risk.

Future Risk Priorities

- Review and right-size risk appetite to take account of global and local macro-economic challenges, while at the same time supporting profitable and sustainable business growth;
- Increase focus on new and robust risk models to support sustainable business growth, e.g. mobile phone lending;
- Continue to strengthen Operational Risk controls and infrastructure, specifically in the areas of IT, Financial Crime, and Cybercrime;
- Enhance Conduct Risk management controls, tools and reporting; and
- Increase focus on data initiatives, including those arising from regulation (e.g. BCBS 239 and IFRS 9).

Risk Appetite

Risk Appetite and Stress Testing are key components of the Bank's management of risk and are embedded as part of the strategic planning process. The risk appetite statement describes and measures the amount and types of risk that the Bank is prepared to take in executing its strategy. The Bank's risk appetite framework combines a top-down view of capacity to take risk with a bottom-up view of the risk profile associated with each business area's plans.

Risk Appetite Key Indicators and Triggers:

The Bank manages its risk profile in a forward-looking manner through a trigger and management action framework. Key indicators and triggers have been developed to serve as an early warning system in the event of deteriorating circumstances. The

Risk management (continued)

indicators include, inter alia, economic indices directly correlated with risk measures and key financial indicators. The indicators and triggers have been implemented at country and product levels, and are routinely monitored by management and reported to the Board Audit & Risk Committee on a quarterly basis.

Stress Testing

Stress testing is a key element of the Bank's integrated planning process. Through the use of stress testing and scenario analysis, the Bank is able to assess the performance of the various portfolios in the expected economic environment and also evaluate the impact of adverse economic conditions.

Performance Overview of the 5 Principal Risks

Credit Risk

The risk of financial loss should the Bank's customers or market counterparties fail to fulfil their contractual obligations.

Key Trends 2015 vs. 2014

- 16% growth in net loans and advances to Shs 145 billion from Shs 125 billion;
- NPLs as a percentage of gross loans and advances dropped to 3.6% from 4.8%;
- NPL's coverage ratio improved to 72% from 71%; and
- Impairment charge was Shs 1.8 billion up from Shs 1.4 billion. The increased charge was driven by prudent decision taken by the Board Audit & Risk Committee to make full (100%) provision for exposures to a bank closed by the CBK in the course of 2015.

Future priorities for Credit Risk:

- Closely monitor risk trends arising as a result of macroeconomic uncertainty;
- Undertake regular portfolio reviews;
- Ensure continuing alignment of business strategy with risk appetite;
- Implement agreed management actions in response to changing economic conditions;
- Implement enhanced models and data management;
- Further enhance collection & recovery programmes to ensure appropriate management of customers in financial difficulty;
- Continue to focus on models/analytics to improve the Bank's risk profile, measurement and risk-adjusted returns; and
- Continue to improve internal risk measurement models and processes as part of the Internal Capital Adequacy Assessment Plan (ICAAP).

Market Risk

The risk that the Bank's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices.

Traded market risk: the risk of the Bank being impacted by changes in the level or volatility of positions in the trading book.

Non-traded market risk: the risk of the Bank's earnings or capital being reduced due to the market risk exposure from banking book positions which may arise net of hedging activities.

Pension risk: the risk that arises when an adverse movement between pension assets and liabilities results in a pension deficit.

Key Trends 2015 vs. 2014

Volatile movements in interest rates led to mark-to-market losses in the trading book.

Future Priorities for Market Risk:

- Continue investments in systems, infrastructure and talent;
- Continue to reduce margin volatility through on-going structural hedge programmes; and
- Develop pension risk appetite.

Funding Risk

The risk that the Bank is unable to achieve its business plans as a result of capital and liquidity risk.

Capital risk: the risk that the Bank is unable to maintain adequate levels of capital. This could lead to an inability to support business activity, a failure to meet regulatory requirements, and/or changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

The capital management process includes:

- Meeting capital ratios required by Central Bank of Kenya (CBK) and the target ranges approved by the Board;
- Maintaining an adequate level of capital resources prudently in excess of regulatory and economic capital requirements; and
- Maintaining a sustainable dividend policy to maximise shareholder value.

Key Trends 2015 vs. 2014

Healthy capital ratios were maintained, well above the minimum regulatory limits. Core Capital Ratio was at 15.7% (2014: 15.7%), well above the regulatory minimum of 10.5%. Total Capital Ratio was at 18.4% (2014: 16.0%), well above the minimum regulatory requirement of 14.5%.

Future priorities for Capital Risk:

- Ensure the Bank remains adequately capitalised relative to minimum regulatory requirements and within Board-approved target capital ranges;
- Further improve the approach to capital management;
- Continue focus on RWA (Risk Weighted Assets) precision;
- Enhance the economic capital framework;
- Continue embedding performance metrics such as positive net generation of equity and return on equity;
- Maintain an optimal capital supply mix; right balance between Tier1 and Tier2 capital; and
- Allocate capital appropriately, to ensure optimal returns on capital employed.

Liquidity Risk: The risk that the Bank is unable to meet its obligations as they fall due.

The liquidity risk management process includes:

- Management of the overall funding position, including development of the funding plan;
- Liquidity risk monitoring;
- Intra-day liquidity risk management;
- Contingency liquidity planning; and
- Regulatory compliance.

Key Trends 2015 vs. 2014

Liquidity ratio was 34% (2014: 44%), well above the minimum statutory requirement of 20%. The year-on-year trend is as a result of the good 16% growth seen on the lending book in 2015.

Future priorities for Liquidity Risk:

- Manage the funding and high quality liquid asset position in line with the Board-approved liquidity risk appetite framework and regulatory liquidity requirements;
- Continue to grow and diversify the funding base to support asset growth and other strategic initiatives; and
- Embed Board-approved Recovery and Resolution planning.

Operational Risk

Operational risk arises when there is potential for direct and indirect loss resulting from human factors, inadequate or failed internal processes, systems or external events.

Technology risk: significant investments have been made in upgrading infrastructure and disaster recovery capabilities resulting in improved system stability.

Fraud risk: plastic fraud losses remain the major contributor to overall fraud losses, but these have improved and stabilised as use of Chip and Pin technology increases. Lending fraud has seen an uptick and is being monitored closely.

Information risk: further progress has been made in enhancing protection of secret and confidential data by improving logical access controls.

Financial crime: satisfactory progress has been made on remediating customer identification and verification issues, customer on-Boarding processes, improved customer document retrieval capability as well as improved suspicious transaction monitoring. Automated processes and controls are applied where possible.

Key Trends 2015 vs. 2014

Operational losses were lower in 2015 compared to 2014, arising from the increased investments in systems and infrastructure, including investments in new fraud-detection tools.

Future priorities for Operational Risk:

- **Technology risk:** Continue to invest in technology to improve and maintain technology resilience. Continue focus on cyber risk management;
- **Financial crime risk:** Financial Crime compliance will be strengthened through further investment in technology and transforming the customer on-Boarding processes; and
- **Fraud risk:** Improve the Bank's fraud detection/prevention capability with a focus on digital/mobile banking, branch network and operations.

Conduct Risk

Conduct risk is the risk that detriment is caused to customers, counterparties or the Bank because of inappropriate judgement in the execution of business activities.

Review of 2015:

The key themes identified in conduct material risk assessments were:

- Resilience of technology;
- Continued levels of regulatory change and scrutiny; and
- A number of accounts deemed to be non-compliant with know your customer (KYC) regulations were blocked with a consequent negative impact on the customer experience.

Future priorities for Conduct Risk:

- Increase focus on improving overall regulatory controls, particularly those related to Know Your Customer (KYC) and anti-money laundering (AML);
- Embed material risk assessments and forward-looking Conduct risk reporting across the Bank;
- Enhance controls and key performance indicators to track and manage conduct risk; and
- Maintain a robust awareness and understanding of drivers of political, regulatory and policy changes to minimise customer impact.

Segment reviews

Consumer banking

Operating environment

2015 was a highly volatile year with the depreciation of the Kenya shilling to the US dollar and increases in interest rates. Innovation and competition within the payment space continued with an increase in the provision of digital and mobile banking products. Card acquisition and Bancassurance picked up throughout the year while our unsecured lending book remained solid though margins on these loans faced extensive downwards pressure.

Our performance

	2015	2014	Growth
Shs'million			
Revenue	15 943	14 784	8%
Impairments	1 584	1 264	25%
Customer Loans	78 435	74 515	5%
Customer Deposits	122 392	116 281	5%
Impairment Loss Rate (bps)	199	173	15%

Commentary

Consumer Banking is segmented into Premier, Prestige and Personal Banking. Services offered include banking solutions, transactional, savings and investments, lending and protection.

We continued our emphasis on providing value adding services and solutions, increasing the use of technology to enhance customer experience and launch of new products and services. Our aim was to consolidate the investments we have made in improving our Consumer Banking products and services. Personal Banking remains the major revenue contributor for Barclays with approximately 65% of income and 60% share of deposits.

Customer lifecycle management remains a key approach for our Customer Banking business. This approach seeks to provide relevant services and products to our customers based on their stage in life. We want to be known as a bank that accompanies our retail and corporate clients through the diverse journeys of life. We continue to monitor two key variables in regards to our customer namely; involve our customers and engage our customers.

Following on from 2014, the Zidisha Savings product performed robustly in 2015 superseding our target of Shs 1 billion in deposits threefold. Card acquisition expanded strongly growing from an average of 800 acquisitions per month to 2,000 by the close of the year. Islamic banking had a mixed performance and we are currently working on improving our offer and technological changes.

Our wide array of distribution channels offered customers with convenient access to our services. These include 119 outlets, 229 ATMs, 45 iATMs, mobile and internet banking. We embarked on the shared distribution model transforming our branches to offer retail, business and corporate banking services jointly. Previously, our branches specialised on retail banking. The shared distribution model offers great cost benefits and allows us to leverage on our expansive branch network to serve our SME customers. It also enables us to respond to changing consumer behaviour and patterns currently tending towards unified services and products. The model is a precursor to our strategy of introducing the universal banker concept. We are currently developing the skills of our personnel so that they are able deliver universal services to customers across the different banking segments.

Branch optimisation is a key agenda for consumer banking. In 2015, we undertook a number of branch assessments on several key performance variables to identify measures that could enhance the performance of our branches. Through this effort, we have earmarked 25 branches for optimisation and seek to open 4 new branches. We will also modernise many of our older branches in line with the expectation of modern clients.

In 2015, we launched our Bancassurance service and Mortgage Centre. Bancassurance has picked up well earning Shs 170 million in six months. We anticipate growth to double in the coming year with earnings around Shs 430 million. Mortgage has also performed well with a growth of 33% year on year and tripling our volumes.

In 2016, we will continue to consolidate our progress while developing new products and services. We will also launch several new features to our existing products. This will include enhancement of our mobile banking offer, issuance of ATM loans, payroll solutions for Zidisha Savings accounts holders and universal banker concept within all segments of consumer banking.

In addition, we will be looking at Agency Banking, Social Banking, brokerage services, wealth management services, increasing core brands for our card acquisition agenda and improving card usage.

Corporate and Business Banking

Operating environment

Corporate Banking is a key segment for Barclays Bank. The Bank's global reach enables us to deliver exceptional and trusted services in international trade. Conversely, our local roots and knowledge enables us to understand and support companies in Kenya. Our investment banking segment remains a highly sought after partner for designing and delivering high quality deals. We want to be known as a holistic bank offering trade services, debt, asset finance, cash management solutions and investment banking.

In 2015, we placed emphasis on Large Local Corporations (LLC) and Small and Medium Enterprises. Business Banking and Corporate & Investment Banking experienced robust growth in 2015. Loans and advances in this segment increased by 27% and 25% respectively. The Shared Distribution Model enabled our branches to extend services to corporate customers leading to increased uptake on products and services.

Our performance

	2015	2014	Growth
Shs'million			
Revenue	7 774	7 340	6%
Impairments	182	141	29%
Customer Loans	66 071	52 650	20%
Customer Deposits	44 290	52 600	(16%)
Impairment Loss Rate (bps)	28	27	4%

Business Banking

Our Business Banking Unit was launched in 2014 targeting the SME market. The Unit offers a wide array of products including loans, overdrafts, working capital finance, cash management products, trade finance solutions, business debit cards and Asset Based Finance (ABF).

In 2015, the Business Banking Unit experienced good growth. The loan book, which was declining in the past, increased by 27%. Customer numbers also increased driven by investments in the brand, marketing through the prosper campaign and active selling by branches. We expanded our footprint for SME products from 20 to 119 outlets.

We now have a complete employee complement for the delivery of SME services and products. Attracting and retaining good talent for this segment is very competitive since there are few experienced SME relationship bankers with the requisite skills and experience. This is made even harder by the fact that the SME sector is a specialised service where the Bank provides tailor made solutions for SMEs based on their specific needs and requirements. Our employee value proposition remains strong as we are a stable employer with stable leadership giving us an edge on recruitment.

We have continued with innovation for this segment with the aim of enhancing convenience for our customers. Some of the improvements we have made include:

- Launched the SME 'Open Doors' proposition in August, which is hallmarked by a Shs 30 billion loan fund for SME customers.
- Launched the CCRS Lite system, a tool that enables the Bank to evaluate the credit worthiness of SME customers using a behavioural scorecard. The system went live on the 22nd of November, allowing us to process credit requests for our SME customers faster resulting in a reduction in Turn Around Time (TAT) from 4 days to 2 days. Our aspiration is to reduce this further to same day fating once system stability is confirmed.
- Reviewed our unsecured lending cap upwards by 75% for SME customers. Following this move, we now have the best proposition in the market in this segment thus securing our competitive edge. Similarly, to support the Asset Finance Centre of Excellence, we no longer require audited financials for ABF credit requests of up to Shs 15 million
- Reviewed our lending criteria in order to make it easier for SME customers to access much needed credit including no longer requiring our customers to furnish us with audited accounts among several changes.

One of the clear advantages we offer in this segment is our global reach. We are a global bank with far reaching networks and yet we are a truly local bank with deep roots in Kenya. For SMEs that undertake international business across the globe, we offer several advantages through our networks, experience and expertise to deal with exposure to foreign markets, sourcing of inputs, international tax and trade and international law.

We will continue to innovate in terms of products and processes for our SME customers. A key agenda for us in 2016, is to simplify the processes and documentation required by SME customers to access credit. Our Agency Banking offer, which is anticipated in 2016, will provide us with increased scope for working with our SME customer. We are highly prudent in our actions and have proactively sought to support potential customers address risk concerns so that they qualify for credit.

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Barclays Bank of Kenya had the great pleasure of hosting Graca Machel at the 'NSE Leadership Dialogues Series' forum. The forum was launched in 2014 to lobby Chairpersons, CEOs and Company Secretaries of listed Boards to embrace diversity on three fronts: age, profession and gender.

During the event, Barclays Bank of Kenya was awarded the Most Improved Company, for leading the way in the gender agenda in recognition of the leadership role after the bank's Board became the first among listed companies to attain 50:50 gender representation.

Governance



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Chairman's Report on Corporate Governance



The year 2015 saw a continued focus on business growth as well as a deliberate emphasis on strong internal controls, processes and procedures, which is our license to do business. The year saw a continued improvement in the Bank's product suite as well as a low consumption of the risk appetite due to the strong internal controls. This was in spite of the various challenges that were witnessed during the year, including the volatility of the interest rates and increased regulatory action. This year saw the closure of two banks due to improper business practices, thereby underscoring the importance of good conduct in banking business as well as proper governance practices and adequate internal controls. The Board and Management are committed to ensure that the Bank's business is conducted with the highest standards of professionalism and right conduct for the good of all our customers and stakeholders.

Statement of Compliance

The Board and Management of the Bank continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary regulatory authority. By virtue of being a listed entity, the Bank is also guided by the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and complies with the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange. In addition, the Board has its own stringent standards of governance as set out in its Board Charter in line with Barclays Group standards.

Board Composition

During the year, the Board composition changed with Board bidding a sad but fond farewell to three (3) of its long serving non-executive directors, Rose Ogega, Brown Ondego and Jane Karuku. The said directors retired from the Board after serving their respective full terms. The directors' great contributions to the Board over the years played a significant role in the Bank's and the Board's continued success. In line with the continued initiatives to bring in a new mix of skills and experience to the Board, the Board also appointed one additional (1) non-executive director, Philip Kinisu. Philip's 30 years of experience as a professional accountant, consultant and business leader with extensive exposure to business issues in both public and private sectors are a welcome and timely addition to the Board.

The Board now comprises eight (8) Directors, six (6) of whom are Independent Non-Executive Directors. The broad mix of skills and industry experience of Board members are follows:

Name	Industry Experience
Francis Okomo-Okello*	Legal, Financial Services, Tourism and Media
Philip Kinisu*	Accountant, Financial and Business Consulting
Ashok Shah*	Financial Services, Capital Markets and Auto
Jeremy Awori**	Financial Services
Yusuf Omari**	Financial Services
Laila N. Macharia*	Legal, Public Sector and Investment Management
Winnie Ouko*	Accountant, Financial Consulting and Strategy Advisory
Norah Chieng' Odwesso*	Corporate Relations and Strategy Management

*Independent Non-Executive Directors

**Executive Directors

Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of Independent to Executive Directors for licensed banks as 60% and also prescribes the regulatory criteria for independence. The Bank is in compliance with these requirements.

The independence criteria for directors set out by the Board in its Charter is that he or she:-

- Provides objective challenge to Management;
- Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;
- Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;
- Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and
- Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by Management.

The Board, Management and all employees are required to comply with the Bank's Conflict of Interest Policy as well as its code of conduct known as 'The Barclays Way'. 'The Barclays Way' builds on our values of Respect, Integrity, Service, Excellence and Stewardship and provides guidance on how the values should be put into practice in our every day work.

The Non-Executive Directors are required to disclose their areas of conflict of interest, real or perceived, at least once a year when the Register of Directors' Interests is tabled before the Board. Independence is also considered during the Board's annual performance review. Directors are required to refrain from contributing to or voting on matters on which they have such conflict. On an ongoing basis Directors are required to notify the Company Secretary and the Board in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions.

It should be noted that the decision to undertake external activities is a matter for individual Directors to decide, bearing in mind their responsibilities to the Bank including the time commitment we expect of them. We believe that Directors' external appointments benefit Barclays by providing them with a wider range of skills, experience and knowledge that will be relevant to their role on the Board. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Board Leadership

The Board is responsible for providing strategic leadership to the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing, the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. You can read more on the Bank's risk management philosophy and framework in the financial statements under Note 38.

In carrying out its responsibilities, the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders and other stakeholders.

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy;
- Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management;
- Approval of major acquisitions or disposals; and
- Approval of major capital projects.

Lending, Capital and Liquidity Management

- Approval of changes in structure;
- Approval of lending policies and risk appetite; and
- Monitoring capital and liquidity measures to ensure regulatory compliance.

Financial Results and Dividends

- Approval of interim and final financial statements;
- Approval of dividends and other corporate actions; and
- Approving information disseminated to shareholders.

Board Administration and Governance

- Approving Board appointments;
- Developing and reviewing succession planning for the Board;
- Approving Board remuneration;
- Delegating authority to Board Committees and Management;
- Setting terms of reference for Board Committees and determining Board Committee membership;
- Conducting Board and Board Committee evaluations;
- Determination of independence of Non-Executive Directors; and
- Approving the remuneration of auditors and recommending their appointment or removal.

Each director including myself is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average the time commitment for

Chairman's Report on Corporate Governance (continued)

Non- Executive Directors is set at a minimum of 25-35 days per year. My own time commitment is at least 65 days a year. High performance indicators are prescribed in the role profiles to guide the Directors and it is against these indicators that their individual performance is evaluated each year.

My role as Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Jeremy Awori, Managing Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank. The Board is fortunate to continue to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance.

Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-Executive Directors
- Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board. - Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties. - Report regularly to the Board on the performance of the Bank. - Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests. - Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.	- Provide constructive challenges to the Executive Directors and senior management of the Bank. - Help develop proposals on strategy and then fully empower and support the Executive Directors to implement the strategy. - Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies. - Apply their judgement to the business of the Board by leveraging their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries. - Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

Company Secretary

The Company Secretary plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in formulation and delivery of a comprehensive induction programme for new directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors. Waweru Mathenge, who is the Head of Legal & Secretarial Services, served as interim Company Secretary for part of 2015 until the appointment of Paul Ndungi as the new Company Secretary.

Continuous Professional Development

In pursuit of continuous professional development during 2015, the Directors received training in the following areas:

- The Bank's Integrated Planning Model;
- Developments in International Audit Standards on Audit Risk;
- Capital and liquidity management, Asset Liability Management ('ALM'), Funds Transfer Pricing ('FTP') as well as relevant regulatory changes (e.g. BASEL) and how they impact the Bank;
- Conduct Risk policy and framework; and
- Professionally linked continuous professional development programmes.

Board Attendance

During the year, the Board convened and held four (4) ordinary meetings and four (4) special meetings. All the meetings convened had sufficient quorum. In line with its corporate governance standards and practices, the Board held one Board meeting outside Nairobi and had the opportunity to interact with employees and customers living and operating in the Rift Valley region. At least once a year, the Board endeavours to visit a different region of the country to gain a better understanding of the perspectives and needs of its customers living and operating in the particular region.

The attendance of individual Directors at Board meetings during 2015 is tabulated below:

Director	Ordinary (Scheduled) Meetings				Special Meetings			
	24.02.15	21.05.15	07.08.15	22 & 23.10.15	06.03.15	13.08.15	27.08.15	30.11.15
Francis Okomo-Okello	✓	✓	✓	✓	✓	✓	✓	✓
Jeremy Awori	✓	✓	✓	✓	✓	✓	✓	✓
Yusuf Omari	✓	✓	✓	✓	✓	✓	✓	✓
Rose Ogega	✓	✓	N/A	N/A	✓	N/A	N/A	N/A
Brown Ondego	✓	N/A	N/A	N/A	x	N/A	N/A	N/A
Jane Karuku	✓	N/A	N/A	N/A	x	N/A	N/A	N/A
Ashok Shah	✓	✓	✓	✓	x	✓	✓	x
Laila Macharia	✓	✓	✓	✓	✓	✓	✓	✓
Winnie Ouko	✓	✓	✓	✓	✓	✓	✓	✓
Norah Odwesso	✓	✓	✓	x	✓	✓	✓	x
Philip Kinisu	N/A	N/A	N/A	✓	N/A	N/A	✓	✓

N/A - Represents Directors who had either not been appointed or had retired at the time of the meetings meaning they were not eligible to attend the meetings.

Where a Director misses a Board meeting an acceptable apology with a valid reason is sent to me as Chairman in advance of the meeting.

During the meetings, we regularly receive reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely Corporate Banking including the performance of Treasury, Consumer Banking, Operations and Human Resources.

Board Activities in 2015

During the year, the key activities of the Board included:

- Reviewing the Bank's strategic plans for the year in light of the macro-economic environment and in particular reviewing key strategies aimed at growing top line income;
- Approving the Board's work plan which sets out the Board's objectives for the year against which performance is measured;
- Receiving updates from each of the key management functions on their progress against the agreed strategy;
- Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry;
- Reviewing the Bank's business continuity preparedness; and
- Reviewing and approving new business propositions including an enhanced and focussed business banking proposition, investment banking, insurance agency and securities exchange trading participant.

Chairman's Report on Corporate Governance (continued)

Board Evaluation

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the individual Directors. Having addressed the key issues arising from the external third party performance review conducted in the year 2014, as per the Board's standard practice, the Board reverted to conducting an internal performance review for the year 2015.

Board Committees

The Board has three Board Committees (Audit & Risk, Credit and Corporate Governance & Nominations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority listing obligations. The Corporate Governance and Nominations Committee was set up in 2013 with delegated Board authority for oversight of, among other matters, the Board composition and Board succession planning as well as critical matters related to Human Resources Management and Development. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons will provide you below with more details on their deliberations and key achievements in the year 2015.

Management Committees

The Board and its Committees are supported by five key Management Committees (Country Management Committee - CMC, Assets and Liabilities Committee - ALCO, Risk and Control Committee - RCC, Remuneration and Promotions Committee - RPC and Operating Committee - OPCO). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below:

Country Management Committee (CMC)

CMC meets at least twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning. CMC is chaired by the Managing Director and its membership comprises his direct reports with function head responsibility.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Chief Operating Officer, Markets Director, Treasury Director, Corporate Banking Director, Chief Risk Officer and Retail and Business Banking Director.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a quarter and periodically reports to the Board Audit & Risk Committee highlighting key risk and control issues and Management actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit is an invitee to RCC.

Remuneration and Promotions Committee (RPC)

The primary objective of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every month and its membership comprises the Managing Director as Chair, the Chief Financial Officer and Head of Human Resources, the Chief Risk Officer and the Head of Compliance attend the meeting as invitees.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads with direct reporting lines to the Chief Operating Officer who chairs the Committee.

Directors' Emoluments, Shareholding and Conflicts of Interest

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in Note 41 of the financial statements. The basic rates of fees paid to Non-Executive Directors remained unchanged since review in 2014. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the company as at 31 December 2015 is shown below:

Name	Number of shares held
Francis Okomo- Okello	28,400
Philip Kinisu	Nil
Ashok Kumar Mepa Shah	544,380
Jeremy Awori	57,300
Yusuf Kungu Omari	100,000
Winnie Ouko	Nil
Norah Chieng' Odwesso	Nil
Laila Macharia	Nil

Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results. The Company's financial results are published in the local media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and accordingly we published our Annual Report on the Bank's website www.barclays.co.ke. Most Directors were able to attend the last AGM which was held on April 29, 2015 and were available to answer questions from shareholders. This year's AGM will be held on Friday, May 27, 2016 at the Barclays Sports Club, Ruaraka, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.



Francis Okomo-Okello

Chairman

Date: 4 March 2016

Report from the Chairperson of the Board Credit Committee



The role of the Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership currently comprises four (4) Non-Executive Directors namely Ashok Shah (Chairperson), Francis Okomo-Okello, Laila Macharia and Winnie Ouko. From Management, the Committee's membership comprises the Managing Director, Head of Corporate Banking, Head of Consumer Banking, Head of Business Banking, the Chief Risk Officer, Heads of Corporate Credit Risk and Consumer Credit Risk or their respective authorised representatives and Head of Business Support & Recoveries. At this juncture I wish to express my appreciation to my predecessor as Chairman, Brown Ondego and Jane Karuku for their valuable contributions, dedication and commitment to service on this Committee until they retired from the Board in the course of the year.

Achievements in 2015

During the year the Credit Committee convened four (4) ordinary meetings. Attendance was as follows:

Member	Ordinary (Scheduled) Meetings			
	9.2.15	22.4.15	22.7.15	9.10.15
Brown Ondego	✓	✓	N/A	N/A
Jane Karuku	✓	✓	N/A	N/A
Francis Okomo-Okello	✓	✓	✓	✓
Ashok Shah (Chairperson)	✓	✓	✓	✓
Laila Macharia	✓	✓	✓	✓
Winnie Ouko	✓	×	✓	✓
Jeremy Awori	✓	✓	✓	✓
James Agin	✓	✓	✓	✓
Zahid Mustafa	✓	✓	✓	✓
Humphrey Muturi	✓	✓	✓	✓
William Arogo	✓	✓	×	✓
Christine Marandu	✓	✓	✓	✓
Hannah Gitau	✓	✓ (Rep)	✓	✓
Paul Asamba	✓	✓	✓	✓

N/A – Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

Our key achievements during the year included the following:-

- Reviewed the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks;
- Continued to monitor the status of the top 20 exposures on the Bank's balance sheet;
- Assessed the Bank's risk appetite for significant new business deals;
- Regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained; and
- Advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.

Report from the Chairperson of the Board

Corporate Governance and Nominations Committee



The Role of the Corporate Governance and Nominations Committee

The Committee is responsible for considering matters relating to the composition of the Board, including the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee's responsibilities also include corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board's remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate ongoing training for the Board. In addition, the Committee also has oversight responsibility on critical matters related to Human Resources Management and Development.

Committee members

As at 31 December 2015, the Committee's membership comprised of five (5) Non-Executive Directors namely; Francis Okomo-Okello (Chairperson), Ashok Shah, Philip Kinisu, Laila Macharia, Norah Odwesso and Jeremy Awori. I take this opportunity to express my appreciation to Brown Ondego for his valuable contributions, dedication and commitment to service on this Committee until he retired from the Board in the course of the year.

During the year the Committee convened and held four (4) ordinary meetings and one (1) special meeting. Attendance of the meetings was as follows:

Member	Ordinary (Scheduled) Meetings				Special
	16.3.15	21.5.15	27.8.15	23.10.15	31.11.15
Francis Okomo-Okello	✓	✓	✓	✓	✓
Brown Ondego	✓	N/A	N/A	N/A	N/A
Ashok Shah	✓	✓	✓	✓	×
Jeremy Awori	✓	✓	✓	✓	✓
Laila Macharia	✓	✓	✓	✓	✓
Norah Chieng' Odwesso	✓	✓	✓	×	×
Philip Kinisu	N/A	N/A	N/A	N/A	×

N/A - Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

Achievements in 2015

Our key achievements during the year included:

- We successfully concluded the search for an additional Non-Executive Director that is Philip Kinisu. Philip brings on board wide and exceptional experience in finance, audit and business consulting, having had a stellar career at PricewaterhouseCoopers. We believe he has the necessary skills, knowledge and experience to be part of the team to guide the Bank in its continued growth;
- We continued to implement plans for effective succession planning as well as oversight of senior management and we believe that the Bank is in capable hands to lead it successfully into the future; and
- We also concluded an internal Board evaluation exercise. The recommendations arising out of this exercise are being implemented to further improve the Board's performance and effectiveness.

Report from the Chairperson of the Board Audit & Risk Committee



The Bank's audit committee functions through the Board Audit and Risk Committee (BARC). The committee serves as the audit committee for Barclays Bank of Kenya and its subsidiaries (the Group).

This committee meets in terms of formal mandates and deals with all issues arising at the operational division or subsidiary level. Information on the membership and composition of the committee, its terms of reference and its procedures, can be found below.

The role of the Audit & Risk Committee

The Audit & Risk Committee has the Board's delegated authority to review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them. The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. The Committee determines the scope and adequacy of audit assignments carried out by the external and internal auditors. The Committee monitors the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation. The Committee also reviews reports from Management on changes in the regulatory environment and expected

impact of the changes on the Bank's operations. The committee has direct access to the External Auditor, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee Members

As at 31 December 2015, the Committee's membership comprised of four (4) independent Non-Executive Directors namely, Winnie Ouko (Chairperson), Philip Kinisu, Ashok Shah and Norah Chieng' Odwesso. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditor are regular invitees to Audit & Risk Committee meetings. At this juncture I wish to express my appreciation to my predecessor as Chairperson, Rose Ogega, and Jane Karuku for their valuable contributions, dedication and commitment to service on this committee until they retired from the Board in the course of the year.

Chairperson's responsibilities

As Chairperson, it is my responsibility to ensure that the Committee is able to provide appropriate assurance to the Board on issues within its responsibilities. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also my obligation to ensure that members of the committee are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the external auditor.

I meet regularly with the Audit Partner of the External Auditor to discuss their audit work and any issues of concern. I also meet regularly with the Chief Internal Auditor to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach. Outside formal Committee meetings, I convene private sessions between the committee members in the absence of Management and private sessions between committee Members and the External Auditor and the Internal Auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussions in the absence of the Members of the Executive Management and to follow up on any actions requiring the committee's intervention.

Achievements in 2015

We held four (4) ordinary meetings and one (1) special meeting. The attendance of our meetings was as follows:

Member	Ordinary (Scheduled) Meetings				Special
	11.3.15	10.6.15	9.9.15	19.11.15	11.02.15
Winnie Ouko	✓	✓	✓	✓	✓
Rose Ogega	✓	✓	N/A	N/A	✓
Jane Karuku	✓	N/A	N/A	N/A	✓
Ashok Shah	×	✓	✓	✓	✓
Philip Kinisu	N/A	N/A	✓	✓	N/A
Norah Chieng' Odwesso	✓	✓	✓	×	✓

N/A - Represents Directors who had not been appointed at the time of the meetings or had resigned/retired prior to these meetings.

In accordance with the committee's forward agenda for each meeting, the committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing incidences from employees and external persons, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Our key achievements during the year were as follows:

- Reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval;
- Approved the external audit plan;
- Approved the revised Audit Charter which guides the internal audit function of the Bank;
- Reviewed and approved the internal audit plan for the year;
- Received and reviewed reports on the implementation of the Enterprise Risk Management Framework and noted an improved trend in the control environment as well as a reduction in the losses arising from operational risk;
- Reviewed various policies, including the local transfer pricing policy and recommended the policies to the Board for approval;
- Initiated a deep dive into the human resources of the Bank to identify issues of strategic importance to the Bank in relation to the employees. We continued to monitor the implementation of recommendations arising from the committee;
- Initiated and reviewed a deep dive into conduct risk in the Bank;
- Reviewed the status of various compliance requirements and recommended appropriate actions to ensure continued full compliance in a dynamic environment; and
- Reviewed reports on the management of various risks that the business faces on an on-going basis, including operational risk, capital, liquidity, market risk and conduct/reputational risk and approved various recommendations by management intended to enhance the management of these risks.

The committee has evaluated the annual financial statements for the year ended 31 December 2015 and considers that it complies, in all material aspects, with the requirements of the Kenya Companies Act and International Financial Reporting Standards. The committee has therefore recommended the annual financial statements for approval by the Board. The Board has subsequently approved the financial statements.



Annual Report



Proudly opening the Garden City branch

Directors' Responsibilities and Approval for the year ended 31 December 2015

The Directors are responsible for overseeing the preparation, integrity and objectivity of the annual financial statements that fairly present the state of Barclays Bank of Kenya (the "Bank"/"Company") Limited and its subsidiaries (together the "Group") at the end of the financial year and the net income and cash flows for the reporting period, and other information contained in this report.

To enable the Directors to meet these responsibilities:

- All Directors and employees endeavour to maintain the highest ethical standards in ensuring the Company's business is conducted in a manner that in all reasonable circumstances is above reproach;
- The Board sets standards and management implements systems of internal control and accounting and information systems aimed at providing reasonable assurance that both on and off statement of financial position assets are safeguarded and the risk of error, fraud or loss is reduced in a cost-effective manner. These controls, contained in established policies and procedures, include the proper delegation of responsibilities and authorities within a clearly defined framework, effective accounting procedures and adequate segregation of duties;
- The Board and management identify all key areas of risk across the Company and endeavour to mitigate or minimise these risks by ensuring that appropriate infrastructure, controls, systems and discipline are applied and managed within predetermined procedures and constraints;
- The internal audit function is outsourced from Barclays Africa Group Limited Internal Audit, which operates unimpeded and independently from operational management, appraises, evaluates and, when necessary, recommends improvements to the systems of internal control and accounting practices, based on audit plans that take cognisance of the relative degrees of risk of each function or aspect of the business; and
- The internal auditors play an integral role in matters relating to financial and internal control, accounting policies, reporting and disclosure.

To the best of their knowledge and belief, based on the above, the directors are satisfied that no material breakdown in the operation of the systems of internal control and procedures has occurred during the year under review.

The Company consistently adopts appropriate and recognised accounting policies and these are supported by reasonable and prudent judgements and estimates on a consistent basis. The financial statements of the Bank have been prepared in accordance with the provisions of the Kenyan Companies Act and comply with International Financial Reporting Standards (IFRS) and all applicable legislation.

The directors have no reason to believe that the Company will not be a going concern in the reporting period ahead, based on forecasts and available cash resources. These financial statements have accordingly been prepared on this basis.

The directors' report on pages 69 to 70 and financial statements of the Company which appears on pages 73 to 130 were approved by the Board of Directors on 4 March 2016 and are signed on its behalf by:



Chairman
Francis Okomo-Okello



Chief Financial Officer
Yusuf Omari

Directors' Report

for the year ended 31 December 2015

The directors submit their report together with the audited financial statements for the year ended 31 December 2015 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of Barclays Bank of Kenya (the "Company"/"Bank") and its subsidiaries (together the "Group").

Company registration number	C.18208
Country of incorporation and domicile	Kenya
Nature of business and principle activities	The Company is registered as a bank under the Banking Act. The Group is engaged in the business of banking and the provision of related services.
Directors	The directors who served during the year are: F Okomo-Okello (Chairman) J Awori* (Managing Director) YK Omari* (Chief Financial Officer) RN Ogega (Retired July 31, 2015) BM Ondego (Retired April 29, 2015) JW Karuku (Retired April 29, 2015) AKM Shah WA Ouko LN Macharia NC Odwesso PBK Kinisu (Appointed August 17, 2015) *Executive directors
Registered office	The West End Building Waiyaki Way PO Box 30120-00100 Nairobi
Holding company	Barclays Africa Group Limited
Ultimate holding company	Barclays Bank Plc
Independent auditor	PricewaterhouseCoopers
Company secretary	Paul Ndungi
Results and dividend	The financial results of the Bank are set out in the attached financial statements. An interim dividend of Shs 0.20 (2014: None) was paid during the year amounting to Shs 1,086 million (2014: None). The directors recommend the approval of a final dividend for the year ended 31 December 2015 of Shs 0.80 (2014: Shs 1.00) for every ordinary share amounting to Shs 4,345 million (2014: Shs 5,432 million).

Directors' Report (continued)

for the year ended 31 December 2015

Key performance indicators	2015 Shs'million	2014 Shs'million
Profit for the year	8 401	8 387
Total comprehensive income	7 826	8 529
Taxation	(3 673)	(3 906)
Dividends		
- Interim declared and paid	(1 086)	-
- Final proposed	(4 345)	(5 432)
Net assets	39 716	38 355

Authorised and issued share capital

There were no changes to the authorised or issued share capital for the year under review. The share capital is disclosed in Note 31.

Events after the reporting date

No event, material to the understanding of these financial statements, has occurred in the period between the financial year end and the date of this report.

Auditor

The Company's auditor, PricewaterhouseCoopers, has indicated their willingness to continue in office in accordance with Section 159(2) of the Companies Act and Section 24(1) of the Banking Act.

Approval of financial statements

The financial statements were approved by the Board of Directors on 4 March 2016.

Company Secretary: [Paul Ndungi](#)

Statement of Directors' Responsibilities for the year ended 31 December 2015

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and the Bank at 31 December 2015 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 4 March 2016 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Chief Financial Officer: Yusuf Omari



Report of the Independent Auditor to the Shareholders of Barclays Bank of Kenya Limited

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the “Bank”) and its subsidiaries (together, the “Group”), set out on pages 73 to 130. These financial statements comprise the consolidated statement of financial position at 31 December 2015 and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2015 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors’ responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary, to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors’ responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity’s preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity’s internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2015 and of the financial performance and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank’s statements of financial position and profit or loss account are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor’s report is CPA Michael Mugasa – P/No 1478.

Certified Public Accountants
Nairobi

4 March 2016

PricewaterhouseCoopers, CPA, PwC Tower, Waiyaki Way/Chiromo Road, Westlands.
P O Box 43963 00100 Nairobi Kenya
T: +254 (20) 285 5000, F: +254 (20) 285 5001, www.pwc.com/ke

Partners: A Eriksson K Muchiru M Mugasa F Muriu P Ngahu A Murage S N Ochieng’ R Njoroge B Okundi K Saiti R Shah

Consolidated Statement of Comprehensive Income

for the year ended 31 December 2015

	Notes	2015 Shs'millions	2014 Shs'millions
Interest income	4	25 286	22 941
Interest expense	5	(4 875)	(3 337)
Net interest income		20 411	19 604
Fee and commission income	6	7 609	7 189
Fee and commission expense	6	(959)	(825)
Net fee and commission income		6 650	6 364
Net foreign exchange income	7	2 487	2 042
Net (loss)/income from financial instruments at fair value through profit or loss	8	(453)	266
Other operating income	9	367	12
		29 462	28 288
Provision for impairment of loans and advances to customers	10	(1 766)	(1 405)
Net operating income		27 696	26 883
Employee benefits	11	(9 305)	(8 100)
Infrastructure costs	12	(1 617)	(1 432)
Administration and general expenses	13	(3 646)	(3 988)
Depreciation of property and equipment	23	(487)	(487)
Amortisation of intangible assets	24	(567)	(583)
Operating expenses		(15 622)	(14 590)
Profit before income tax		12 074	12 293
Income tax expense	14	(3 673)	(3 906)
Profit for the year		8 401	8 387
Revenue			
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Remeasurement of post-employment benefit obligation	30	79	49
Items that may be reclassified subsequently to profit or loss:			
Available-for-sale financial assets			
Fair value (loss)/gain		(935)	133
Deferred income tax	22	281	(40)
		(654)	93
Other comprehensive (loss)/gain for the year, net of tax		(575)	142
Total comprehensive income for the year, net of tax		7 826	8 529
Earnings per share			
Basic and diluted (Shillings per share)	43	1.55	1.54

Consolidated Statement of Financial Position

At 31 December 2015

	Notes	2015 Shs'millions	2014 Shs'millions
Assets			
Cash and balances with Central Bank of Kenya	15	18 180	24 568
Financial assets at fair value through profit or loss	16	2 245	6 133
Financial assets available-for-sale	17	45 806	51 033
Deposits and balances due from banking institutions	18	253	1 207
Due from group companies	41	13 951	4 755
Loans and advances to customers	19	145 379	125 423
Other assets and prepaid expenses	20	8 830	6 589
Current income tax		134	396
Deferred income tax	22	475	254
Property and equipment	23	3 258	2 847
Intangible assets	24	2 054	2 490
Prepaid operating lease rentals	25	56	57
Retirement benefit asset	30	256	89
Total assets		240 877	225 841
Liabilities			
Financial liabilities at fair value through profit or loss	16	42	36
Deposits and balances due to banking institutions	26	187	121
Due to group companies	41	22 684	13 291
Customer deposits	27	165 083	164 504
Borrowings	28	5 133	2 117
Other liabilities and accrued expenses	29	8 032	7 417
Total liabilities		201 161	187 486
Equity			
Share capital	31	2 716	2 716
Other reserves	32	(739)	(138)
Regulatory reserve	32	927	432
Retained earnings		32 467	29 913
Proposed dividend	44	4 345	5 432
Total equity		39 716	38 355
Total equity and liabilities		240 877	225 841

The financial statements on pages 73 to 130 were approved for issue by the Board of Directors on 4 March 2016 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Managing Director: Jeremy Awori



Chief Financial Officer: Yusuf Omari



Company Secretary: Paul Ndungi

Bank Statement of Financial Position

At 31 December 2015

	Notes	2015 Shs'millions	2014 Shs'millions
Assets			
Cash and balances with Central Bank of Kenya	15	18 180	24 568
Financial assets at fair value through profit or loss	16	2 245	6 133
Financial assets available-for-sale	17	45 806	51 033
Deposits and balances due from banking institutions	18	253	1 207
Due from group companies	41	13 951	4 755
Loans and advances to customers	19	145 379	125 423
Other assets and prepaid expenses	20	8 830	6 589
Investment in subsidiaries	21	275	275
Current income tax		134	396
Deferred income tax	22	475	254
Property and equipment	23	3 258	2 847
Intangible assets	24	2 054	2 490
Prepaid operating lease rentals	25	56	57
Retirement benefit asset	30	256	89
Total assets		241 152	226 116
Liabilities			
Financial liabilities at fair value through profit or loss	16	42	36
Deposits and balances due to banking institutions	26	187	121
Due to group companies	41	22 684	13 291
Customer deposits	27	165 358	164 779
Borrowings	28	5 133	2 117
Other liabilities and accrued expenses	29	8 032	7 417
Total liabilities		201 436	187 761
Capital and reserves			
Share capital	31	2 716	2 716
Other reserves	32	(739)	(138)
Regulatory reserve	32	927	432
Retained earnings		32 467	29 913
Proposed dividend	44	4 345	5 432
Total equity		39 716	38 355
Total equity and liabilities		241 152	226 116

The financial statements on pages 73 to 130 were approved for issue by the Board of Directors on 4 March 2016 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Managing Director: Jeremy Awori



Chief Financial Officer: Yusuf Omari



Company Secretary: Paul Ndungi

Consolidated and Bank Statement of Changes in Equity for the year ended 31 December 2015

	Note	Share capital Shs'millions	Other reserves Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed dividend Shs'millions	Total equity Shs'millions
Year ended 31 December 2015							
At start of year		2 716	(138)	432	29 913	5 432	38 355
Profit for the year		-	-	-	8 401	-	8 401
Other comprehensive loss for the year		-	(654)	-	79	-	(575)
Total comprehensive income for the year		-	(654)	-	8 480	-	7 826
Transfer from retained earnings		-	-	495	(495)	-	-
Transactions with owners:							
Issue of ordinary shares under share-based payment plans		-	53	-	-	-	53
Final dividend for 2014 paid	44	-	-	-	-	(5 432)	(5 432)
Interim dividend 2015 paid	44	-	-	-	(1 086)	-	(1 086)
Proposed final for 2015	44	-	-	-	(4 345)	4 345	-
At end of year		2 716	(739)	927	32 467	4 345	39 716

	Note	Share capital Shs'millions	Other reserves Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed dividend Shs'millions	Total equity Shs'millions
Year ended 31 December 2014							
At start of year		2 716	(401)	973	26 368	2 716	32 372
Profit for the year		-	-	-	8 387	-	8 387
Other comprehensive loss for the year		-	93	-	49	-	142
Total comprehensive income for the year		-	93	-	8 436	-	8 529
Transfer from retained earnings		-	-	(541)	541	-	-
Transactions with owners:							
Issue of ordinary shares under share-based payment plans		-	170	-	-	-	170
Payment of dividends		-	-	-	-	(2 716)	(2 716)
Proposed final for 2014	44	-	-	-	(5 432)	(5 432)	-
At end of year		2 716	(138)	432	29 913	5 432	38 355

Consolidated and Bank Statement of Cash Flows

for the year ended 31 December 2015

	Notes	2015 Shs'millions	2014 Shs'millions
Cash flows from operating activities			
Cash (used in)/generated from operations	33	(19 539)	851
Interest received		23 452	21 858
Interest paid		(4 215)	(2 924)
Income taxes paid	34	(3 351)	(3 722)
Net cash (used in)/generated from operating activities		(3 653)	16 063
Cash flows from investing activities			
Purchase of property and equipment	23	(1 012)	(683)
Purchase of intangible assets	24	(17)	(80)
Net cash used in investing activities		(1 029)	(763)
Cash flows from financing activities			
Proceeds from borrowings	28	5 133	-
Repayment of borrowings		(2 117)	(992)
Dividends paid	35	(6 518)	(2 716)
Net cash used in financing activities		(3 502)	(3 708)
Net (decrease)/increase in cash and cash equivalents		(8 184)	11 592
Cash and cash equivalents at start of the year		16 196	4 604
Cash and cash equivalents at end of the year	37	8 012	16 196

Notes

for the year ended 31 December 2015

1. General information and statement of compliance

Barclays Bank of Kenya Limited (the “Bank”) is a public limited company, incorporated and domiciled in Kenya. Its shares are listed on the Nairobi Securities Exchanges. The address of its registered office is:

The West End Building
Waiyaki Way
PO Box 30120 00100
Nairobi

The annual financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and the requirements of the Kenyan Companies Act.

For the Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of comprehensive income in these financial statements.

On initial recognition, all transactions are recorded in the Functional Currency (the currency of the primary economic environment in which the Bank operates), which is the Kenya Shilling.

The consolidated financial statements are presented in millions of Kenyan Shillings (Shs'millions), the presentation currency of the Bank.

2. Significant accounting policies

The significant accounting policies applied in the preparation of these annual financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Adoption of new and revised accounting standards

During the current year, the Bank has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2015. The adoption of these new and revised standards and interpretations has not resulted in material changes to the Bank's accounting policies. Further details of the new and revised accounting policies adopted during the current year can be found in note 44.

2.2 Basis of preparation

Apart from certain items that are carried at revalued and fair valued amounts, as explained in the accounting policies below, the consolidated financial statements have been prepared on the historical cost basis. The principal accounting policies are set out below.

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

2.3 Basis of consolidation

The financial statements incorporate the financial statements of the Bank and its subsidiaries (together the “Group”). Control is achieved when the Bank is exposed, or has rights to, variable returns from its involvement with an entity and it has the ability to effect those returns through the power it exercises over the entity. The Bank will only consider potential voting rights that are substantive when assessing whether it controls another entity. In order for the right to be substantive, the holder must have the practical ability to exercise that right.

Subsidiaries (including controlled structured entities) are fully consolidated from the date on which control is transferred to the Bank. They are deconsolidated from the date that control ceases.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the statement of profit or loss from the effective date of acquisition and up to the effective date of disposal, as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the Bank and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.4 Revenue recognition

2.4.1 Net fee and commission income

Fees and commissions charged for services provided or received by the Bank are recognised as the services are provided, for example on completion of an underlying transaction.

Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan.

2.4.2 Net trading income

Trading positions are held at fair value and the resulting gains and losses are included in profit or loss, together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

Income arises from both the sale and purchase of trading positions, margins which are achieved through market-making and customer business and from changes in fair value caused by movements in interest and exchange rates, equity prices and other market variables.

Gains or losses on assets or liabilities reported in the trading portfolio are included in profit or loss under net trading income together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

2.4.3 Net interest income

Interest income on loans and advances at amortised cost, available-for-sale financial assets, and interest expense on financial liabilities held at amortised cost, are calculated using the effective interest method which allocates interest, and direct and incremental fees and costs, over the expected lives of the financial assets and liabilities.

The effective interest method requires the Bank to estimate future cash flows, in some cases based on its experience of customers' behaviour, considering all contractual terms of the financial instrument, as well as the expected lives of the assets and liabilities. Due to the large number of products and types (both assets and liabilities), there are no individual estimates that are material to the results or financial position.

2.5 Foreign currencies

In preparing the financial statements for the Bank, transactions in currencies other than the Bank's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the closing rates as at the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Income and expense items are translated at the average exchange rates for the period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used.

On initial recognition, all transactions are recorded in the Functional Currency (the currency of the primary economic environment in which the Bank operates), which is the Kenya Shilling.

The consolidated financial statements are presented in millions of Kenyan Shillings (Shs'million), the presentation currency of the company.

2.6 Employee benefits

Staff costs

Short-term employee benefits, including salaries, accrued performance costs, salary deductions and taxes are recognised over the reporting period in which the employees provide the services to which the payments relate.

Defined benefit scheme

For defined benefit retirement benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at the end of each reporting period. Actuarial gains and losses and the effect of the asset ceiling (if applicable) are recognised in the other comprehensive income in the period in which they occur.

Defined contribution scheme

The Group recognises contributions due in respect of the reporting period in profit or loss. Any contributions unpaid at the reporting date are included as a liability.

The Bank operates equity-settled and cash-settled share-based payment plans.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.7 Share-based payments

The Bank operates equity-settled and cash-settled share-based payment plans.

Employee services settled in equity instruments

The cost of the employee services received in respect of the shares or share options granted is recognised in profit or loss over the period that employees provide services, generally the period in which the award is granted or notified and the vesting date of the shares or options. The overall cost of the award is calculated using the number of shares and options expected to vest and the fair value of the shares or options at the date of grant.

The number of shares and options expected to vest takes into account the likelihood that performance and service conditions included in the terms of the awards will be met. Failure to meet non-vesting condition is treated as a cancellation, resulting in an acceleration of recognition of the cost of the employee services.

The fair value of shares is the market price ruling on the grant date, in some cases adjusted to reflect restrictions on transferability. The fair value of options granted is determined using option pricing models to estimate the numbers of shares likely to vest. These take into account the exercise price of the option, the current share price, the risk-free interest rate, the expected volatility of the share price over the life of the option and other relevant factors. Market conditions that must be met in order for the award to vest are also reflected in the fair value of the award, as are any other non-vesting conditions.

Employee services settled in cash

The fair value of the amount payable to employees in terms of a cash-settled share-based payment is recognised as an expense, with a corresponding increase in liabilities, over the vesting period. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in profit or loss. No amount is recognised for services received if the awards granted do not vest because of a failure to satisfy a vesting condition.

2.8 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

2.8.1 Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the consolidated statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Income tax payable on taxable profits is recognised as an expense for the year in which the profits arise.

Income tax recoverable on tax allowable losses is recognised as a current tax asset only to the extent that it is regarded as recoverable and offset against taxable profits arising in the current or future reporting period.

2.8.2 Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.8 Taxation (continued)

Current and deferred income tax

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.9 Property and equipment

Property and equipment is stated at cost, which includes direct and incremental acquisition costs less accumulated depreciation and provisions for impairment, if required. Subsequent costs are capitalised if these result in an enhancement to the asset.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Estimated useful lives are set out in note 3 (Judgements and estimates). Land and buildings comprise mainly of branches and offices. Freehold land is not depreciated.

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.10 Impairment of tangible and intangible assets (excluding goodwill)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

2.11 Provisions, contingent liabilities and undrawn commitments

Provisions

Provisions for legal claims are recognised when: the Bank has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events, and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the statement of financial position but are disclosed unless the outflow of economic resources is remote.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.11 Provisions, contingent liabilities and undrawn commitments (continued)

Undrawn commitments

Provision is made for undrawn loan commitments if it is probable that the facility will be drawn and therefore results in the recognition of an asset at an amount less than the amount advanced.

2.12 Financial instruments

Financial assets and financial liabilities are recognised when the Bank becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are capitalised to the initial carrying amount of the financial asset/liability, as appropriate on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

On initial recognition, it is presumed that the transaction price is the fair value unless there is observable information available in an active market to the contrary. The best evidence of an instrument's fair value on initial recognition is typically the transaction price. However, if fair value can be evidenced by comparison with other observable current market transactions in the same instrument, or is based on a valuation technique whose inputs include only data from observable markets then the instrument should be recognised at the fair value derived from such observable market data.

2.12.1 Financial assets and financial liabilities

Financial assets are classified depending on the nature and purpose of the financial assets. This is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

Financial instruments at fair value through profit and loss ("FVTPL")

Financial assets are measured as at FVTPL when they are either held for trading or designated as at FVTPL.

A financial instrument is classified as held for trading if:

- it is a financial asset that has been acquired principally for the purpose of selling it in the near term, or it is a financial liability that has been acquired principally for the purpose of repurchasing it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

A financial instrument other than one that is held for trading may be designated as at fair value through profit and loss upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- the financial instrument forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives, and IAS 39 Financial Instruments: Recognition and Measurement permits the entire combined contract (asset or liability) to be designated as at Fair Value Through Profit and Loss.

Financial instruments at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in profit or loss. The net gain or loss recognised in profit or loss incorporates any dividend or interest earned on the financial asset.

Available-for-sale (AFS) instruments

AFS financial assets are non-derivatives that are either designated as AFS or are not classified as loans and receivables or financial assets at fair value through profit or loss.

AFS financial assets include both debt and equity instruments and are stated at fair value at the end of each reporting period.

Subsequent changes in the carrying amount of AFS monetary financial assets relating to changes in foreign currency rates, interest income calculated using the effective interest method and dividends on AFS equity investments are recognised in profit or loss. Other changes in the carrying amount of AFS financial assets are recognised in other comprehensive income and accumulated under the heading of investments revaluation reserve. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.12 Financial instruments (continued)

2.12.1 Financial assets and financial liabilities (continued)

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment. Interest income is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Financial liabilities

Most financial liabilities are held at amortised cost. That is, the initial fair value (which is normally the amount borrowed) is adjusted for premiums, discounts, repayments and the amortisation of coupon, fees and expenses to represent the effective interest rate of the liability.

2.13 Impairment of financial assets

Amortised cost instruments

Impairment on financial assets measured at amortised cost is recognised in accordance with IAS 39, the Bank assesses at each reporting date whether there is objective evidence that financial assets at amortised cost will not be recovered in full and, wherever necessary, recognises an impairment loss in profit or loss. An impairment loss is recognised if there is objective evidence of impairment as a result of events that have occurred and these have adversely impacted the estimated future cash flows from the assets.

Objective evidence of impairment could include:

- significant financial difficulty of the issuer or counterparty; or
- breach of contract, such as a default or delinquency in interest or principal payments; or
- it becoming probable that the borrower will enter bankruptcy or financial re-organisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

For financial assets carried at amortised cost, the amount of the impairment loss recognised is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the financial asset's original effective interest rate.

For financial assets carried at cost, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment loss will not be reversed in subsequent periods.

For financial assets measured at amortised cost, if, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed through profit or loss to the extent that the carrying amount of the investment at the date the impairment is reversed does not exceed what the amortised cost would have been had the impairment not been recognised.

Following impairment, interest income continues to be recognised at the original effective interest rate on the restated carrying amount, representing the unwind of the discount of the expected cash flows, including the principal due on non-accrual loans.

Uncollectable loans are written off against the related allowance for loan impairment on completion of the company's internal processes and all recoverable amounts have been collected. Subsequent recoveries of amounts previously written off are credited to profit or loss.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.13 Impairment of financial assets (continued)

Identified impairment

Impairment allowances are calculated on an individual basis and all relevant considerations that have a bearing on the expected future cash flows of that instrument being assessed are taken into account, for example, the business prospects for the customer, the fair value of collateral, the Bank's position relative to other claimants, the reliability of customer information and the likely cost and duration of the workout process. Subjective judgements are made in this process by management.

Furthermore, judgements change with time as new information becomes available or as workout strategies evolve, resulting in revisions to the impairment allowance as individual decisions are taken case by case. Once a financial asset or a group of similar financial assets have been written down as a result of an impairment loss, interest income is thereafter recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised, are not included in a collective assessment of impairment.

Unidentified impairment

An impairment allowance is recognised when observable data indicates there is a measurable decrease in the estimated future cash flows from a group of financial assets since the original recognition of those assets, even though the decrease cannot yet be identified for the individual assets in the group. The purpose of collective assessment of impairment is to test for latent losses on a portfolio of loans that have not been individually evidenced.

In cases where the collective impairment of a portfolio cannot be individually evidenced, the Bank sets out to prove that a risk condition has taken place that will result in an impairment of assets (based on historic experience), but the losses will only be identifiable at an individual borrower level at a future date.

The emergence period concept is applied to ensure that only impairments that exist at the reporting date are captured. The emergence period is defined as the time lapse between the occurrence of a trigger event and the impairment being identified at an individual account level. The probability of default for each exposure class is based on historical default experience, scaled for the emergence period relevant to the exposure class. This probability of default is then applied to the total population for which specific impairments have not been recognised. The resulting figure represents an estimation of the impairment that occurred during the emergence period and therefore has not specifically been identified by the Bank at the reporting date.

The impairment allowance also takes into account the expected severity of loss at default, or the loss-given default (LGD), which is the amount outstanding when default occurs that is not subsequently recovered. Recovery varies by product and depends, for example, on the level of security held in relation to each loan, and the Bank's position relative to other claimants. The LGD estimates are based on historical default experience.

Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that do not affect the period on which historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Available-for-sale debt instruments

Debt instruments are assessed for impairment in the same way as loans. If impairment is deemed to have occurred, the cumulative decline in the fair value of the instrument that has previously been recognised in other comprehensive income is removed from other comprehensive income and recognised in profit or loss. This may be reversed through the profit or loss, if there is evidence that the circumstances of the issuer have improved.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.13 Impairment of financial assets (continued)

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses	
Financial assets	Financial assets at fair value through profit or loss	Financial assets held for trading	Debt securities	-	
			Derivative assets	-	
		Financial assets designated at fair value through profit or loss	Equity securities	-	
	Loans and receivables	Loans and advances to banks			
		Due from group companies			
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts	
				Credit cards	
				Term loans	
				Mortgages	
			Loans to corporate entities	Large corporate customers	
				SMEs	
				Others	
				Items in course of collection	
		Cash balances with Central Bank of Kenya			
	Available for sale investments	Debt securities		Listed	
Financial liabilities	Financial liabilities at amortised cost	Deposits from banks			
		Deposits from customers	Retail customers	-	
			Large corporate customers	-	
			SMEs	-	
		Items in course of collection			
		Borrowings			
		Due to group companies			
		Other liabilities			
	Financial assets at fair value through profit or loss				
	Off-balance sheet financial instruments	Loan commitments			
Guarantees, acceptances and other financial liabilities					

2.14 Derecognition of financial instruments

Derecognition of financial assets

Full derecognition only occurs when the rights to receive cash flows from the asset have been discharged, cancelled or have expired, or the Bank transfers both its contractual right to receive cash flows from the financial assets (or retains the contractual rights to receive the cash flows, but assumes a contractual obligation to pay the cash flows to another party without material delay or reinvestment) and substantially all the risks and rewards of ownership, including credit risk, prepayment risk and interest rate risk. When an asset is transferred, in some circumstances, the Bank may retain an interest in it (continuing involvement) requiring the Bank to repurchase it in certain circumstances for other than its fair value on that date.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.14 Derecognition of financial instruments (continued)

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified (taking into account both quantitative and qualitative factors), such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

Loan commitments

Where the terms of an existing liability are not substantially modified, the liability is not derecognised. Costs incurred on such transactions are treated as an adjustment to the carrying amount of the liability and are amortised over the remaining term of the modified liability.

The Bank enters into commitments to lend to its customers subject to certain conditions. Such loan commitments are made either for a fixed period, or are cancellable by the Bank subject to notice conditions. Provision is made for undrawn loan commitments to be provided at below-market interest rates and for similar facilities, if it is probable that the facility will be drawn and result in recognition of an asset at an amount less than the amount advanced.

2.15 Ordinary share capital

Proceeds are included in equity, net of transaction costs. Dividends and other returns to equity holders are recognised when paid or declared by the Board.

2.16 Offsetting

In accordance with IAS 32 Financial Instruments: Presentation, the Bank reports financial assets and financial liabilities on a net basis on the statement of financial position only if there is a current legally enforceable right to set off the recognised amounts and there is intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.17 Cash and cash equivalents

For the purposes of the statement of cash flows, cash comprises cash on hand and demand deposits, and cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less.

2.18 Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with Kenya Companies' Act.

2.19 Leases

Leases are divided into finance leases and operating leases.

(a) *The Bank is the lessee*

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

The total payments made under operating leases are charged to infrastructure costs on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Lease of assets where the Bank has substantially all the risks and rewards of ownership are classified as finance leases. These are capitalised at lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Bank are primarily operating leases.

Notes (continued)

for the year ended 31 December 2015

2. Significant accounting policies (continued)

2.19 Leases (continued)

(b) *The Bank is the lessor*

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) *Fees paid in connection with arranging leases*

The Bank makes payments to agents for services in connection with negotiating lease contracts with the Bank's lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset and depreciated over the life of the lease.

2.20 Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8, the Bank has the following business segments: Consumer banking, Corporate banking and Treasury.

3. Judgements and estimates

In the preparation of the annual financial statements, management is required to make judgements, estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates, which may be material to the financial statements within the next financial period.

Judgements made by management that could have a significant effect on the amounts recognised in the financial statements include:

- *Impairment losses on loans and advances*

The Bank reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Bank makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a bank, or national or local economic conditions that correlate with defaults on assets in the Bank. The directors use estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

- *Fair value of financial instruments*

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates.

Changes in assumptions about these factors could affect the reported fair value of financial instruments. The fair value hierarchy for these financial instruments is shown in note 39.

- *Income taxes*

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 42.4.

Notes (continued)

for the year ended 31 December 2015

3. Judgements and estimates (continued)

- *Income taxes (continued)*

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

- *Retirement benefits*

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in Note 30.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

Through its defined benefit pension plans, the Group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset volatility and changes in bond yields

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plan matures, the Group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plan's bond holdings.

(ii) Inflation risk

The majority of the plan's benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iii) Life expectancy

The majority of the plan's obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 30 of these financial statements.

Useful lives of property and equipment

	Useful lives Years
Property and equipment	
Buildings	25 – 40 years
Leasehold improvements	Over the remaining the lease period
Fixtures, fittings and equipment	5 years
Motor vehicles	5 years
Intangible assets	
Flexcube (core banking application)	10 years
Other	5 years

Notes (continued)

for the year ended 31 December 2015

4. Interest income

	2015 Shs'millions	2014 Shs'millions
Financial assets available for sale	5 141	4 587
Deposits and balances due from banking institutions and group companies	103	211
Loans and advances to customers	18 840	16 707
Other interest income	1 202	1 436
	25 286	22 941

In line with the requirements of the Central Bank of Kenya prudential guidelines, the Bank has not recognised accrued interest on impaired financial assets.

Other interest income mainly consists of interest received on trade loans.

5. Interest expense

	2015 Shs'millions	2014 Shs'millions
Deposits and balances due to banking institutions and group companies	(555)	(135)
Customer deposits	(4 275)	(2 887)
Borrowings	-	(315)
Other interest expense	(45)	-
	(4 875)	(3 337)

Other expenses mainly consist of interest paid on debt securities in issue.

6. Net fee and commission income

	2015 Shs'millions	2014 Shs'millions
Fee and commission income		
Service fees	5 828	5 652
Credit related fee and commissions	1 564	1 537
Insurance agency commissions	217	-
	7 609	7 189
Fee and commission expense		
Fee and commission expense	(959)	(825)
Net fee and commission income	6 650	6 364

7. Net foreign exchange income

Net foreign exchange income	2 487	2 042
	2 487	2 042

8. Net income from financial instruments carried at fair value through profit or loss – Held for trading

Debt: Government treasury bills and bonds	(453)	264
Equity	-	2
	(453)	266

Notes (continued)

for the year ended 31 December 2015

9. Other income

	2015 Shs'millions	2014 Shs'millions
Rental income	7	9
Sundry income	360	3
	367	12

The sundry income relates to income receivable from Barclays Africa Group Limited.

10. Impairment losses on loans and advances

	2015 Shs'millions	2014 Shs'millions
Individually assessed (Note 19)	(2 050)	(1 642)
Collectively assessed (Note 19)	(56)	(60)
Net increase in impairment provision	(2 106)	(1 702)
Recoveries of loans and advances previously written off	340	297
	(1 766)	(1 405)

11. Employee benefits

Salaries and allowances	(7 895)	(6 966)
Training costs	(77)	(78)
Staff medical costs	(419)	(371)
Post-employment benefits:		
Defined contribution benefits scheme	(424)	(288)
Defined benefit plan (Note 30)	(12)	(27)
Social security cost	(12)	(8)
Other	(466)	(362)
	(9 305)	(8 100)

The average number of employees during the year was 3,799 (2014: 3,897).

12. Infrastructure costs

Property cost	(428)	(380)
Equipment costs	(415)	(330)
Operating lease rentals	(774)	(722)
	(1 617)	(1 432)

13. Administrative and general expenses

Auditor's remuneration	(22)	(19)
Subscription, publications, stationary and communications	(1 135)	(1 165)
Travel and accommodation	(161)	(204)
Other	(2 328)	(2 600)
	(3 646)	(3 988)

Other mainly consists of group recharges, security costs, professional fees, cash in transit expenses, legal fees, insurance costs, marketing and motor vehicle expenses.

Notes (continued)

for the year ended 31 December 2015

14. Income tax expense

	2015 Shs'millions	2014 Shs'millions
Current income tax		
Current year	(3 613)	(4 453)
Understatement in prior years	-	99
	(3 613)	(4 354)
Deferred income tax (Note 22)		
Current year (charge)/credit	(60)	595
Overstatement in prior years	-	(147)
	(60)	448
Total income tax recognised in the current year	(3 673)	(3 906)
The effective tax rate for the year ended 31 December 2015 is 30.4% (2014: 31.7%)		
Profit for the year	12 074	12 293
Income tax expense calculated at statutory rate of 30% (2014: 30%)	3 622	3 688
Effect of income that is exempt from taxation	(114)	(6)
Effect of expenses that are not deductible	165	272
Understatement of current income tax in prior years	-	99
Overstatement of deferred income tax in prior years	-	(147)
Income tax expense recognised in profit or loss	3 673	3 906

Deferred income tax on fair value gains or losses on available for sale financial has been recorded in other comprehensive income. Refer to Note 22 for tax impact.

15. Cash and balances with Central Bank of Kenya

	2015 Shs'millions	2014 Shs'millions
Cash in hand	6 126	6 956
Balances with Central Bank of Kenya	12 054	17 612
	18 180	24 568

16. Financial assets at fair value through profit or loss

Debt: Government treasury bills and bonds	2 161	6 085
Foreign exchange derivative assets	84	48
Forwards	42	7
Swaps	42	41
	2 245	6 133
Current	2 245	-
Non-current	-	6 133
	2 245	6 133

Notes (continued)

for the year ended 31 December 2015

16. Financial assets at fair value through profit and loss (continued)

16.1 Derivative financial assets and liabilities

Derivative financial instruments are entered into in the normal course of business to manage various financial risks. The derivative instrument contract value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps and forward rate agreements.

All derivative financial instruments have been designated at fair value for trading purposes. At the reporting date, the Bank did not have any compound financial instruments with multiple embedded derivatives in issue. The Bank only trades the following derivative instrument:

Foreign exchange derivatives

The Bank's principal exchange rate-related contracts are forward foreign exchange contracts, and currency swaps.

Forward foreign exchange contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

A currency swap generally involves the exchange, or notional exchange, of equivalent amounts of two currencies and a commitment to exchange interest periodically until the principal amounts are re-exchanged on a future date.

As compensation for assuming the option risk, the option writer generally receives a premium at the start of the option period.

	2015 Shs'millions	2014 Shs'millions
Derivative financial assets	84	48
Forwards	42	7
Swaps	42	41
Derivative financial liabilities	(42)	(36)
Forwards	(39)	(18)
Swaps	(3)	(18)

The Bank trades foreign exchange forwards and swaps (forward contracts). These are binding contracts locking in the exchange rate for the purchase or sale of a currency on a future date. The Bank's forward book is marked to market on daily basis.

At 31 December 2015	Assets Shs'millions	Liabilities Shs'millions	Notional contract amount Shs'millions
Foreign exchange derivatives			
Forwards	42	(39)	(13)
Swaps	42	(3)	(47)
	84	(42)	(60)

At 31 December 2014	Assets Shs'millions	Liabilities Shs'millions	Notional contract amount Shs'millions
Foreign exchange derivatives			
Forwards	7	(18)	(22)
Swaps	41	(18)	(13)
	48	(36)	(35)

Notes (continued)

for the year ended 31 December 2015

17. Financial assets available-for-sale

	2015 Shs'millions	2014 Shs'millions
Debt: Government treasury bills and bonds		
Maturing within 90 days	8 368	8 109
Maturing after 90 days	37 438	42 924
	45 806	51 033

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as either available for sale or at fair value through profit and loss. The weighted average effective interest rate on the Government securities at 31 December 2015 was 9.4% (2014: 9.2%).

A fair value loss of Shs 654 million (Gross: Shs 935 million loss less deferred income tax saving of Shs 281 million) has been recognised in other comprehensive income. In 2014, a fair value gain of Shs 93 million (Gross: Shs 133 million less deferred income tax of Shs 40 million) was recognised in other comprehensive income.

18. Deposits and balances due from banking institutions

	2015 Shs'millions	2014 Shs'millions
Deposits and balances with banking institutions abroad	253	207
Deposits and balances with local banking institutions	-	1 000
	253	1 207

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2015 was 16.2% (2014: 7.7%). Deposits and balances due from banking institutions are current.

19. Loans and advances to customers

	2015 Shs'millions	2014 Shs'millions
Commercial loans	111 693	97 674
Bills discounted	23 043	16 986
Instalment credit agreements	8 097	7 753
Overdrafts	7 001	6 578
Gross loans and advances to customers	149 834	128 991
Less: allowance for impairment		
Individually assessed	(3 926)	(3 095)
Collectively assessed	(529)	(473)
Allowance for impairment	(4 455)	(3 568)
Net loans and advances to customers	145 379	125 423

Notes (continued)

for the year ended 31 December 2015

19. Loans and advances to customers (continued)

The movement in the provision for impairment of loans and advances is as follows:

	Individually assessed Shs'millions	Collectively assessed Shs'millions	Total Shs'millions
2015			
At start of year	3 095	473	3 568
New impairment provision	1 933	101	2 034
Increase in provision	366	-	366
Recoveries and impairment provisions no longer required	(249)	(45)	(294)
Increase in impairment provisions	2 050	56	2 106
Amounts written off during the year as uncollectible	(1 219)	-	(1 219)
At end of year	3 926	529	4 455
Net increase in impairment provision	2 050	56	2 106
Accounts recovered previously written off	(340)	-	(340)
Net impairment charge (Note 10)	1 710	56	1 766
2014			
At start of year	2 729	413	3 142
New impairment provision	1 705	-	1 705
Increase in provision	227	60	287
Recoveries and impairment provisions no longer required	(290)	-	(290)
Increase in impairment provisions	1 642	60	1 702
Amounts written off during the year as uncollectible	(1 276)	-	(1 276)
At end of year	3 095	473	3 568
Net increase in impairment provision	1 642	60	1 702
Accounts recovered previously written off	(297)	-	(297)
Net impairment charge (Note 10)	1 345	60	1 405

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 1,383 million (2014: Shs 1,269 million). All such loans have been written down to the present value of their recoverable amount.

The weighted average effective interest rate on loans and advances at 31 December 2015 was 14.5% (2014: 14.3%).

Impaired loans and advances to customers	2015 Shs'millions	2014 Shs'millions
Loans and advances individually assessed as impaired	5 309	4 364
Provision for impairment	(3 926)	(3 095)
Net loans and advances to customers individually impaired	1 383	1 269
Collectively assessed impairment	529	473
Economic sector risk concentrations:	(%)	(%)
Manufacturing	14	12
Wholesale and retail trade	11	11
Transportation and communications	5	4
Agricultural	2	2
Private individuals	57	61
Other	11	10
	100	100

Notes (continued)

for the year ended 31 December 2015

20. Other assets and prepaid expenses

	2015 Shs'millions	2014 Shs'millions
Prepaid expenses	2 747	2 258
Items in course of collection from banks	791	799
Other	5 292	3 532
	8 830	6 589

21. Investment in subsidiaries

Name of subsidiary	Proportion of ownership interest and voting power held		Carrying amount	
	2015	2014	2015 Shs'millions	2014 Shs'millions
Subsidiaries				
Barclays Financial Services Limited	100%	100%	275	275
Barclays (Kenya) Nominees Limited	100%	100%	-	-
Barclays Deposit Taking Microfinance Limited	100%	100%	-	-
Barclays Bank Insurance Agency Limited	100%	100%	-	-
Barclays Pension Services Limited	100%	100%	-	-
			275	275

Barclays (Kenya) Nominees Limited, Barclays Financial Services Limited, Barclays Pension Services Limited, Barclays Deposit Taking Microfinance Limited and Barclays Bank Insurance Agency Limited are dormant companies.

The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the Company.

22. Deferred income tax

	2015 Shs'millions	2014 Shs'millions
The analysis of the deferred tax assets and deferred tax liabilities is as follows:		
Deferred income tax assets	803	461
Deferred income tax liabilities	(328)	(207)
	475	254

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Notes (continued)

for the year ended 31 December 2015

22. Deferred income tax (continued)

Consolidated deferred income tax assets and liabilities are attributable to the following:

	At start of year Shs'millions	(Charge)/credit to profit or loss Shs'millions	(Charge)/ credit to other comprehensive income Shs'millions	At end of year Shs'millions
2015				
Property and equipment	(207)	(121)	-	(328)
Financial assets available for sale	133	-	281	414
Provision for impairment of loans and advances	328	61	-	389
	254	(60)	281	475
2014				
Property and equipment	(252)	45	-	(207)
Financial assets at fair value through profit or loss	(352)	352	-	-
Financial assets available for sale	173	-	(40)	133
Provision for impairment of loans and advances	277	51	-	328
	(154)	448	(40)	254

23. Property and equipment

	Freehold buildings Shs'millions	Leasehold improvements Shs'millions	Fixtures fittings & equipment Shs'millions	Motor vehicles Shs'millions	WIP Shs'millions	Total Shs'millions
Year ended 31 December 2015						
Cost						
At start of year	129	3 858	6 644	68	358	11 057
Additions	-	24	388	13	587	1 012
Transfers	-	71	176	-	(361)	(114)
At end of year	129	3 953	7 208	81	584	11 955
Accumulated depreciation						
At start of year	(40)	(2 449)	(5 680)	(41)	-	(8 210)
Depreciation	-	(140)	(340)	(7)	-	(487)
At end of year	(40)	(2 589)	(6 020)	(48)	-	(8 697)
Net book value at end of year	89	1 364	1 188	33	584	3 258
Year ended 31 December 2014						
Cost						
At start of year	129	3 674	6 164	49	358	10 374
Additions	-	184	480	19	-	683
At end of year	129	3 858	6 644	68	358	11 057
Accumulated depreciation						
At start of year	(39)	(2 290)	(5 356)	(38)	-	(7 723)
Depreciation	(1)	(159)	(324)	(3)	-	(487)
At end of year	(40)	(2 449)	(5 680)	(41)	-	(8 210)
Net book value at end of year	89	1 409	964	27	358	2 847

Notes (continued)

for the year ended 31 December 2015

24. Intangible assets

	2015			2014	
	Total	Computer software	WIP	Total	Computer software
Shs'millions					
Cost					
At start of year	5 392	5 392	-	5 312	5 312
Acquisitions	17	17	-	80	80
Transfers from property & equipment	114	-	114	-	-
Transfers from WIP	-	48	(48)	-	-
At end of year	5 523	5 457	66	5 392	5 392
Amortisation					
At start of year	(2 902)	(2 902)	-	(2 319)	(2 319)
Amortisation	(567)	(567)	-	(583)	(583)
At end of year	(3 469)	(3 469)	-	(2 902)	(2 902)
Net book value at end of year	2 054	1988	66	2 490	2 490

25. Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	2015 Shs'millions	2014 Shs'millions
At start of year	57	58
Amortisation charge for the year	(1)	(1)
At end of year	56	57

26. Deposits and balances due to banking institutions

Due to foreign banks	187	121
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The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2015 was 8.5% (2014: 6.8%). Deposits and balances due to banking institutions are current.

27. Customer deposits

	Group Shs'millions	Bank Shs'millions
2015		
Call deposits	101 834	101 834
Savings and transmission accounts	26 684	26 960
Fixed deposits	36 565	36 564
	165 083	165 358
2014		
Call deposits	97 758	97 758
Savings and transmission accounts	22 113	22 388
Fixed deposits	44 633	44 633
	164 504	164 779

Notes (continued)

for the year ended 31 December 2015

27. Customer deposits (continued)

	Group Shs'millions	Bank Shs'millions
2015		
Current	146 103	146 378
Non-current	18 980	18 980
	165 083	165 358
2014		
Current	139 854	140 129
Non-current	24 650	24 650
	164 504	164 779

The weighted average effective interest rate on customer deposits at 31 December 2015 was 2.6% (2014: 1.9%). The carrying value of customer deposits approximates their fair value.

28. Borrowings

	2015 Shs'millions	2014 Shs'millions
Fixed rate medium term notes	-	1 330
Floating rate medium term notes	-	787
Subordinated debt	5 133	-
	5 133	2 117

The floating rate notes traded on the Nairobi Securities Exchange were redeemed on 14 July 2015. Interest was paid semi-annually in arrears on the first Monday of January and July at the one hundred and eighty-two day Kenyan Government Treasury Bill rate plus 1%.

The 11.5% fixed rate notes traded on the Nairobi Securities Exchange, were redeemed on 14 July 2015. Interest was paid semi-annually in arrears on the first Monday of January and July.

The US\$50million subordinated loan from Barclays Africa Group Limited was obtained on 26 March 2015 and has a maturity date of 26 March 2020. Interest is paid quarterly in arrears at a rate of 270bps above USD Libor which re-sets every three months. The carrying value of borrowings approximates their fair value.

29. Other liabilities and accrued expenses

	2015 Shs'millions	2014 Shs'millions
Items in the course of collection due to other banks	1 937	1 873
Accrued expenses	271	875
Unpresented dividends	945	896
Deferred income	797	724
Outstanding bankers cheques	585	334
Other payables	3 497	2 715
	8 032	7 417

Other payables include items relating to excise duties payable, interchange payable, uncleared payments and trade payables.

Other liabilities and accrued expenses are current.

Notes (continued)

for the year ended 31 December 2015

30. Retirement benefit asset

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	Valuation at	
	2015	2014
Discount rate	15.00%	12.00%
Expected rate of salary increase	9.50%	9.50%
Inflation	7.50%	7.50%
Mortality rate	15.00%	12.00%
Change in pensions	4.50%	4.50%

	2015 Shs'millions	2014 Shs'millions
Amounts recognised in profit or loss in respect of the defined benefit plan are as follows:		
Current service cost	29	25
Net interest (expense)/income	(17)	2
	12	27

Amounts recognised in other comprehensive income in respect of the defined benefit plan are as follows:

	2015 Shs'millions	2014 Shs'millions
Actuarial gain	(948)	(1)
Experience adjustment	370	-
Net actuarial gain	(578)	(1)
Return on plan assets	339	(48)
Irrevocable surplus (effect of asset ceiling)	160	-
	(79)	(49)

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

The plan assets comprise the following:

	2015 Shs'millions	%	2014 Shs'millions	%
Equity instruments	1 215	25	1 733	34
Debt instruments and fixed deposits	1 684	34	1 577	31
Investment property	1 889	39	1 645	32
Cash and cash instruments	100	2	174	3
	4 888	100	5 129	100

Notes (continued)

for the year ended 31 December 2015

30. Retirement benefit asset (continued)

The amount included in the statement of financial position arising from the Bank's obligation in respect of its defined benefit plan is as follows:

	2015 Shs'millions	2014 Shs'millions
Present value of funded defined benefit obligation	(4 472)	(5 040)
Fair value of plan assets	4 888	5 129
Restrictions on asset recognised	(160)	-
Net asset arising from defined benefit obligation	256	89

Movements in the present value of the defined benefit obligation in the current year were as follows:

	2015 Shs'millions	2014 Shs'millions
Opening defined benefit obligation	(5 040)	(5 046)
Current service cost	(29)	(24)
Interest expense	(567)	(570)
Actuarial gain	947	-
Experience adjustment	(370)	-
Net actuarial gain	577	-
Benefits paid	587	600
Closing defined benefit obligation	(4 472)	(5 040)

Movements in the present value of the plan assets in the current year were as follows:

	2015 Shs'millions	2014 Shs'millions
Opening fair value of plan assets	5 129	4 920
Return on plan assets (in excess of interest)	(339)	568
Interest income	584	48
Contributions from the employer	101	193
Benefits paid	(587)	(600)
Closing fair value of plan assets	4 888	5 129

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

	2015 basis Shs'000	Discount rate -1.00% Shs'000	Discount rate +0.50% Shs'000	Inflation 0.50% Shs'000	PA(90) - 1 year Shs'000
Active members	79 965	89 478	75 758	84 880	81 327
Deferred members	458 682	501 069	439 665	482 277	465 378
Pensions in payment	3 933 300	4 159 932	3 828 806	4 064 028	4 017 474
Total liability	4 471 947	4 750 479	4 344 229	4 631 185	4 564 179
Gross service cost (excluding interest)	24 072	24 391	23 932	24 334	24 056

Notes (continued)

for the year ended 31 December 2015

30. Retirement benefit asset (continued)

Sensitivity analysis (continued)

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the retirement benefit obligation to significant actuarial assumptions the same method (present value of the obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

The weighted average duration of the defined benefit obligation is 50 years. The figure is not very sensitive to the precise time horizon given the high net discount rate.

31. Share capital

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.50 each.

	2015 Shs'millions	2014 Shs'millions
Authorised and issued share capital		
5 432 (2014: 5 432) shares.	2 716	2 716

32. Reserves

32.1 Regulatory reserve

The regulatory reserve represents an appropriation from retained earnings to comply with the prudential guidelines of the Central Bank of Kenya on loan loss provisions.

The balance represents the excess of impairment provisions determined in accordance with the prudential guidelines over the impairment provisions recognised in accordance with the International Financial Reporting Standards. The reserve is non-distributable.

32.2 Other reserves

Other reserves comprise the following:

	2015 Shs'millions	2014 Shs'millions
Available-for-sale reserve	(962)	(308)
Share based payment reserve	223	170
	(739)	(138)

32.2.1 Available-for-sale reserve

The available-for-sale reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the instrument is derecognised or impaired, in which case the cumulative amount recognised in other comprehensive income is released to profit or loss. The movement in the year was as follows:

	2015 Shs'millions	2014 Shs'millions
At start of year	308	401
Net movement in other comprehensive income	654	(93)
At end of year	962	308

Notes (continued)

for the year ended 31 December 2015

32. Reserves (continued)

32.2 Other reserves (continued)

32.2.2 Share-based payment reserve

The Bank's senior management participate in the following Barclays group share based payment arrangement:

(a) Barclays Africa Limited Retention Share Value Plan

The Share Value Retention Plan ("SVP Cliff") is an equity-settled share-based payment arrangement. The SVP Cliff awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest after three years, subject to its own independent non-market related performance condition. The amount that is paid to the participants is equal to the market value of a number of Barclays Africa Group Limited's ordinary shares, as determined on the vesting date, to the extent that the non-market related conditions attached to the awards are met. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the vesting period.

(b) Barclays Africa Group Limited Share Value Plan

The Share Value Plan ("SVP") is a cash-settled share-based payment arrangement. The SVP awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest in equal tranches after one, two and three years, with each tranche subject to its own independent non-market-related performance condition. The amount that is paid to the participants is equal to the market value of a number of Barclays Africa Group Limited ordinary shares, as determined on the vesting date, to the extent that the non-market-related conditions attached to the awards are met. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the period.

(c) Barclays Africa Group Limited Joiners Share Value Plan

The Joiners Share Value Plan ("JSVP") is a cash-settled share-based payment arrangement that enables the Group to attract and motivate new employees by buying out the "in the money" portion of a participant's shares or options under their previous employers' share scheme by offering the employees Barclays Africa Group Limited phantom awards. There is no consideration payable for the grant of an award and the vesting of the award is not subject to performance conditions. Dividends accumulate and are reinvested over the vesting period, which can be over one to five years.

The share based payment reserve relates to the credit to equity for equity-settled share-based payment arrangements, with the corresponding expense charged to the profit or loss account over the vesting period i.e. the period between the allocation date and the date on which employees become entitled to the share options.

	2015 Shs'millions	2014 Shs'millions
At start of year	170	93
Granted in the year	83	77
Forfeited options	(9)	-
Options exercised	(21)	-
At end of year	223	170

Notes (continued)

for the year ended 31 December 2015

The movement in share based payment reserve was as follows:

	2015 Shs'millions	2014 Shs'millions
Profit before income tax	12 074	12 293
Adjustments for:		
Net gain arising on financial assets designated as at fair value through profit or loss	-	(2)
Impairment loss recognised (note 10)	1 766	1 405
Interest received	(23 452)	(21 858)
Interest paid	4 215	2 924
Depreciation	487	487
Amortisation	567	583
Amortisation prepaid operating lease rentals	1	1
Other non-cash movements	(165)	100
Cash generated from operations before working capital changes	(4 507)	(4 067)
Changes in working capital		
Increase in other assets and prepaid expenses	(2 250)	(1 982)
Increase in other liabilities and accrued expenses	552	1 630
Increase in CBK cash reserve ratio balances	(767)	(269)
Increase in loans and advances to customers	(21 722)	(8 466)
Decrease in AFS securities maturing after 90 days	4 682	4 497
Decrease / (increase) in financial assets at FVTPL	3 888	(4 146)
Increase in customer deposits	585	13 654
Total changes in working capital	(15 032)	4 918
Cash (used in)/generated from operations	(19 539)	851

33. Cash generated from operations

Tax receivable at start of year	396	1 028
Current tax expense (note 14)	(3 613)	(4 354)
Tax receivable at end of year	(134)	(396)
	(3 351)	(3 722)

34. Taxation paid

Final dividend paid in respect of prior year proposed	5 432	2 716
Interim dividend paid	1 086	-
	6 518	2 716

Notes (continued)

for the year ended 31 December 2015

35. Dividend paid

36. Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount reported in the statement of financial position (SOFP) where the Bank has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The Bank has also entered into arrangements that do not meet the criteria for offsetting but still allow for the related amounts to be set off in certain circumstances, such as bankruptcy or the termination of a contract.

The following table presents the recognised financial instruments that are offset, or subject to enforceable master netting arrangements and other similar agreements but not offset, as at 31 December 2015 and 31 December 2014. The column 'net amount' shows the impact on the Bank's statement of financial position if all set-off rights were exercised.

	Effects of offsetting in the SOFP	Related amounts not offset		
	Amounts presented in the SOFP Shs'millions	Amounts subject to master netting agreement Shs'millions	Financial instrument collateral Shs'millions	Net amount Shs'millions
2015				
Financial assets				
Cash and balances with Central Bank of Kenya	18 180	-	-	18 180
Financial assets at fair value through profit or loss	2 245	-	-	2 245
Financial assets available-for-sale	45 806	-	-	45 806
Deposits and balances due from banking institutions	253	-	-	253
Due from group companies	13 951	(13 951)	-	-
Loans and advances to customers	145 379	-	(12 455)	132 924
Items in the course of collection from banks	791	(791)	-	-
	226 605	(14 742)	(12 455)	199 408
Liabilities				
Financial liabilities at fair value through profit or loss	42	-	-	42
Deposits and balances due to banking institutions	187	-	-	187
Due to group companies	22 684	(13 951)	-	8 733
Customer deposits	165 358	-	(12 455)	152 903
Borrowings	5 133	-	-	5 133
Items in the course of collection to banks	1 937	(791)	-	1 146
	195 341	(14 742)	(12 455)	168 144

Notes (continued)

for the year ended 31 December 2015

There were no gross amounts set off in the statement of financial position at 31 December 2015 (2014: nil).

	Effects of offsetting in the SOFP	Related amounts not offset	
	Amounts presented in the SOFP Shs'millions	Amounts subject to master netting agreement Shs'millions	Net amount Shs'millions
2014			
Financial assets			
Cash and balances with Central Bank of Kenya	24 568	-	24 568
Financial assets at fair value through profit or loss	6 133	-	6 133
Financial assets available-for-sale	51 033	-	51 033
Deposits and balances due from banking institutions	1 207	-	1 207
Due from group companies	4 755	(4 755)	-
Loans and advances to customers	125 423	-	125 423
Items in the course of collection from banks	799	(799)	-
	213 918	(5 554)	208 364
Liabilities			
Deposits and balances due to banking institutions	121	-	121
Due to group companies	13 291	(4 755)	8 536
Customer deposits	164 779	-	164 779
Borrowings	2 117	-	2 117
Items in the course of collection to banks	1 873	(799)	1 074
	182 181	(5 554)	176 627

36. Offsetting financial assets and financial liabilities (continued)

Master netting arrangements

Under the terms of these arrangements, only where certain credit events occur (such as default), the net position owing to/receivable from a single counterparty in the same currency will be taken as owing and all the relevant arrangements terminated. As the Bank does not presently have a legally enforceable right of set-off, these amounts have not been offset in the statement of financial position, but have been presented separately in the table above.

37. Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprise balances with less than 90 days maturity

	Note	2015 Shs'millions	2014 Shs'millions
Cash in hand	15	6 126	6 956
Non-cash reserve ratio balances with CBK		3 330	9 655
Available for sale securities maturing within ninety days	17	8 368	8 109
Items in the course of collection from banks	20	791	799
Due from group companies	41	13 951	4 755
Deposit and balances due from banking institutions	18	253	1 207
Items in the course of collection to banks		(1 936)	(1 873)
Due to group companies	41	(22 684)	(13 291)
Deposits and balances due to banking institutions	26	(187)	(121)
		8 012	16 196

from the date of acquisition as follows:

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the Bank's day-to-day activities. The amount is determined as a percentage of the average outstanding customer deposits over a cash reserve cycle period of one month.

Notes (continued)

for the year ended 31 December 2015

At the end of the year, the cash reserve ratio was 5.25% (2014: 5.25%).

38. Risk management

38.1 Capital risk management

Capital risk is the risk that the Bank is unable to maintain adequate levels of capital which could lead to an inability to:

- (i) support business activity;
- (ii) a failure to meet regulatory requirements; and
- (iii) changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

Our objectives are achieved through well embedded capital management practices. The primary objectives and Core Practices are:

- Provide a viable and sustainable business offering by maintaining adequate capital to cover the Bank's current and forecast business needs and associated risks;
- Monitor internal targets for capital demand and ratios;
- Meet minimum regulatory requirements;
- Ensure the Bank maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions;
- Perform internal and regulatory stress tests;
- Maintain capital buffers over regulatory minimum;
- Develop contingency plans for severe (stress management actions) to support the Bank's growth and strategic options; and
- Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Bank maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

Tier 1 capital

- Share capital
- Retained earnings, excluding unrealised gains arising on the fair valuation of available for sale investments

Tier 2 capital

- Statutory reserve
- Medium term note

Notes (continued)

for the year ended 31 December 2015

- Subordinated loan capital

38. Risk management (continued)

Capital adequacy ratios

	Regulatory minimum	2015	2014
Tier 1	10.5%	15.7%	15.7%
Total capital	14.5%	18.4%	16.0%
	Shs'millions	Shs'millions	Shs'millions
Tier 1 capital	1 000	35 183	32 629
Ordinary share capital		2 716	2 716
Retained earnings		32 467	29 913
Tier 2 capital		6 060	432
Subordinated debt		5 133	-
Qualifying portion of regulatory reserve		927	432
Total regulatory capital	1 000	41 243	33 061
Total risk weighted assets		224 121	207 155
Total shareholders' equity / capital resources		39 716	38 355
Core capital / total deposit liabilities	8.0%	21.4%	19.8%
Liquidity ratio	20.0%	34.1%	44.2%

38.1 Capital risk management (continued)

38.2 Financial risk management objectives

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management is to evaluate, respond to and monitor risks (the ERM process) that arise in the execution of the strategy to become the 'Go-To' Bank. It is essential that business growth plans are properly supported by an effective risk management infrastructure. Risk culture is closely aligned to that of the business, whilst retaining independence in analysis and objective decision-making. The Group's business involves taking on risks in a targeted manner and managing them professionally.

The core functions of the Group's risk management are to identify all key risks for the Group, measure these risks, manage the risk positions and determine capital allocations. The Group regularly reviews its risk management policies and systems to reflect changes in markets, products and best market practice.

The main sources of financial risk that the Group faces arise from financial instruments, which are fundamental to the Group's business, and constitute the core of its operations.

Financial instruments create, modify or reduce the liquidity, credit, market and operational risks of the Group's statement of financial position and constitute the most significant sources of risk. Consequently, the Group devotes considerable resources to maintain effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of business. This note presents information about the Group's exposure to each of the above risks, and the Group's objectives, policies and processes for measuring and managing risk.

The Bank has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes. At a strategic level, our risk management objectives are to:

- Identify the Bank's significant risks;
- Formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and

Notes (continued)

for the year ended 31 December 2015

- Help executives improve the control and co-ordination of risk taking across the business.

38. Risk management (continued)

38.2 Financial risk management objectives (continued)

The Group's approach is to provide direction on:

- understanding the principal risks to achieving Group strategy;
- establishing risk appetite; and
- establishing and communicating the risk management framework.

The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below). The Bank's aim is to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank's financial performance. The Bank defines risk as the possibility of losses or profits foregone, which may be caused by internal or external factors.

Risk responsibilities

The Group achieves its risk management objectives by keeping risk management at the centre of the executive agenda and building a culture that combines risk management with everyday business decision-making. The risks arising from financial

Steps	Activity
Identify	• Establish the process for identifying and understanding business-level risks
Assess	• Agree and implement measurement and reporting standards and methodologies
Control	• Establish key control processes and practices, including limit structures, impairment allowance • Criteria and reporting requirements • Monitor the operation of the controls and adherence to risk direction and limits • Provide early warning of control or appetite breaches • Ensure that risk management practices and conditions are appropriate for the business environment
Report	• Interpret and report on risk exposures, concentrations and risk-taking outcomes • Interpret and report on sensitivities and key risk indicators • Communicate with external parties
Manage and challenge	• Review and challenge all aspects of the Bank's risk profile • Assess new risk-return opportunities • Advise on optimising the Bank's risk profile • Review and challenge risk management practices

instruments to which the Bank is exposed are: -

Financial risks

- (a) Market risk;
- (b) Liquidity risk; and
- (c) Credit risk

On a day-to-day basis risks are managed through a number of management committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date.

The Board approves risk appetite and the Board Audit and Risk Committee ("BARC") monitors the Bank's risk profile against this appetite. In more detail:

- The BARC has responsibility for ensuring effective risk management and control;
- Business Heads are responsible for the identification and management of risk in their businesses;
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls;
- Internal Audit is responsible for the independent review of risk management and the control environment; and
- The ALCO is tasked with managing financial risk, specifically liquidity, interest rates, market risk, capital management and

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.2 Financial risk management objectives (continued)

Risk responsibilities (continued)

balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

38.3 Market risk

Market risk is the risk that the Group's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads and comprises:

Traded market risk

The risk of the Group being impacted by changes in the level or volatility of positions in its trading books, primarily in the Investment Bank.

Traded market risk arises primarily as a result of client facilitation in wholesale markets. This involves market making, risk management solutions and execution of syndications. Mismatches between client transactions and hedges result in market risk. Trading risk is measured for the trading book, as defined for regulatory purposes and certain banking books. Interest rate risk in the banking book is subjected to the same rigorous measurement and control standards as in the trading book, but the associated sensitivities are reported separately as "interest rate risk in the banking book".

Non-traded market risk

The risk of the Bank being exposed to interest rate risk arising from loans, deposits and similar instruments held for longer term strategic purposes rather than for the purpose of profiting from changes in interest rates. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's held-to-maturity and available-for-sale financial assets.

Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

Furthermore it includes the protection and enhancement of the statement of financial position and statement of comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

(a) Value at risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Bank Treasury. Average daily VAR for the Bank was Shs 3.4 million (2014: Shs 2.6 million).

(b) Stress tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.4 Foreign currency risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Bank's exposure to foreign exchange risk at 31 December 2015. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency.

	Assets Shs'millions	Liabilities Shs'millions
The carrying amounts of the Bank's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are as follows:		
2015		
USD	36 466	(36 012)
GBP	1 611	(1 543)
Euro	4 940	(5 183)
Other	673	(650)
	43 690	(43 388)
2014		
USD	22 654	(30 194)
GBP	674	(1 263)
Euro	1 762	(2 238)
Other	40	(246)
	25 130	(33 941)

Foreign currency sensitivity analysis

The following table details the Bank's sensitivity to a 10% increase and decrease in the Kenyan Shilling against the relevant foreign currencies. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates.

The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end of a 10% change in foreign currency rates. The sensitivity analysis includes external loans as well as loans to foreign operations within the Group where the denomination of the loan is in a currency other than the currency of the lender or the borrower.

A positive number below indicates an increase in profit and other equity where the Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Shilling against the relevant currency, there would be a comparable impact on the profit and other equity, and the balance below would be negative.

	2015 Shs'millions	2014 Shs'millions
Assets		
USD	3 646	2 265
GBP	161	67
Euro	494	176
Other	67	-
Liabilities		
USD	(3 601)	(3 019)
GBP	(154)	(126)
Euro	(518)	(224)
Other	(65)	(25)
	30	(886)
Income tax effect at 30%	(9)	267
After profit tax effect	21	(619)

As at 31 December 2015, if the Shilling had weakened/strengthened by 10% against the major trading currencies listed above, with all other variables remaining constant, the after tax profit would have been Shs 21 million (2014: Shs 619 million) lower/higher net of tax.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.5 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO").

Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

The table below summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are millions of Shillings.

At 31 December 2015	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non-interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	18 180	18 180
Financial assets at fair value through profit or loss	-	-	-	2 245	-	2 245
Financial assets available for sale	2 598	6 094	16 216	20 898	-	45 806
Deposits and balances due from banking institutions	253	-	-	-	-	253
Due from group companies	13 951	-	-	-	-	13 951
Loans and advances to customers	33 493	22 213	42 304	47 369	-	145 379
Other assets and prepaid expenses	-	-	-	-	8 830	8 830
Property and equipment	-	-	-	-	3 258	3 258
Intangible assets	-	-	-	-	2 054	2 054
Current income tax	-	-	-	-	134	134
Deferred income tax	-	-	-	-	475	475
Retirement benefit asset	-	-	-	-	256	256
Prepaid operating lease rentals	-	-	-	-	56	56
Total assets	50 295	28 307	58 520	70 512	33 243	240 877
Deposits and balances due to banking institutions	187	-	-	-	-	187
Items in the course of collection due to other banks	1 937	-	-	-	-	1 937
Due to group companies	-	-	-	-	22 684	22 684
Customer deposits	50 510	13 088	22 719	78 766	-	165 083
Borrowings	-	5 133	-	-	-	5 133
Other liabilities and accrued expenses	-	-	-	-	6 084	6 084
Derivative financial liabilities	53	-	-	-	-	53
Shareholders' equity	-	-	-	-	39 716	39 716
Total liabilities and equity	52 687	18 221	22 719	78 766	68 484	240 877
Interest sensitivity gap	(2 392)	10 086	35 801	(8 255)	(35 241)	-

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.5 Interest rate risk (continued)

At 31 December 2014	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non-interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	24 568	24 568
Financial assets at fair value through profit or loss	-	-	-	6 133	-	6 133
Financial assets available for sale	-	8 109	26 070	16 854	-	51 033
Deposits and balances due from banking institutions	1 207	-	-	-	-	1 207
Due from group companies	4 755	-	-	-	-	4 755
Loans and advances to customers	8 445	27 838	45 572	43 568	-	125 423
Other assets and prepaid expenses	799	-	-	-	5 790	6 589
Property and equipment	-	-	-	-	2 847	2 847
Intangible assets	-	-	-	-	2 490	2 490
Current income tax	-	-	-	-	396	396
Deferred income tax	-	-	-	-	254	254
Retirement benefit asset	-	-	-	-	89	89
Prepaid operating lease rentals	-	-	-	-	57	57
Total assets	15 206	35 947	71 642	66 555	36 491	225 841
Deposits and balances due to banking institutions	121	-	-	-	-	121
Due to group companies	13 291	-	-	-	-	13 291
Customer deposits	39 941	20 426	29 080	68 346	6 711	164 504
Borrowings	-	-	2 117	-	-	2 117
Other liabilities and accrued expenses	1 873	-	-	-	5 580	7 453
Shareholders' equity	-	-	-	-	38 355	38 355
Total liabilities and equity	55 226	20 426	31 197	68 346	51 196	225 841
Interest sensitivity gap	(40 020)	15 521	40 445	(2 791)	(14 702)	-

The sensitivity analysis below have been determined based on the exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

Interest rate sensitivity analysis

	1% Increase in interest rate 2015 Shs'millions	1% Decrease in interest rates 2015 Shs'millions	1% Increase in interest rate 2014 Shs'millions	1% Decrease in interest rates 2014 Shs'millions
Changes in interest				
Increase/(decrease) in interest received	(2 076)	2 076	(1 893)	1 893
Increase/(decrease) in interest paid	1 724	(1 724)	1 746	(1 746)
Increase/(decrease) in profit before taxation	(352)	352	(147)	147
Increase/(decrease) in taxation	106	(106)	44	(44)
Increase/(decrease) in profit after tax	(246)	246	(103)	103

As at 31 December 2015 if interest rates were to increase/decrease by 1%, with all other variables remaining constant, the after tax profit would have been Shs 246 million (2014: Shs 103 million) higher/lower with other components of equity remaining the same.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.6 Credit risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group. The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities; settlement balances with market counterparties, available for sale assets and reverse repurchase loans. Credit risk furthermore arises from the granting of financial guarantees or making loan commitments.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations;
- monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

The Group manages credit risk by:

- Defining clear risk appetite thresholds and triggers, using applicable stress test measures;
- Ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty;
- Controlling concentrations of credit risk wherever they are identified in particular, to individual counterparties and groups of borrowers, countries, and to industry segments;
- Clearly understanding the target market;
- Establishing risk acceptance criteria;
- Undertaking sound credit origination, monitoring and account management; and
- Ensuring appropriate risk infrastructure and controls.

Credit risk measurement

The Bank establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

The Group has an established governance process with respect to its approach to credit risk and any resultant impairment of loans and advances. The governance process includes the existence of Retail and Wholesale Credit Risk Technical Committees, whose remit includes:

- the development, implementation and evaluation of risk and impairment models;
- periodic assessment (at least annually) of the accuracy of the models against actual results; and
- approval of new models or changes to models, in line with the model validation framework.

The Group uses statistical modelling techniques throughout its business in its credit rating systems. These systems assist the Group in front line credit decisions on new commitments and in managing portfolios of existing exposures. They enable the application of consistent risk measurement across all credit exposures, retail and corporate.

The principal objective of credit measurement is to produce the most accurate possible quantitative assessment of credit risk to which the Group is exposed from the level of individual facilities up to the total portfolio level. Integral to this is the calculation of internal ratings that is used in numerous aspects of credit risk management. The key building blocks in the measurement system are:

1. Probability of Default (PD)

PD measures the likelihood of a customer defaulting on its obligations within the next 12 months and is a primary component of the internal risk rating for customers.

The Group assesses the PD of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed internally and combine statistical analysis with credit officer judgement, in line with group policy. The rating methods are subject to annual validation and recalibration so that they reflect the latest projection in the light of the actually observed defaults.

2. Exposure at default (EAD)

EAD represents the expected level of utilization of the credit facility when default occurs. At default the customer may not have drawn the loan fully or may already have repaid some of the principal, so that exposure is typically less than the approved loan limit.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.6 Credit risk (continued)

For example, for a loan, the EAD is the face value. For a commitment, the Group includes any amount already drawn, plus the further amount that may be drawn at the time of default, should it occur.

3. Loss given default (LGD)

LGD represents the Group's expectation of the extent of loss on a claim should default occur. The severity of the loss is measured as a percentage of the EAD. For derivative instruments, EAD is the estimated costs of replacing contracts with a positive value if counterparties should fail to perform their obligations. LGD typically varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support.

Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs. This method applies mainly in the corporate portfolios.

For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience.

Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified.

The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

The basic calculation is:

Impairment allowance = Total exposure x Probability of Default (PD) x Loss Given Default (LGD)

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported.

The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate.

The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary.

Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.6 Credit risk (continued)

3. Loss given default (LGD) (continued)

Risk limit control and mitigation policies (continued)

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

Collateral

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, businesses holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, at least annually, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- Mortgages over residential properties;
- Charges over business assets such as premises, inventory and accounts receivable; and
- Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken will be within agreed parameters and will be conservative in value. The valuation is performed only on origination or in the course of enforcement actions. Within the corporate sectors, collateral for impaired loans including guarantees and insurance is reviewed regularly and at least annually to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

The Group will consider all relevant factors, including local market conditions and practices, before any collateral is realized.

Please note the following default grade definitions used in the credit risk analysis below:

(a) DG 1 – 5: assets falling within these DG buckets are regarded as ‘investment grade’ and, when converted to a rating agency equivalent, correspond to an A- rating and better.

(b) DG 6 – 16: financial assets in these grades typically require more detailed management attention where clear evidence of financial deterioration or weakness exists. Assets in this category, although currently protected, are potentially weaker credits. These assets contain some credit deficiencies.

(c) DG 17 – 21: the PD of financial assets in these grades have deteriorated to such an extent that they are included for regular review. Assets so classified must have well defined weaknesses that exacerbate the PD. These assets are characterised by the distinct possibility that the borrower will default, and should the collateral pledged be insufficient to cover the asset, the Group will sustain some loss when default occurs.

Below is a table which references the internal credit risk ratings to observable external ratings:

Barclays Bank Rating	Description of the Grade	External Rating S&P equivalent
DG 1-5	Investment Grade	AAA, AA+, AA-, A+, A -
DG 6 -16	Standard Monitoring	BBB+, BBB, BBB-, BB+, BB, BB-, B+, B, B-
DG 17-21	Special Monitoring	CCC to C

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.6 Credit risk (continued)

The following tables represent the credit risk exposure to the Group at 31 December 2015 and 2014. For on-balance sheet assets, the exposures set out below are based on net carrying amounts as reported in the balance sheet:

31 December 2015	Gross maximum exposure	Neither past due nor impaired		Past due not impaired	
		DC 1-5	DC 6-16	Past due (30 to 90 days)	Impaired
Balances with Central Bank of Kenya	12 054	12 054	-	-	-
Items in course of collection	791	791	-	-	-
Available for sale investments	45 806	45 806	-	-	-
Loans and advances to banks	253	253	-	-	-
Financial assets designated at FVTPL	2 245	2 245	-	-	-
Balances due from group companies	13 951	13 951	-	-	-
Loans and advances to customers	149 834	-	132 428	12 097	5 309
Total credit risk exposure	224 934	75 100	132 428	12 097	5 309

31 December 2014	Gross maximum exposure	Neither past due nor impaired		Past due not impaired	
		DC 1-5	DC 6-16	Past due (30 to 90 days)	Impaired
Balances with Central Bank of Kenya	17 612	17 612	-	-	-
Items in course of collection	799	799	-	-	-
Available for sale investments	51 033	51 033	-	-	-
Loans and advances to banks	1 207	1 207	-	-	-
Financial assets designated at FVTPL	6 133	6 133	-	-	-
Balances due from group companies	4 755	4 755	-	-	-
Loans and advances to customers	128 921	-	123 089	1 538	4 364
Total credit risk exposure	210 530	81 539	123 089	1 538	4 364

Notes (continued)

for the year ended 31 December 2015

Impairment allowance		Credit risk mitigation					Net credit exposure
Individual	Collective	Total carrying value	Cash	Physical	Letter of credit	Other	
-	-	12 054	-	-	-	-	12 054
-	-	791	-	-	-	-	791
-	-	45 806	-	-	-	(35 513)	10 293
-	-	253	-	-	-	-	253
-	-	2 245	-	-	-	-	2 245
-	-	13 951	-	-	-	(13 951)	-
(3 926)	(529)	145 379	(12 455)	(16 809)	(12 058)	(23 205)	80 852
(3 926)	(529)	220 479	(12 455)	(16 809)	(12 058)	(72 669)	106 488

Impairment allowance		Credit risk mitigation					Net credit exposure
Individual	Collective	Total carrying value	Cash	Physical	Letter of credit	Other	
-	-	17 612	-	-	-	-	17 612
-	-	799	-	-	-	-	799
-	-	51 033	-	-	-	27 177	23 856
-	-	1 207	-	-	-	-	1 207
-	-	6 133	-	-	-	-	6 133
-	-	4 755	-	-	-	4 755	-
(3 095)	(473)	125 423	-	1 052	12 058	23 268	89 045
(3 095)	(473)	206 962	-	1 052	12 058	55 200	138 652

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

	2015 Shs'millions	2014 Shs'millions
Maximum credit risk		
Loans and advances to banks	253	1 207
Loans and advances to customers	145 379	125 423
Cash balances at Central Bank of Kenya	12 054	17 612
Financial assets designated at fair value through profit or loss	2 245	6 133
Loans and advances to group companies	13 951	4 755
Available for sale investments	45 806	51 033
Items in course of collection	791	799
	220 479	206 962

Credit exposures relating to off-statement financial position items

For financial guarantees, the maximum exposure to credit risk is the maximum amount the Group would have to pay if the guarantee was called upon. For loan commitments and other credit-related commitments that are irrevocable over the life of the respective facilities, the maximum exposure to credit risk is the full amount of the committed facilities.

	2015 Shs'millions	2014 Shs'millions
Capital commitments (note 42.1) – Forwards, swaps and spots	23 118	11 474
Capital commitments (note 42.1) – Undrawn overdraft facilities	8 444	8 065
Acceptance letters of credit (note 42.2)	7 568	7 050
Guarantee and performance bonds (note 42.2)	17 342	18 416
	56 472	45 005

Concentration of credit risk exists when a number of counterparties are located in a geographical region, however all credit risk for Barclays Bank of Kenya is concentrated in Kenya.

Write-off policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value to the carrying value of the original secured asset. Assets that are determined better to be sold are immediately transferred to inventory at their fair value at the repossession date in line with the Group's policy.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the profit or loss.

38.7 Liquidity risk

Confidence in an organisation, and hence liquidity, can be affected by a range of institution specific and market-wide events including, amongst others, market rumours, credit events, payment system disruptions, systemic shocks, and even natural disasters.

The definition of liquidity risk is the risk that the Bank is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs. This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in: (a) an inability to support normal business activity; and (b) a failure to meet liquidity regulatory requirements.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.7 Liquidity risk (continued)

During periods of market dislocation, the Bank's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Bank. In illiquid markets, the Bank may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Bank's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Bank in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- To maintain market confidence in the Bank's name;
- To set limits to control liquidity risk within and across lines of business;
- To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- To maintain a contingency funding plan ("CFP") that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

Liquidity risk management process

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Bank Treasury, includes:

- Liquidity stress testing;
- Liquidity planning (funding plans, contingency funding plans, recovery and resolution planning);
- Reporting and behavioural balance sheet analysis;
- Funds transfer pricing; and
- Defined management actions to mitigate risk.

Stress and scenario testing

Under the Liquidity Risk Framework, the Group has established the Liquidity Risk Appetite ("LRA"), which is the level of liquidity risk the Group chooses to take in pursuit of its business objectives and in meeting its regulatory obligations.

It is measured with reference to anticipated stressed net contractual and contingent outflows for a variety of stress scenarios and is used to size the liquidity pool. Stress testing is undertaken to assess and plan for the impact of various scenarios which may put the Group's liquidity at risk. Stress tests consider both institution-specific and market-wide scenarios separately and on a combined basis. Treasury develops and monitors stress tests on the Group's projected cash flows.

These stress scenarios include the Group's specific scenarios such as unexpected operational problems and external sources such as country crises, payment system disruption and macroeconomic shocks. Stress testing also allows the Group to identify appropriate responses to crises, setting liquidity limits, sources of stress funding and liquidity buffers as well as formulating a funding strategy designed to minimise liquidity risk. The results of the stress tests are therefore used to develop the CFP and are taken into account when setting limits for the management of liquidity risk and the business planning process.

The Group maintains a range of Early Warning Indicators ("EWIs"). These assist in informing management on deciding whether the CFP should be invoked. Each operation must adopt and conform to the Company CFP and establish local processes and procedures for managing local liquidity stresses that are consistent with the Group's level plan. The CFPs set out the specific requirements to be undertaken locally in a crisis situation. This could include monetising the liquidity pool, slowing the extension of credit, increasing the tenor of funding and securitising or selling assets.

The Group CFP is regularly tested and updated so as to ensure that it is operationally robust. Diversification Sources of liquidity are regularly reviewed by a separate team within Treasury to maintain a wide diversification by provider, product and term. In addition, to avoid reliance on a particular group of customers or market sectors the distribution of sources and the maturity profile of deposits are also carefully managed. Important factors in assuring liquidity are strength of relationships and the maintenance of depositors' confidence. Such confidence is based on the Group's reputation and relationship with those clients, the strength of earnings and the Group's financial position.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.7 Liquidity risk (continued)

Assets held for managing liquidity risk

The Group maintains a portfolio of highly marketable assets, which includes a diverse portfolio of cash and high quality liquid securities to support payment obligations and contingent funding in a stressed market environment. The Group's assets that may be held for managing liquidity risk may comprise cash deposits with the Central Bank/monetary authority and/or holdings of high quality eligible liquid assets, such as, for example, government bonds or other securities that would be readily acceptable in repurchase agreements.

Funds transfer pricing:

Liquidity costs, benefits and risk should be clearly and transparently attributed to business lines and understood by business line management. The Group Treasury and ALCO is responsible for implementing a "funds transfer pricing" mechanism as a means of communicating and disseminating the cost of liquidity risk.

Group deploys liquidity risk funds transfer pricing processes as a means of controlling the behavioural profile of the Group's balance sheet. Funds transfer pricing incentivises business units to manage assets and liabilities in accordance with the Group liquidity risk appetite.

Structural liquidity:

An important source of structural liquidity is provided by core deposits; mainly current accounts and savings accounts. Although current accounts are repayable on demand and savings accounts on short notice, the Group's broad base of customers numerically and by depositor type helps to protect against unexpected fluctuations. Such accounts form a stable funding base for the Group's operations and liquidity needs.

Sources of liquidity risk

Group has material liquidity risk exposure arising from the following sources:

- **Wholesale secured and unsecured funding risk**
Wholesale funding providers are a key source of liquidity funding for the Group operations. A disruption to wholesale markets could impact the Group's ability to effectively fund certain business activities.
- **Retail funding risk**
Most retail loans and advances are funded by customer deposits. A material loss of retail deposit funding could arise through a lack of confidence in the Group name or credit worthiness; and could impact the Group's ability to effectively fund retail banking operations.
- **Contingent liquidity risks**
The Group could experience material cash outflows arising from contingent events such as rating downgrade triggers, off balance sheet transactions, drawdowns of unused credit facilities and the early termination of derivative transactions.
- **Concentration risk**
Concentrations in the sources of funding utilized by the Group can give rise to liquidity risk if access to any of these sources is disrupted.

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.7 Liquidity risk (continued)

The table below represents the undiscounted cash flows payable by the Bank under non-derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

38.7.1 Non-derivative financial liabilities

	Undiscounted				Discounted	
	On demand Shs'millions	Within 1 year Shs'millions	1 – 5 years Shs'millions	More than 5 years Shs'millions	Total Shs'millions	Total Shs'millions
2015						
Amounts owing to related parties	22 684	-	-	-	22 684	22 684
Customer deposits	145 240	18 440	4 112	-	167 792	165 083
Deposits and balances due to banking institutions	187	-	-	-	187	187
Other liabilities and accrued expenses	6 426	7 340	-	-	13 766	13 165
	174 537	25 780	4 112	-	204 429	201 119
2014						
Amounts owing to related parties	13 291	-	-	-	13 291	13 291
Customer deposits	140 129	24 306	3 307	-	167 742	164 779
Deposits and balances due to banking institutions	121	-	-	-	121	121
Other liabilities and accrued expenses	641	9 726	-	-	10 367	9 570
	154 182	34 032	3 307	-	191 521	187 761
	On demand Shs'millions	Within 1 year Shs'millions	1 – 5 years Shs'millions	More than 5 years Shs'millions	Total Shs'millions	
2015						
Assets held for managing liquidity	26 005	22 310	20 898	-	69 213	
	26 005	22 310	20 898	-	69 213	
2014						
Assets held for managing liquidity	22 366	34 179	18 654	-	75 199	
	22 366	34 179	18 654	-	75 199	

Notes (continued)

for the year ended 31 December 2015

38. Risk management (continued)

38.7 Liquidity risk (continued)

38.7.2 Derivative liabilities

The table below analyses the Bank's derivative financial instruments that are settled on a gross basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. Contractual maturities are assessed to be essential for an understanding of the timing of the cash flows on all derivatives. The amounts disclosed in the table are the contractual undiscounted cash flows.

31 December 2015	Notional amount Shs' millions	On demand Shs' millions	Within 1 year Shs' millions	1-5 years Shs' millions	More than 5 years Shs' millions
Derivative liabilities held for trading	(60)				
Outflow		(60)	-	-	-
Inflow		-	-	-	-
		(60)	-	-	-
31 December 2014					
Derivative liabilities held for trading	(35)				
Outflow		(35)	-	-	-
Inflow		-	-	-	-
		(35)	-	-	-

39. Fair value hierarchy of assets and liabilities held at fair value

39.1 Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfer between levels of fair value hierarchy is recognised by the Bank at the end of the reporting period during which the change occurred.

Notes (continued)

for the year ended 31 December 2015

39. Fair value hierarchy of assets and liabilities held at fair value (continued)

39.1 Fair value hierarchy (continued)

	Level 2 Shs'millions	Total Shs'millions
2015		
Recurring fair value measurements		
Financial Assets		
Fair value through profit or loss - Held for trading		
Trading securities	2 245	2 245
	2 245	2 245
Available for sale		
Debt investments	45 806	45 806
	45 806	45 806
2014		
Recurring fair value measurements		
Financial Assets		
Fair value through profit or loss - Held for trading		
Trading securities	6 133	6 133
	6 133	6 133
Available for sale		
Debt investments	51 033	51 033
	51 033	51 033

39.2 Valuation techniques for the level 2 measurement of assets and liabilities held at fair value

The table below sets out information about the valuation techniques applied at the end of the reporting period in measuring assets and liabilities whose fair value is categorised as Level 2 in the fair value hierarchy. A description of the nature of the techniques used to calculate valuations based on observable inputs and valuations is set out in the table below:

Category of asset/liability	Valuation technique applied	Significant observable inputs
Government debt instruments	Discounted cash flow valuation technique	Quoted yields and 15bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment

40. Segmental reporting

The Group has three main business segments:

- **Consumer Banking** – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages;
- **Corporate Banking** – incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products; and
- **Treasury** - incorporating government securities, borrowing from and lending to banking institutions, management of liquidity and derivatives.

Given the majority of the Group's revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis. There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated statement of profit or loss. Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

Notes (continued)

for the year ended 31 December 2015

40. Segmental reporting (continued)

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses. The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC.

Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

40.1. Statement of financial position

	Corporate Banking Shs'millions	Consumer Banking Shs'millions	Treasury Shs'millions	Total Shs'millions
2015				
Assets				
Total assets	66 071	78 435	96 371	240 877
	66 071	78 435	96 371	240 877
Liabilities				
Total liabilities	44 290	122 392	34 479	201 161
	44 290	122 392	34 479	201 161
2014				
Assets				
Total assets	52 650	74 515	98 676	225 841
	52 650	74 515	98 676	225 841
Liabilities				
Total liabilities	52 600	116 281	18 605	187 486
	52 600	116 281	18 605	187 486

40.2. Statement of comprehensive income

	Corporate Banking Shs'millions	Consumer Banking Shs'millions	Treasury Shs'millions	Total Shs'millions
2015				
Interest income - External	6 957	13 087	5 242	25 286
Interest expense - External	(1 523)	(2 680)	(672)	(4 875)
Net interest income	5 434	10 407	4 570	20 411
Fee and commission income - External	1 868	5 700	41	7 609
Fee and commission expense - External	(93)	(850)	(16)	(959)
Net fee and commission income	1 775	4 850	25	6 650
Net trading income - External	205	679	1 603	2 487
Net investment income - External	-	-	(453)	(453)
Other income - Internal	360	7	-	367
Total income	7 774	15 943	5 745	29 462
Credit impairment charge and other provisions	(433)	(1 333)	-	(1 766)
Net operating income	7 341	14 610	5 745	27 696
Staff costs	(957)	(8 100)	(248)	(9 305)
Infrastructure costs (excluding depreciation and amortisation)	(38)	(1 526)	(53)	(1 617)
Depreciation and amortisation	(3)	(1 050)	(1)	(1 054)
Administrative expenses	(445)	(3 078)	(124)	(3 646)
Operating expenses	(1 443)	(13 753)	(426)	(15 622)
Profit for the year	5 897	857	5 319	12 074

Notes (continued)

for the year ended 31 December 2015

40. Segmental reporting (continued)

40.2. Statement of comprehensive income (continued)

	Corporate Banking Shs'millions	Consumer Banking Shs'millions	Treasury Shs'millions	Total Shs'millions
2014				
Net interest income - External	5 048	10 236	4 320	19 604
Non-interest income	2 293	4 548	1 844	8 684
Operating Income	7 341	14 784	6 164	28 288
Credit impairment charge and other provisions	(141)	(1 264)	-	(1 405)
Depreciation and amortisation	(3)	(1 066)	(1)	(1 070)
Other operating expenses	(3 269)	(9 675)	(576)	(13 520)
Profit before income tax	3 928	2 779	5 586	12 293
Income tax expense	(623)	(2 863)	(420)	(3 906)
Profit for the year	3 305	(84)	5 166	8 387

40.3. Geographical analysis

All revenues are earned in Kenya. There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

41. Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

Barclays Bank Kenya is a subsidiary of Barclays Africa Group Limited (previously ABSA Group Limited), which is listed on the Johannesburg Stock Exchange.

The ultimate parent and ultimate controlling party of the Group is Barclays Plc incorporated in the United Kingdom.

There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

	Interest received Shs'millions	Interest paid Shs'millions	Recharges Shs'millions	Rent paid Shs'millions	Investment balance Shs'millions
2015					
Shareholders					
Barclays Bank Plc	14	374	455	-	-
Barclays Africa Group Limited	-	-	355	-	-
	14	374	810	-	-
2014					
Shareholders					
Barclays Bank Plc	41	31	429	-	-
Barclays Africa Group Limited	-	-	353	-	-
	41	31	782	-	-
Other					
Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009	-	13	-	65	90
	-	13	-	65	90

Notes (continued)

for the year ended 31 December 2015

41. Related parties (continued)

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The weighted average effective interest rate at 31 December 2015 on amounts due from group companies was 0.2% (2014: 0.8%) and on amounts due to group companies was 2.5% (2014: 0.2%). Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin. The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

2014

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the fund by virtue of shareholding.

The transactions were at similar terms and conditions to those offered to other customers.

	Due from Shs'millions	Due to Shs'millions
2015		
Barclays Bank Plc	8 696	(1 960)
Barclays Africa Group Limited	5 222	(20 693)
Other Group companies	33	(31)
	13 951	(22 684)
2014		
Barclays Bank Plc	1 666	(2 418)
Barclays Africa Group Limited	1 900	(10 318)
Other Group companies	1 189	(555)
	4 755	(13 291)

At 31 December 2015 advances to Directors or companies controlled by Directors or their families amounted to Shs 49 million (2014: Shs 47 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features. No allowances for impairment were recognised in respect of loans to Directors. (2014: Nil).

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2015 balances relating to directors deposits amounted to Shs 71 million (2014: Shs 123 million).

	Remuneration Shs'millions	Share-based payments Shs'millions	Fees Shs'millions	Total Shs'millions
2015				
Senior management	560	53	-	613
Directors	45	-	22	67
	605	53	22	680

Notes (continued)

for the year ended 31 December 2015

41. Related parties (continued)

	Remuneration Shs'millions	Share-based payments Shs'millions	Other Shs'millions	Total Shs'millions
2014				
Senior management	462	77	-	539
Directors	95	-	25	123
	557	77	25	662
			2015 Shs'millions	2014 Shs'millions
The compensation paid to directors was in respect of:				
Services rendered as directors of the Bank			22	25
			22	25

There were no pension contributions paid to defined contribution schemes on behalf of Directors (2014: Nil). As at 31 December 2015, there were no Directors accruing benefits under a defined benefit scheme (2014: Nil).

42. Capital Commitments and contingencies

42.1 Capital commitments

	2015 Shs'millions	2014 Shs'millions
Forwards, swaps and spots	23 118	11 474
Undrawn overdraft facilities	8 444	8 065
	31 562	19 539

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The Bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

42.2 Contingent liabilities

	2015 Shs'millions	2014 Shs'millions
Acceptances and letters of credit	7 568	7 050
Guarantee and performance bonds	17 342	18 416
	24 910	25 466

Pledged assets amounted to Shs 1,250 million (2014: Shs 1,250 million). The class of asset pledged in both years was a bond issue. The purpose of the pledge was to create an Intra Day Liquidity Fund (ILF) with the Central Bank of Kenya.

In common with other banks, the Group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default. At year end, the bank has obtained undertakings from Barclays Plc in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 4,986 million (2014: Shs 1,795 million).

Notes (continued)

for the year ended 31 December 2015

42. Capital Commitments and contingencies (continued)

42.3 Operating lease contingent liabilities

	2015 Shs'millions	2014 Shs'millions
Less than one year	816	735
Between one and five years	1 914	2 467
More than five years	114	336
Total non-cancellable operating lease rentals	2 844	3 538

The Group leases a number of branch and office premises under operating lease rentals. Lease payments are escalated per individual contracts and are taken into consideration in the above analysis.

42.4 Contingent tax liabilities

The Bank has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Court of Appeal. Based on professional advice and the previous High Court rulings, the directors are of the opinion that no significant loss will arise from these matters.

43. Earnings per share

	2015	2014
Net profit attributable to shareholders (Shs millions)	8 401	8 387
Number of ordinary shares in issue (millions)	5 432	5 432
Basic earnings per share (Shs)	1.55	1.54

There were no potentially dilutive shares outstanding at 31 December 2015 or 2014. Diluted earnings per share are therefore the same as basic earnings per share.

44. Dividend per share

At the Annual General Meeting to be held on 27 May 2016, a final dividend in respect of the year ended 31 December 2015 of Shs 0.80 (2014: Shs 1.00) amounting to Shs 4,345 million (2014: Shs 5,432 million) will be proposed for approval. An interim dividend of Shs 0.20 (2014: None) was paid during the year amounting to Shs 1,086 million (2014: None). This will bring the total dividend for the year to Shs 1.00 (2014: Shs 1.00) per share amounting to Shs 5,432 million (2014: Shs 5,432 million).

Payment of dividends are subject to withholding tax at a rate of 5% for residents and 10% for non-residents.

45. New accounting pronouncements

Adoption of new and revised Standards

During the current year, the Bank has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2015. The adoption of these new and revised standards and interpretations has not resulted in material changes to the Bank's accounting policies.

The Bank adopted the following standards, interpretations and amended standards during the year:

IAS 19	Employee Benefits - Amendments clarifying the requirements for how contributions from employees or third parties that are linked to service should be attributed to periods of service.
Annual Improvements	
Non-urgent but necessary clarifications and amendments to the following standards of IFRS:	
IFRS 2	Share based Payment
IFRS 3	Business Combinations
IFRS 8	Operating Segments
IFRS 13	Fair Value Measurement
IAS 16	Property, Plant and Equipment
IAS 24	Related Parties
IAS 38	Intangible assets

Notes (continued)

for the year ended 31 December 2015

45. New accounting pronouncements (continued)

New and revised International Financial Reporting Standards issued not yet effective

At the date of authorisation of these financial statements, the following standards and interpretations were in issue but not yet effective:

	Standard	Effective annual periods beginning on or after
IFRS 7	Financial Instruments: Disclosures - Clarifies whether a servicing contract is continuing involvement in a transferred asset for the purpose of determining the disclosures required and clarifies the applicability of the offsetting disclosures to condensed interim financial statements.	1 January 2016
IFRS 14	Regulatory Deferral Accounts - New accounting standard.	1 January 2016
IAS 1	Presentation of Financial Statements - further encouragement for companies to apply professional judgement in determining what information to disclose in their financial statements.	1 January 2016
IAS 16	Property, Plant and Equipment - Amendments regarding the clarification of acceptable methods of depreciation and amortization, and amendment to include bearer plants in the scope of IAS 16.	1 January 2016
IAS 19	Employee Benefits - Clarifies that the high quality corporate bonds used in estimating the discount rate for post-employment benefits should be denominated in the same currency as the benefits to be paid (thus, the depth of the market for high quality corporate bonds should be assessed at currency level).	1 January 2016
IAS 27	Separate Financial Statements - Amendments reinstating the equity method as an accounting option for investments in subsidiaries, joint ventures and associates in an entity's separate financial statements.	1 January 2016
IFRS 7	Financial Instruments: Disclosures - Additional disclosures following the finalisation of IFRS 9 Financial Instruments.	1 January 2018
IFRS 9	IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets: amortised cost, fair value through OCI and fair value through P&L. The basis of classification depends on the entity's business model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to present changes in fair value in OCI not recycling. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there were no changes to classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes. Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Bank is yet to assess IFRS 9's full impact.	1 January 2018
IFRS 15	IFRS 15, 'Revenue from contracts with customers' deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The standard replaces IAS 18 'Revenue' and IAS 11 'Construction contracts' and related interpretations. The standard is effective for annual periods beginning on or after 1 January 2018 and earlier application is permitted. The Bank is assessing the impact of IFRS 15.	1 January 2018

Notes (continued)

for the year ended 31 December 2015

45. New accounting pronouncements (continued)

	Standard	Effective annual periods beginning on or after
IFRS 16	After ten years of joint drafting by the IASB and FASB they decided that lessees should be required to recognise assets and liabilities arising from all leases (with limited exceptions) on the balance sheet. Lessor accounting has not substantially changed in the new standard. The model reflects that, at the start of a lease, the lessee obtains the right to use an asset for a period of time and has an obligation to pay for that right. In response to concerns expressed about the cost and complexity to apply the requirements to large volumes of small assets, the IASB decided not to require a lessee to recognise assets and liabilities for short-term leases (less than 12 months), and leases for which the underlying asset is of low value (such as laptops and office furniture). A lessee measures lease liabilities at the present value of future lease payments. A lessee measures lease assets, initially at the same amount as lease liabilities, and also includes costs directly related to entering into the lease. Lease assets are amortised in a similar way to other assets such as property, plant and equipment. This approach will result in a more faithful representation of a lessee's assets and liabilities and, together with enhanced disclosures, will provide greater transparency of a lessee's financial leverage and capital employed. One of the implications of the new standard is that there will be a change to key financial ratios derived from a lessee's assets and liabilities (for example, leverage and performance ratios). IFRS 16 supersedes IAS 17, 'Leases', IFRIC 4, 'Determining whether an Arrangement contains a Lease', SIC 15, 'Operating Leases – Incentives' and SIC 27, 'Evaluating the Substance of Transactions Involving the Legal Form of a Lease'.	1 January 2019

The Bank is in the process of assessing the potential impact that the adoption of these Standards and interpretations may have on its future financial performance or disclosures in the annual financial statements.

The ten largest shareholders in the Company (ordinary shares only) and the respective number of shares held as at 31 December 2015 are as follows:

	%
Barclays Africa Group Limited	68.50
Standard Chartered Nominees RESD A/C KE11401	0.86
Standard Chartered Nominees NON-RESD A/C KE8723	0.85
Standard Chartered Nominees RESD A/C KE11450	0.79
Kenya Commercial Bank Nominees Limited A/C 915B	0.77
Kenya Commercial Bank Nominees Limited A/C 915A	0.63
CFC Stanbic Nominees Ltd A/C NR1873738	0.46
Standard Chartered Nominees A/C 9230	0.44
The Jubilee Insurance Company of Kenya Limited	0.37
Standard Chartered Kenya Nominees Ltd A/C KE19822	0.33
Other	26
	100

Shareholders as at 31 December were as follows:

Shares Range	Number of Shareholders	No of Shares Held	% Holding
1-500	11 689	3 287 068	0.06
501-5 000	23 208	50 160 104	0.92
5 001-10 000	7 081	51 632 547	0.95
10 001-100 000	18 414	532 608 581	9.81
100 001-1 000 000	966	268 443 683	4.94
>1 000 000	164	4 525 404 017	83.32
	61 522	5 431 536 000	100.00

Notice of the Annual General Meeting

Notice is hereby given that the Thirty-Seventh Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held at the Barclays Sports Club, Ruaraka, Nairobi on Friday, May 27, 2016 at 10:00 a.m. to transact the following business:-

A. Ordinary Business

1. To confirm the Minutes of the Thirty-Sixth Annual General Meeting held on April 29, 2015.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2015 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:
 - a. In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, offer themselves for re-election:
 - i. Jeremy Awori
 - ii. Yusuf Omari
 - b. In accordance with Article 101 of the Company's Articles of Association, the following Director is due for retirement this being the first Annual General Meeting to be held since her appointment as Director and being eligible, offers herself for re-election:
 - i. Patricia Ithau
 - c. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following Directors, being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said Committee:
 - i. Winnie Ouko (Chair)
 - ii. Ashok Shah
 - iii. Norah Odwesso
 - iv. Laila Macharia
5. To authorise the Board to fix the remuneration of the Directors.
6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.

B. Special Business

7. To consider and, if thought fit, approve the following Special Resolutions in respect of alterations to the Company's Articles of Association: -
 - a. The provisions of the Company's Articles of Association be altered by inserting the following Article immediately after the present Article 66 and numbering the new Article as Article 66A namely:

66A. The Members may, if they think fit, confer by radio, telephone, closed circuit television, video conferencing or other electronic means of audio or audio/visual communication ("Conference"). Notwithstanding that the Members are not present together in one place at the time of the Conference, a resolution passed by the Members constituting a quorum at such a Conference shall be deemed to have been passed at a General Meeting held on the day on which and at the time at which the Conference was held. The provisions of these relating to proceedings of Members apply insofar as they are capable of application mutatis mutandis to such Conference.
 - b. The provisions of the Company's Articles of Association be altered by inserting the following Article immediately after the present Article 111 and numbering the new Article as Article 111A namely:

111A. The Directors may, if they think fit, confer by radio, telephone, closed circuit television, video conferencing or other electronic means of audio or audio/visual communication ("Conference"). Notwithstanding that the Directors are not present together in one place at the time of the Conference, a resolution passed by Directors constituting a quorum at such a Conference shall be deemed to have been passed at a meeting of the Board held on the day on which and at the time at which the Conference was held. The provisions of these Articles relating to proceedings of Directors apply insofar as they are capable of application mutatis mutandis to such Conference.
8. To transact any other business of the Company of which due notice has been received.

By order of the Board

Paul K. Ndungi

Company Secretary

May 4, 2016

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday May 25, 2016.

Note 2: Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on May 27, 2016. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.

Note 3: In accordance with Article 133 of the Company's Articles of Association a full copy of the Annual Report and Financial Statements may be viewed on the Company's website www.barclays.co.ke. A printed copy may be requested from the Company's Share Registrar, Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi.

Proxy Form

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We _____ of _____

_____ being *a member/members of Barclays Bank of Kenya Limited, hereby

appoint:- _____

of (address) _____

or failing *him/her _____

of (address) _____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-fifth Annual General Meeting of the Company to be held on Friday, May 27, 2016 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this _____ day of _____ 2016.

Signature(s) _____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete whichever is not applicable.

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

Note 2: In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

Note 3: To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday May 25, 2016.

Fomu ya Uwakilishi

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*Mimi/Sisi _____

wa _____

kama *mwanachama/wanachama wa Benki ya Barclays Bank of Kenya Limited, namteua/tunamteua:-

wa (anwani)

au akikosa yeye

wa (anwani)

na akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu * anipigie/atupigie kura kwa niaba *yangu/yetu katika mkutano mkuu wa thelathini na tano wa kampuni hii ambao utafanyika Ijumaa tarehe 27 Mei, 2016 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saina *yangu/yetu

siku hii ya _____ ya mwezi wa _____ 2016.

Sahihi _____

Labda kuwe na maagizo, mwakilishi atakuwa huru kupiga kura apendavyo

*Futa yasiyofaa

MAELEZO YA 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

MAELEZO YA 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saina ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

MAELEZO YA 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P.8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi siku ya Jumatano tarehe 25 Mei, 2016.

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